

BASIC MARKET TERMS

Why do we invest?

To make sure we have enough funds to be prepared for the future. Simply earning and saving is not enough. Inflation – the price-rise beast – eats into the value of your money. To make up for the loss through inflation, we invest and earn extra. This is the investment fundament. The stock market is one such investment avenue. It has a history that goes way back to the 1800s.



Earlier, stockbrokers would converge around Banyan trees to conduct trades of stocks. As the number of brokers increased and the streets overflowed, they simply had no choice but to relocate from one place to another. Finally in 1854, they relocated to Dalal Street, the place where the oldest stock exchange in Asia – the Bombay Stock Exchange (BSE) – is now located. It is also India's first stock exchange and has since then played an important role in the Indian stock markets. Even today, the BSE Sensex remains one of the parameters against which the robustness of the Indian economy and finance is measured.

In 1993, the National Stock Exchange or NSE was formed. Within a few years, trading on both the exchanges shifted from an open outcry system to an automated trading environment.

This shows that stock markets in India have a strong history. Yet, at the face of it, especially when you consider investing in the stock market, it often seems like a maze. But once you start, you will realize that the investment fundamentals are not too complicated.

What is share market?

A share market is where shares are either issued or traded in.

A stock market is similar to a share market. The key difference is that a stock market helps you trade financial instruments like bonds, mutual funds, derivatives as well as shares of companies. A share market only allows trading of shares.

The key factor is the stock exchange – the basic platform that provides the facilities used to trade company stocks and other securities.

A stock may be bought or sold only if it is listed on an exchange. Thus, it is the meeting place of the stock buyers and sellers. India's premier stock exchanges are the **Bombay Stock Exchange** and the **National Stock Exchange**.



There are two kinds of share markets – primary and second markets.

Primary Market:

This is where a company gets registered to issue a certain amount of shares and raise money. This is also called getting listed in a stock exchange.

A company enters primary markets to raise capital. If the company is selling shares for the first time, it is called an Initial Public Offering (IPO). The company thus becomes public.

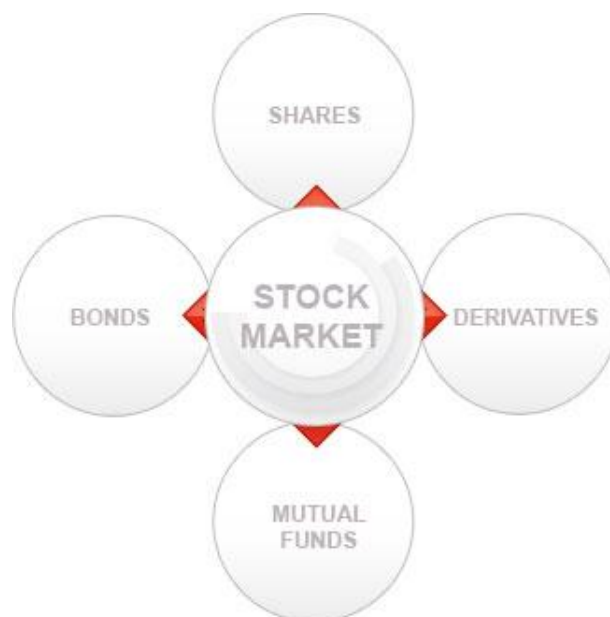
Secondary Market:

Once new securities have been sold in the primary market, these shares are traded in the secondary market. This is to offer a chance for investors to exit an investment and sell the shares. Secondary market transactions are referred to as trades where one investor buys shares from another investor at the prevailing market price or at whatever price the two parties agree upon.

Normally, investors conduct such transactions using an intermediary such as a broker, who facilitates the process.

What are the financial instruments traded in a stock market?

Now that we have understood what a stock market is, let us understand the four key financial instruments that are traded:



Bonds:

Companies need money to undertake projects. They then pay back using the money earned through the project. One way of raising funds is through bonds. When a company borrows from the bank in exchange for regular interest payments, it is called a loan. Similarly, when a company borrows from multiple investors in exchange for timely payments of interest, it is called a bond.

For example, imagine you want to start a project that will start earning money in two years. To undertake the project, you will need an initial amount to get started. So, you acquire the requisite funds from a friend and write down a receipt of this loan saying 'I owe you Rs 1 lakh and will repay you the principal loan amount by five years, and will pay a 5% interest every year until then'. When your friend holds this receipt, it means he has just bought a bond by lending money to your company. You promise to make the 5% interest payment at the end of every year, and pay the principal amount of Rs 1 lakh at the end of the fifth year.

Thus, a bond is a means of investing money by lending to others. This is why it is called a debt instrument. When you invest in bonds, it will show the face value – the amount of money being borrowed, the coupon rate or yield – the interest rate that the borrower has to pay, the coupon or interest payments, and the deadline for paying the money back called as the maturity date.

Secondary Market:

The share market is another place for raising money. In exchange for the money, companies issue shares. Owning a share is akin to holding a portion of the company. These shares are then traded in the share market. Consider the previous example; your project is successful and so, you want to expand it.

Now, you sell half of your company to your brother for Rs 50,000. You put this transaction in writing – 'my new company will issue 100 shares of stock. My brother will buy 50 shares for Rs 50,000.' Thus, your brother has just bought 50% of the shares of stock of your company. He is now a shareholder. Suppose your brother immediately needs Rs 50,000. He can sell the share in the secondary market and get the money. This may be more or less than Rs 50,000. For this reason, it is considered a riskier instrument.

Shares are thus, a certificate of ownership of a corporation.

Thus, as a stockholder, you share a portion of the profit the company may make as well as a portion of the loss a company may take. As the company keeps doing better, your stocks will increase in value.

Mutual Funds:

These are investment vehicles that allow you to indirectly invest in stocks or bonds. It pools money from a collection of investors, and then invests that sum in financial instruments. This is handled by a professional fund manager.

Every mutual fund scheme issues units, which have a certain value just like a share. When you invest, you thus become a unit-holder. When the instruments that the MF scheme invests in make money, as a unit-holder, you get money.

This is either through a rise in the value of the units or through the distribution of dividends – money to all unit-holders.

Derivatives:

The value of financial instruments like shares keeps fluctuating. So, it is difficult to fix a particular price. Derivatives instruments come handy here.

These are instruments that help you trade in the future at a price that you fix today. Simply put, you enter into an agreement to either buy or sell a share or other instrument at a certain fixed price.

What does the SEBI do?

Stock markets are risky. Hence, they need to be regulated to protect investors. The Security and Exchange Board of India (SEBI) is mandated to oversee the secondary and primary markets in India since 1988 when the Government of India established it as the regulatory body of stock markets. Within a short period of time, SEBI became an autonomous body through the SEBI Act of 1992.

SEBI has the responsibility of both development and regulation of the market. It regularly comes out with comprehensive regulatory measures aimed at ensuring that end investors benefit from safe and transparent dealings in securities.

Its basic objectives are:

- Protecting the interests of investors in stocks
- Promoting the development of the stock market
- Regulating the stock market



WHAT ARE DIVIDENDS?

As we learned earlier, a share is a portion of the company. When the company makes profits, you often receive a part of it. This is the idea behind dividends. Every year, companies distribute a small amount of profits to investors as dividends. This is the primary source of income for long-term shareholders – those who don't sell the stock for years together.

WHAT IS MARKET CAPITALIZATION?



Different companies issue varied amounts of shares when they get listed. The value of one share also differs from that of another company's stock. Market capitalization smoothens out these differences. It is the market stock price multiplied by the total number of shares held by the public. It, thus, reflects the total market value of a stock taking into consideration both the size and the price of the stock. For example, if a stock is priced at Rs. 50 per share, and there are 1,00,000 shares in the hands of public investors, then its market capitalization stands at Rs. 50,00,000.

Market capitalization matters when stacking stocks into different indices. It also decides the weightage of a stock in the index. This means, bigger the company's market value, the more its price fluctuations affect the value of the index.

WHAT ARE ROLLING SETTLEMENTS?

Supposing your friend agrees to buy a book for you from a bookshop, you will have to pay him for it eventually. Similarly, after you have bought or sold shares through your broker, the trade has to be settled. Meaning, the buyer has to receive his shares and the seller has to receive his money. Settlement is the process whereby payment is made by the buyers, and shares are delivered by the sellers.

A rolling settlement implies that all trades have to be settled by the end of the day. Hence, the entire transaction – where the buyer pays for securities purchased and seller delivers the shares sold – have to be completed in a day.

In India, we have adopted the T+2 settlements cycle. This means that a transaction conducted on Day 1 has to be settled on the Day 1 + 2 working days. This is when funds are paid and securities are transferred. Thus, 'T+2' here, refers to Today + 2 working days. Saturdays and Sundays are not considered as working days. So, if you enter into a transaction on Friday, the trade will be settled not on Sunday, but on Tuesday. Even bank and exchange holidays are excluded.

WHAT IS SHORT-SELLING?

An investor sells short when he anticipates that the price of a stock may fall from the existing price. So, the investor borrows a share and sells it. Once the share price dips, he will buy the same share at a lower price, and return it back, while pocketing a profit in the bargain. Simply put, you first sell at a high and then buy at a low. Short-selling helps traders profit from declining stock and index prices. Since this is usually conducted in anticipation of a stock

movement, short-selling is considered a risky proposition.

Let us take an example. Suppose you expect shares of Infosys to fall tomorrow for whatever reason, you enter an order to sell shares of Infosys at the current market price. Once the share price falls adequately tomorrow, you buy at the lower rate. The difference in the sale and buying prices is your profit. However, if the share prices increase after you sold at a reduced price, then you end up with a loss.

WHAT ARE CIRCUIT FILTERS AND TRADING BANDS?

Some stocks are more volatile than others. Too much volatility is not good for investors. To curb this volatility, SEBI has come up with the concept of circuit filters. The market regulator has specified the maximum limit the price of a stock can move on a given day. This is called a price trading band. If a stock breaches this limit, trading is halted in that stock for a while. There are three levels of limits. Each limit leads to trading halt for a progressively longer duration. If all three circuit filters are breached, then trading is halted for the rest of the day. NSE define circuit filters in 5 categories including 2%, 5%, 10%, 20% and no circuit filter.

Also, prices may not be same on the two exchanges – NSE and BSE. So, circuit filters can be different for shares on the two exchanges.

WHAT ARE BULL AND BEAR MARKETS?

Markets are often described as ‘bull’ or ‘bear’ markets. These names have been derived from the manner in which the animals attack their opponents. A bull thrusts its horns up into the air, and a bear swipes its paws down. These actions are metaphors for the movement of a market: if stock prices trend upwards, it is considered a bull market; if the trend is downwards, it is considered a bear market.

The supply and demand for securities largely determine whether the market is in the bull or bear phase. Forces like investor psychology, government involvement in the economy and changes in economic activity also drive the market up or down. These combine to make investors bid higher or lower prices for stocks.



WHAT IS MARGIN TRADING?

Many traders trade on the stock market using borrowed funds or securities. This is called margin trading. It is almost like buying securities on credit. Margin trading can lead to greater returns, but can also be very risky. While it lets you actively seize market opportunities, it also subjects you to a number of unique risks such as interest payments charged for the borrowed money. Kotaksecurities.com offers its customers the facility of margin trading.

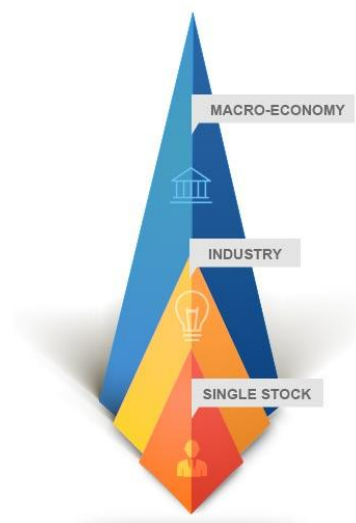
WHAT IS MAHURAT TRADING?

Every year, the stock market is open for a few hours on the first day of Diwali. A special trading session conducted for an hour on the auspicious occasion of Diwali. Usually this takes place in evening. Mahurat trading has been going on for over 100 years on the Bombay Stock Exchange. It marks the beginning of a new financial year called 'Samvat'.

WHAT ARE TOP-DOWN, BOTTOM-UP APPROACHES?

These are ways to select stocks from amongst the thousands listed on the exchange.

- The top-down approach first takes into consideration the macro-economy. You understand the trends and outlook for the overall economy. Using this, you choose a one or more industries that are expected to do well in the near future. This is because every industry reacts to overall economic conditions like inflation, interest rates, consumer demand and so on, in a different way. Select one amongst the industries after in-depth analysis. Next, you understand the workings of the industry, the players and competitors and other factors that affect the sector. Based on this, you select one of the companies in the industry.
- The bottom-up approach is just the opposite. You do not look at the economy or select an industry first, but concentrate on company fundamentals. You first understand what your priorities are – high growth or steady income through high dividends. Using appropriate ratios like the Price-to-Earnings ratio or the Dividend-yield, you select a bunch of stocks. Next, analyze each of these companies; find answers for questions like what factors drive profits? Is the company management efficient? Is the company heavily indebted? What is the future outlook? And so on. Based on the results, select the company that best fits your requirements.
- The bottom-up approach is most suited for weak market conditions. This is because, the underlying belief is that these companies will perform well even if the economy is poor. They are thus anomalies – companies that don't follow the normal market trend.



WHAT DOES COST AVERAGING MEAN?

Rupee-cost averaging is a concept when you buy a stock in small bunches, instead of buying in lump-sum. This helps reduce the average cost of your investment.



Let us use an example. Suppose you bought 100 shares of a company costing Rs. 10 each, your total investment cost is Rs. 1000. Instead of that, if you buy 50 shares for Rs. 100 and 50 for Rs. 95, your total cost of investment would be lower. Not just that, even your average cost per share would be lower. This is called rupee-cost averaging.

This concept comes handy when a stock falls after you have bought it. The fall in share price gives you an opportunity to buy more and reduce your average cost of investment. This way, when you finally sell the shares at some time in the future, you end up making more profits.

WHAT IS STOCK VOLATILITY?

Stock prices constantly fluctuate. This is because the demand for the stock changes. As more stocks change hands, greater is the change in its share price. This is called stock volatility. Even the amount of volatility in the market changes on a daily basis. To measure this volatility, the National Stock Exchange introduced the VIX India index, also called the fear gauge. VIX is often used as an indicator of stock price trends. This is because, VIX rises when there is more fear and uncertainty in the market.

This means, investors perceive an increase in risk. This usually follows a fall in the market.

WHAT ARE PRICE-TARGETS AND STOP-LOSS TARGETS?

As an investor, to maximize your profits, you need to get your pricing right – both when it comes to buying and selling. However, sometimes, prices fluctuate more than expected. So, it can become a little difficult to gauge whether to trade now or wait a little more. This is where stock recommendations help.



Analysts put out price targets and stop-loss measures, which let you know how long you should hold a stock. A price target indicates that the price of share is unlikely to climb above the level. So, once the share price touches the target, you may look to sell it and pocket your profits. A stop loss, meanwhile, acts as a target on the lower end. It lets you know when to sell before the stock falls further and worsens your loss.



WHAT IS INSIDER TRADING?

In your dealings with the stock world, you will often come across the term 'insider trading'. In simple words, the meaning of insider trading is 'the trading of shares based on knowledge not available to the rest of the world'. It is illegal to trade after receiving 'tips' of confidential securities information.

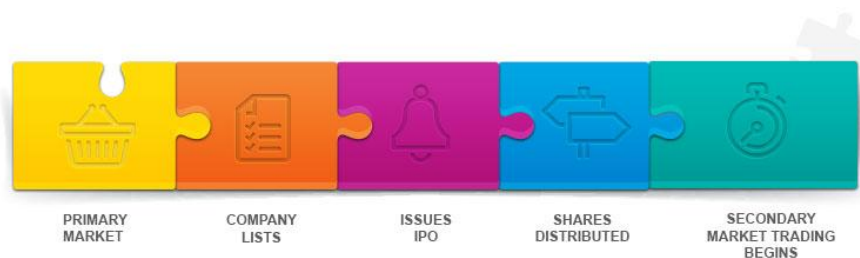
This applies to corporate personnel as well as traders and brokers. This is why company management have to report their trades to the exchange. For example, when corporate officers, directors, or employees trade the company's stocks after learning of significant, confidential corporate developments, it is considered an illegal form of insider trading. This applies to employees of law, banking, brokerage and printing firms who were given such information to provide services to the corporation whose securities they traded. Even government employees, who trade after learning of such information, are considered to have broken the law on insider trading. It is a punitive offence.

HOW SHARE MARKET WORKS:

In the previous section, you were introduced to the different market participants and other share market basics. Let's try to stitch these narratives together and understand how the stock market works.



- A stock exchange is the platform where financial instruments like stocks and derivatives are traded. Market participants have to be registered with the stock exchange and SEBI to conduct trades. This includes companies issuing shares, brokers conducting the trades, as well as traders and investors. All of this is regulated by the Securities and Exchange Board of India (SEBI), which makes the rules of conduct.
- First, a company gets listed in the primary market through an Initial Public Offering (IPO). In its offer document, it lists details about the company, the stocks being issued, and so on. During the listing, the stocks issued in the primary market are allotted to investors who have bid for the same.

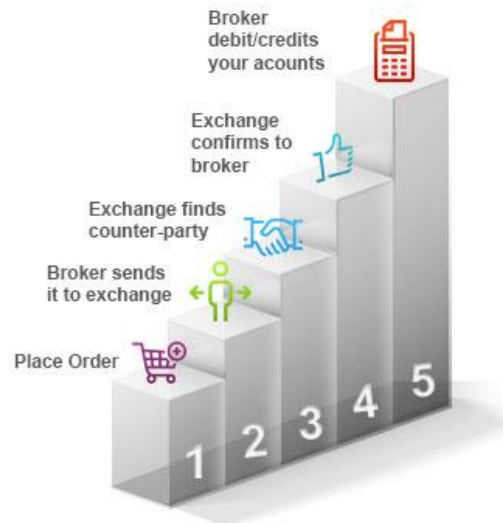


- Once listed, the stocks issued can be traded by the investors in the secondary market. This is where most of the trading happens. In this market, buyers and sellers gather to conduct transactions to make profits or cut losses.
- Stock brokers and brokerage firms are entities registered with the stock exchange. They act as an intermediary between you, as an investor, and the stock exchange.
- Your broker passes on your buy order to the exchange, which searches for a sell order for the same share. Once a seller and a buyer are fixed, a price is agreed finalized, upon which the exchange communicates to your broker that your order has been confirmed.

This message is then passed on to you. Even at the broker and exchange levels, there are multiple parties involved in the communication chain like brokerage order department, exchange floor traders, and so on. However, the trading process has become electronic today. This process of matching buyers and sellers is done through computers.

As a result, the process can be finished within minutes.

How your order is processed



- However, there are tens and thousands of investors. It is impossible for all to converge in one location and conduct their trades. This is where stock brokers and brokerage firms play role.
- Once you place an order to buy a particular share at a said price, it is processed through your broker at the exchange. There are multiple parties involved in the process behind the scenes.
- Meanwhile, the exchange also confirms the details of the buyers and the sellers to ensure the parties don't default. It then facilitates the actual transfer of ownership of shares. This process is called settlement. Earlier, it used to take weeks to settle trades.

Now, this has been brought down to T+2 days. For example, if you conducted a trade today, you will get your shares deposited in your demat account by the day after tomorrow (i.e. two working day).

- The exchange ensures that the trade is honoured during the settlement#. Whether the seller has the required stock to sell or not, the buyer will receive his shares. If a settlement is not upheld, the sanctity of the stock market is lost, because it means trades may not be upheld.
- As and when trades are conducted, share prices change. This is because prices of shares – like any other goods – are dependent on the perceived value. This is reflected in the rise or fall of demand for the stock. As demand for the stock increases, there are more buy orders. This leads to an increase in the price of the stock. So when you see the price of a stock rise, even if it is marginal, it means that someone or many placed buy order(s) for the stock. Larger the volume of trade, greater the fluctuation in the stock's price.

HOW TO INVEST IN SHARES:

Now that you have understood exactly how the stock market works, you may be wondering how to invest in the market.



Step 1

First, understand your investment requirements and limitations. Your requirements should take into account the present as well as the future.

The same applies to your limitations. For example, you just got a job and earn Rs. 20,000 a month. Your limitation could be that you need to set aside at least Rs. 10,000 for instalment payments for your car, and another Rs. 5,000 for your monthly expenses.

This leaves aside only Rs. 5,000 for investment purposes. Now, if you are a risk-averse investor, you may prefer to invest a larger portion of this amount in low-risk options like bonds and fixed deposits. This means, you have only a small portion left for stock market investing – Rs. 1,000. Further, take into consideration your tax liabilities.

Remember, making profits on short-term buying and selling of shares incurs capital gains tax. This is not applicable if you sell your shares after a year.

So, ensure that your cash needs don't force you to sell your shares on short-term unnecessarily. Better to take a wise well-thought decision, than attract unnecessary costs in the future.

Step 2

Once you understand your investment profile, analyse the stock market and decide your investment strategy. Find out which stocks suit your profile. If we continue the above example, with a budget of Rs 1,000, you can either choose to buy one large-cap stock or multiple small-cap stocks. If you need an additional source of income, opt for high-dividend stocks.

If not, opt for growth stocks which are likely to appreciate the most in the future. Deciding the kind of stocks you wish to collect is part of your investment strategy.

Step 3

Wait for the right time. Have you ever seen a cheetah or tiger hunt? They lie low for a while waiting for their prey, and then they pounce. Exactly the same way, time is of utmost importance in the stock market. Merely getting the stock right is not enough. Your profits will be maximised only if you buy at the lowest level possible. The same applies if you are selling your shares. This needs time. Do not be impulsive.

Step 4

Conduct your trade either online or on the phone through your broker. Ensure that your broker confirms the trade and gets all the details right. Recheck the trade confirmation to avoid errors.

Step 5

Monitor your portfolio regularly. The stock market is dynamic. Companies may seem profitable one moment, and not-so profitable the next due to some unforeseen factor. Ensure you regularly read about the companies you have invested in. In the case of some unfortunate situation, this will help you minimize your losses before it is too late.

However, this does not mean you panic every time the stock falls. A stock's price will fall at some point in time, because there will be some investor in the market with a shorter investment horizon than you. So, he will sell his stock and pocket whatever profits possible in that shorter time. Patience is a key virtue in the markets.

WHAT ARE DIFFERENT TYPES OF STOCKS?

When share prices rise, everyone wants to know what share to buy. Investors are keen to be a part of the wealth creation process. Stock markets are engines of economic growth for a country. A vibrant stock market is essential for a country like India. There are multiple ways an investor could participate.

HOW ARE STOCKS CLASSIFIED?

Stocks can be classified into multiple categories on various parameters – size of the company, dividend payment, industry, risk, volatility, as well as fundamentals.

- **Stocks on the basis of ownership rules:**

This is the most basic parameter for classifying stocks. In this case, the issuing company decides whether it will issue common, preferred or hybrid stocks.

- **Preferred & common stocks:**

The key difference between common and preferred stocks is in the promised dividend payments. Preferred stocks promise investors that a fixed amount will be paid as dividends every year. A common stock does not come with this promise. For this reason, the price of a preferred stock is not as volatile as that of a common stock. Another key difference between a common stock and a preferred stock is that the latter enjoy greater priority when the company is distributing surplus money.

However, if the company is getting liquidated – its assets are being sold off to pay off investors, then the claims of preferred shareholders rank below that of the company's creditors, and bond- or debenture-holders. Another distinction is that preferred shareholders may not have voting rights unlike holders of common stocks.

- **Hybrid stocks:**

Some companies also issue hybrid stocks. These are often preferred shares that come with an option to be converted into a fixed number of common stocks at a specified time. These kinds of stocks are called 'convertible preferred shares'. Since these are hybrid stocks, they may or may not have voting rights like common stocks.

- **Stocks with embedded-derivative options:**

Some stocks come with an embedded derivative option. This means it could be 'callable' or 'puttable'. A 'callable' stock is one which has the option to be bought back by the company at a certain price or time. A 'puttable' share gives the stockholder the option to sell it to the company at a prescribed time or price. These kinds of stocks are not commonly available.



- **Stocks on the basis of market capitalization:**

Stocks are also classified on the basis of the market value of the total shareholding of a company. This is calculated using market capitalization, where you multiply the share price by the total number of issued shares. There are three kinds of stocks on the basis of market capitalization:

- **Small-cap stocks:**

- 'Cap' is the short form of 'Capitalization'. As the name suggests, these are stocks with the smallest values in the market. They often represent small-size companies. Generally companies that have a market capitalization in the range of up to Rs. 250 crore are small cap stocks.

- These stocks are the best option for an investor who wishes to generate significant gains in the long run; as long he does not require current dividends and can withstand price volatility. This is because small companies have the potential to grow rapidly in the future. So, an investor may profit by buying the stock when it is cheaply available in the company's initial stage. However, many of these companies are relatively new. So, it is difficult to predict how they will perform in the market.

- Being small enterprises, growth spurts dramatically affect their values and revenues, sending prices soaring. On the other hand, the stocks of these companies tend to be volatile and may decline dramatically.

- **Mid-cap stocks:**

- Mid-cap stocks are typically stocks of medium-sized companies. Generally, companies that have a market capitalization in the range of Rs. 250 crore and Rs. 4,000 crore are mid-cap stocks.

- These are stocks of well-known companies, recognized as seasoned players in the market. They offer you the twin advantages of acquiring stocks with good growth potential as well as the stability of a larger company.

- Mid-cap stocks also include baby blue chips – companies that show steady growth backed by a good track record. They are like blue-chip stocks (which are large-cap stocks), but lack their size. These stocks tend to grow well over the long term.

- **Large-cap stocks:**

- Stocks of the largest companies in the market such as Tata, Reliance, ICICI are classified as large-cap stocks. They are often blue-chip firms.

- Being established enterprises, they have at their disposal large reserves of cash to exploit new business opportunities. However, the sheer size of large-cap stocks does not let them grow as rapidly as smaller capitalized companies and the smaller stocks tend to outperform them over time.

- Investors, however, gain the advantages of reaping relatively higher dividends compared to small- and mid-cap stocks, while also ensuring the long-term preservation of their capital.

- **Stocks on the basis of dividend payments:**

- Dividends are the primary source of income until the shares are sold for a profit. Stocks can be classified on the basis of how much dividend the company pays.

- **Income stocks:**

- These are stocks that distribute a higher dividend in relation to their share price. They are also called dividend-yield or dog stocks. So, a higher dividend means larger income. This is why these stocks are also called income stocks.

- Income stocks usually represent stable companies that distribute consistent dividends. However, these companies often are not high-growth companies. As a result, the stock's price may not rise much. Preferred stocks are also income stocks, since they promise regular dividend payments.

- Income stocks are thus preferred by investors who are looking for a secondary source of income. They are relatively low-risk stocks.

- Investors are not taxed for their dividend income. This is another reason that long-term, relatively low-risk investors prefer income stocks.

- So how to find such stocks? Use the dividend-yield measure to identify stocks that pay high dividends. The dividend yield gives a measure of how much an investor is earning (per share) from the investment by way of total dividends. It is calculated by dividing the dividend announced by the share price, and then written in percentage format. For example, a stock with a price of Rs. 1000 offers a dividend of Rs. 5 per share has a dividend yield is 0.5%.

- **Growth stocks:**

- Not all stocks pay high dividends. This is because, companies prefer to reinvest their earnings for company operations. This usually helps the company grow at a faster rate. As a result, such stocks are often called growth stocks.

- Since the company grows at a faster rate, the value of the shares also rises. This helps the investor earn a higher return when the stock is sold, although this comes at the expense of lower income through dividends.

- For this reason, investors choose such stocks for their long-term growth potential, and not for a secondary source of income.

- However, if the company ceases to grow, it cannot be called a growth stock. This makes such stocks more risky than income stocks.

- **Stocks on the basis of fundamentals:**

- Followers of value investing believe that a share price should equal the intrinsic value of the company's

share. They, thus, compare share prices with per-share earnings, profits and other financials to arrive at the intrinsic value per share.

- If a share price exceeds this intrinsic value, the stock is believed to be overvalued. In contrast, if the price is lower than the intrinsic value, the stock is considered to be undervalued.
- Undervalued stocks are also called 'value stocks'. They are preferred by value investors, as they believe the share price will eventually rise in the future.
- **Stocks on the basis of risk:**
Some stocks are riskier than others. This is because their share prices fluctuate more. However, just because a stock is risky does not mean investors should avoid it. Risky stocks have the potential to make you greater profits. Low-risk stocks, in contrast, give you lower returns.

- **Blue-chip stocks:**
These are stocks of well-established companies with stable earnings. These companies have lower liabilities like debt. This helps the companies pay regular dividends.

Blue-chip stocks are thus considered safe and stable. They are named after blue-colored chips in the game of poker, as the chips are considered the most valuable.

- **Beta stocks:**
Analysts measure risk – called beta – by calculating the volatility in its price. Beta values can have positive or negative values. The sign merely denotes if the stock is likely to move in sync with the market or against the market.

What really matters is the absolute value of beta. Higher the beta, greater the volatility and thus more the risk. A beta value over 1 means the stock is more volatile than the market. Thus, high beta stocks are riskier. However, a smart investor can use this to make greater profits.

- **Stocks on the basis of price trends:**
Prices of stocks often move in tandem with company earnings. Stocks are thus classified into two groups:
- **Cyclical stocks:**
Some companies are more affected by economic trends. Their growth moderates in a slow economy, or fastens in a booming economy. As a result, prices of such stocks tend to fluctuate more as economic conditions change.

They rise during economic booms, and fall as the economy slows down. Stocks of automobile companies are the best example of cyclical stocks.

- **Defensive stocks:**
Unlike cyclical stocks, defensive stocks are issued by companies relatively unmoved by economic conditions. Best examples are stocks of companies in the food, beverages, drugs and insurance sectors.

Such stocks are typically preferred when economic conditions are poor, while cyclical stocks are preferred when the economy is booming.

HOW TO BUY STOCKS?

Stocks can be classified into multiple categories on various parameters – size of the company, dividend payment, industry, risk, volatility, as well as fundamentals.



Step 1

Open demat and trading accounts. Without these two accounts, you cannot trade in the stock markets. Read how to open a demat account [here](#), and a trading account [here](#).

Step 2

First, analysis stocks and select ones that fit your investment profile. [Read](#) how to conduct stock market analysis.

Step 3

Once you have selected your stock, monitor it for a while. This is to ensure you buy at the lowest price possible in the near-term. Understand how the stock price moves.

First, analysis stocks and select ones that fit your investment profile. [Read](#) how to conduct stock market analysis.

Step 4

Decide when you want to place your order – during market times or after markets. This depends on the share price you are targeting. If you want to buy a stock at a fixed price, and the stock closed at that price, place the order after markets. If you feel you are likely to get a lower price during market hours, place it when the market is open for trading.

Step 5

Decide the kind of order you want to place. There are three kinds of orders – a limit order, a market order and a stop loss order, IOC (Immediate or cancel). A market order is the simplest of the lot – you simply place an order without any other specifications. In a limit order, you set an upper price limit. Suppose you have placed a limit order for 10 shares with a limit price of Rs. 100 when the share price is Rs. 99. Your trade will be processed as long as shares are available at Rs. 100 or below. So, if only 8 shares are available, only 8 out of the 10 requested will be purchased. This ensures you don't pay more than a specified amount.

Step 6

Once you have decided the specifics of your order, you either go online to your trading account to place the order, or call your broker. Give your bank account details so that the purchase money can be deducted from your account.

Step 7

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WHAT ARE STOCK QUOTES?

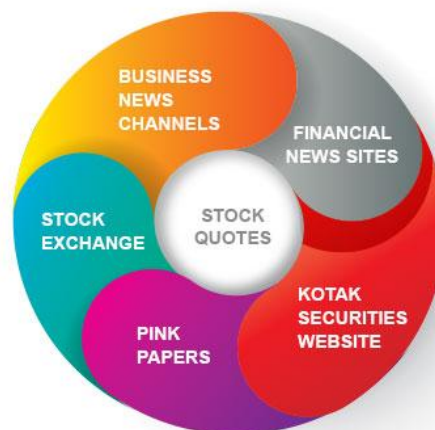
You must have often seen a ticker on a business news channel on the TV or on the huge billboard outside the Bombay Stock Exchange, constantly showing a bunch of letters and numbers in green or red lettering. These are stock quotes. The bunch of letters you see is a stock symbol, while the numbers that follow signify the stock price.

- What are stock symbols?
A stock symbol is a unique code given to all companies listed on the exchange. Once you know the stock code or symbol of the company, you can easily obtain information about the company. This is important for investors who wish to conduct a financial analysis before purchasing a company's shares. For example, TCS stands for Tata Consultancy Services, while INFY stands for Infosys. Often, it is not possible to write the full name of a company. It would take up a lot of space on the ticker board or stock table. In such a case, the stock symbol comes handy and it is just 3-4 letters. For this reason, stock symbols are also referred to as ticker symbols. So, when you are searching for a stock on Kotaksecurities.com or on the exchange's site, typing the stock symbol will directly lead you to the company's page, which will give you all possible details.

Note: On Kotaksecurities.com, you can also type just the first three alphabets of the company. Our site will display all possible combinations from which you may select the stock that you wish to invest in.

WHERE ARE THEY AVAILABLE?

Stock quotes are available very easily. Some of most accessible avenues to get stock information are the internet and business news channels. Pink papers or business newspapers also regularly publish a list of stock quotes, called the stock table. You could alternatively access the Kotak Securities website and get all the information that you wanted within a matter of seconds.



WHY SHOULD I READ A STOCK QUOTE?

When you invest in a stock, you need to know the stock price as well as its historical trends. This is imperative if you wish to invest in a valuable company at the right time. This will ensure that you not only get the stock right, but also the share price. Remember, if you wish to maximize your profits in the stock market, you need to buy at lows and sell at highs. So timing is of utmost importance. A stock quote gives you the information required to make this buying/selling decision.

So, you need to track stocks continuously for a period of time before making a buying or selling decision. Tracking stocks lets you gain from the best stock opportunities available in the market. It also helps you know monitor how the stocks in your portfolio are performing. No, it is not as complicated as it sounds. The Kotak Securities website can help you. It is designed to empower you with all the tools you might require to invest wisely.

You have the Portfolio Tracker Section, which lets you regularly monitor your portfolio. You can also track other stocks you wish to purchase, while keeping pace with all market activities with our Research Section that empowers you with intensive market-related research reports.

HOW TO READ STOCK QUOTES?

The stock table – available in financial papers and online – contains the information of all stocks. It can be a little confusing to understand. It has the following elements:

Company name and symbol:

The stock table needs space to fit in details of as many shares as possible. There is thus a space crunch. For this reason, company symbols, and not names, are used. On the internet, though, company's names too are given. This helps you identify the stock.

High/low:

During market hours, share prices keep changing as more trades are conducted. This is because buying makes the stock more valuable, while selling makes it less valuable. This in turn affects the share price. To give an investor a basis for comparison, the stock quote mentions the highest and lowest prices the stock hit in that day. If the share price is constantly rising, the 'high' would keep climbing. In the same way, the 'low' would keep falling in a down market. Once the market closes, the difference between the highest and the lowest prices gives an idea about the volatility in the stock's price.

Net change:

The closing price also helps calculate how much the stock's price has changed. This change is written in both percentage as well as absolute value format. It is calculated by subtracting today's price from the previous closing price, and then dividing with the closing price to get the percentage change. A positive change indicates the stock price has increased from the previous day. When the net change is positive, the stock is written in green colour, while red colour is used to denote share price has fallen.

Dividend details:

Companies distribute a portion of their profits to shareholders as dividends. While an investor holds the share, dividends are the primary source of income. For long-term investors, this is of great importance. This is because higher dividends mean greater returns for the investor. For this reason, many stock quotes mention the dividend yield, which helps compare the dividend with the share price. The dividend yield is calculated by dividing the dividend per share with the stock price. Higher the dividend yield, greater is the investor's income through dividends.

Stock price:

This is the price an investor or trader pays to buy a single share of the company. This fluctuates constantly during market hours, and remains constant when markets are closed for trading. It reflects the value the market has allotted to the company.

Close:

Stock prices stop fluctuating once the market is shut for trading. The 'close' or the 'closing price' thus reflects the last price at which the stock traded. During the market hours, it represents the previous day's closing price, again giving investor a benchmark to compare against. Since the newspaper is delivered in the morning, it reflects the price at which the stock closed the previous day.

52-week high/low:

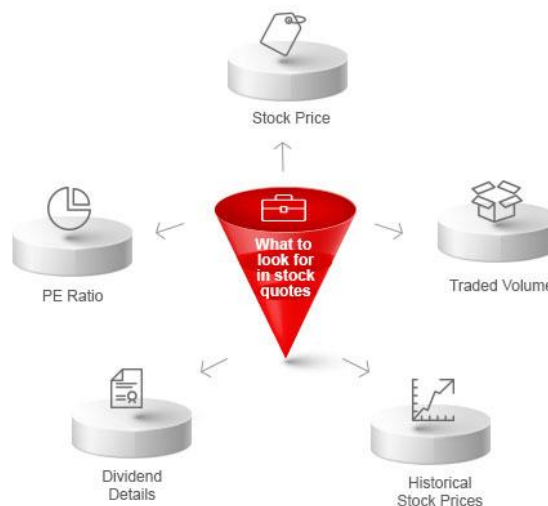
This shows the highest and lowest stock price in one year or 52-weeks. This too helps the investor understand the stock's trading range over a broader period of time.

PE Ratio:

Some stock tables and quotes also mention the PE ratio. This is the amount an investor pays for each rupee the company earns. It is calculated by dividing the stock price with the company's earnings per share. This is important because stock price is a market-assigned value. It largely depends on market sentiment about the stock, and hence may not be in synchronization with the share's internal value. The PE ratio, thus, helps give perspective about the share's value in comparison to the company's financial performance. A high PE ratio means the stock is costly, while a low PE ratio means the stock is cheaply available.

Volume:

If a company has a stipulated number of shares floated on the exchange, not all of them may be traded in a single day. It depends on demand for the stock. This is understood in the 'volume' section of the stock quote, which shows how many stocks changed hands. A higher trading volume is usually followed by a significant change in the stock price.



WHAT ARE STOCK INDICES?

From among the stocks listed on the exchange, some similar stocks are selected and grouped together to form an index. This classification may be on the basis of the industry the companies belong to, the size of the company, market capitalization or some other basis. For example, the BSE Sensex is an index consisting of 30 stocks. Similarly, the BSE 500 is an index consisting of 500 stocks.

The values of the grouped stocks are used to calculate the value of the index. Any change in the price of the stocks leads to a change in the index value. An index is thus indicative of the changes in the market.

Some of the important indices in India are:

- Benchmark indices – BSE Sensex and NSE Nifty
- Sectoral indices like BSE Bankex and CNX IT
- Market capitalization-based indices like the BSE Smallcap and BSE Midcap
- Broad-market indices like BSE 100 and BSE 500



WHY DO WE NEED INDICES?

Indices are an important part of the stock market. Here's why we need stock indices:



Sorting:

In a share market, there are thousands of companies listed. How do you differentiate between all of those and pick one or two to buy? How do you sort them out? It is a classic case of a pin in a stack of hay. This is where indices come into the picture. Companies and their shares are classified into indices based on key characteristics like size of company, sector or industry they belong to, and so on.

Representation

Indices act as a representative of the entire market or a certain segment of the market. In India, the BSE Sensex and the NSE Nifty are considered the benchmark indices. They are considered to represent the overall market performance. Similarly, an index formed of IT stocks is supposed to represent all stocks of companies from the industry.

Comparison

An index makes it easy for an investor to compare performance. An index can be used as a benchmark to compare against. For example, in India the Sensex is often used as a benchmark. So, to find if a stock has outperformed the market, you simply compare the price trends of the index and the stock. On the other hand, an index can also be used to compare a set of stocks against a benchmark or another index. For example, on a given day, the benchmark index like Sensex may jump 200 points, but this rally may not extend to a certain segment of stocks like IT. Then, the fall in the value of index representing IT stocks could be used for comparison rather than each individual stocks. This also helps investors identify market trends easily.

Reflection

Investor sentiment is a very important aspect of stock market movements. This is because, if sentiment is positive, there will be demand for a stock. This will subsequently lead to a rise in prices. It is very difficult to gauge investor sentiment correctly. Indices help reflect investor's mood – not just for the overall market, but even sector-wise and across company sizes. You can simply compare an index with a benchmark to see if it has underperformed or outperformed. This will, in turn, reflect investor sentiment.

Passive investment

Many investors prefer to invest in a portfolio of securities that closely resembles an index. This is called passive investment. An index portfolio helps investors cut down cost of research and stock selection. They rely on the index for stock selection. As a result, portfolio returns will match that of the index. For example, if Sensex gave 8% returns in one month, an investor's portfolio that resembles the Sensex is also likely to give the same amount of returns. Indices are also used to construct mutual funds and exchange-traded funds (ETFs).

HOW ARE STOCK INDICES FORMED?

An index consists of similar stocks. This could be on the basis of industry, company size, market capitalization or another parameter. Once the stocks are selected, the index value is calculated. This could be a simple average of the prices of the components. In India, the free-float market capitalization is commonly used instead of prices to calculate the value of an index.

The two most common kinds of indices are – Price-weighted and market capitalization-weighted index.

What is stock weightage?

Every stock has a different price. So, a 1% change in one stock may not equal a similar change in another stock's price. So, the index value cannot be a simple total of the prices of all the stocks. Here is where the concept of stock

weightage comes into play. Each stock in an index has a particular weightage depending on its price or market capitalization. This is the amount of impact a change in the stock's price has on index value.

- **Market-cap weightage**

Market capitalization is the total market value of a company's stock. This is calculated by multiplying the share price of a stock with the total number of stocks floated by the company. It thus takes into consideration both the size and the price of the stock. In an index using market-cap weightage, stocks are given weightage on the basis of their market capitalization in comparison with the total market-capitalization of the index. For example, if stock A has a market capitalization of Rs. 10,000 while the index it is part of has a total m-cap of Rs. 1,00,000, then its weightage will be 10%. Similarly, another stock with a market-cap of Rs. 50,000, will have a weightage of 50%.

The point to remember is that market capitalization changes every day as the stock price fluctuates. For this reason, a stock's weightage too changes every day. However, it is usually a marginal change. Also, the market capitalization-weightage method gives more importance to companies with higher m-caps.

In India, most indices use free-float market capitalization. In this method, instead of using the total shares listed by a company to calculate market capitalization, only the amount of shares publicly available for trading are used. As a result, free-float market capitalization is a smaller figure than market capitalization.

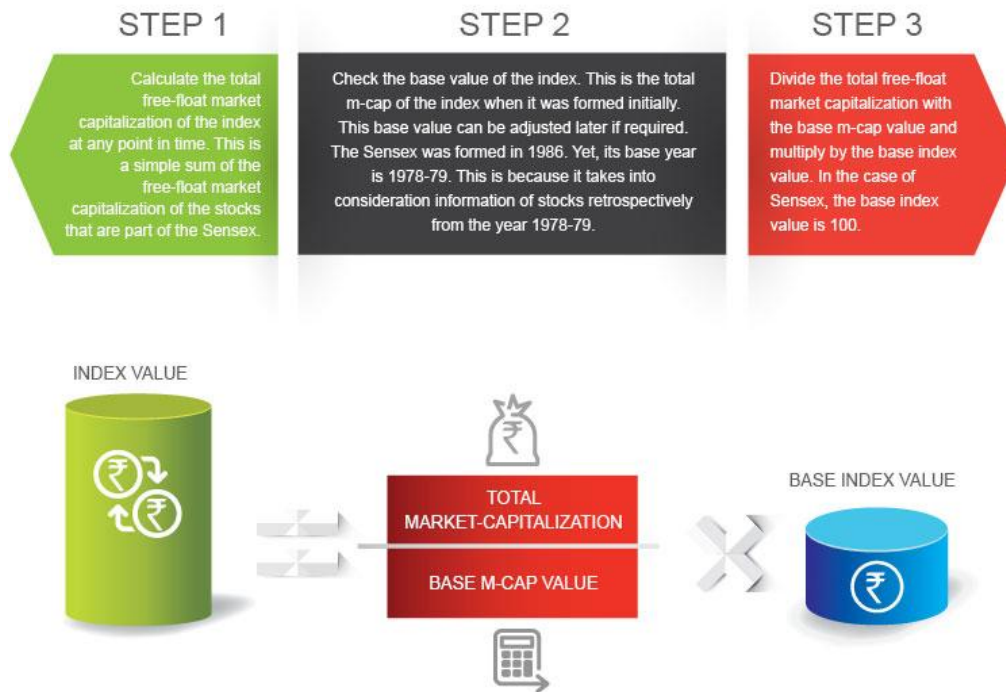
- **Price weightage**

In this method, an index value is calculated on the basis of the company's stock price, and not market capitalization. Stocks with higher prices have greater weightages in the index than stocks with lower prices. The Dow Jones Industrial Average in the US and the Nikkei 225 in Japan are examples of price-weighted indices.

There are also other kinds of weightages like equal-value weightage or fundamental weightage. However, they are rarely used by public indices.

HOW IS INDEX VALUE CALCULATED?

An index's value depends on whether it is a price-weighted index or market cap-weighted. Let us take the example of the BSE Sensex to understand how an index is calculated.



WHAT ARE COMPANY EARNINGS?

Companies undertake activities that produce a good or service. This is sold to customers who pay a certain amount of money for it. The total amount the company receives is called 'revenue'. A company also incurs expenses on employees, utility bills, costs of production and other operating expenses.

Once you deduct these expenses, the surplus left is the company's earnings, or net profit. Usually, income earned from operations is the key source of profits. Many companies also earn additional income from different kinds of investments.

Investments generate income for businesses by way of either interest on loans, dividends from other businesses, or gains on the sale of investment property.

Thus, company earnings are the sum of income from sales or investment left after the company has met its obligations.

WHAT ARE QUARTERLY AND OTHER FINANCIAL REPORTS?

Every three months, every company has to submit details about its financial performance. These are called quarterly reports. In addition, companies may also provide with special reports called statistical supplements. These provide investors with additional financial information. These, however, are not as comprehensive as the annual report.

Thus, quarterly reports are very similar to the annual reports, except they are issued every three months and are less comprehensive. These are filed with the stock exchange, which then makes it available to investors.

WHY ARE EARNINGS IMPORTANT TO YOU AS AN INVESTOR?

As an investor who holds shares of the company, you have part ownership of the company. You are thus entitled to get a portion of the company's profit as dividends. Until you sell the stock, this is your primary source of income as an investor from the stock holding. As a result, if the company does well and earns more profit, you receive more as

dividend. Not just that, it will also drive up the inherent value of your shareholding. This means you earn more returns.

Sometimes, when a company is in the initial stages of growth, it may choose to reinvest its earnings for operations and expansion. While you are temporarily at a loss as an investor, this increases the likelihood that you will get higher dividends in the future.

Company earnings are important to you, even if you hold its bonds. This is because, when you lend money to the company by investing in its bonds, the company uses part of its earnings to repay you through interest payments. The greater the company's earnings, the more secure you can be that you will receive your interest payments. So, company earnings are important to you because you make money when the business you invest in makes money.

INSIDE THE ANNUAL REPORT:

Here is what comprises an annual report:



- **A letter from the chairman** on the high points of business in the past year with predictions for the next year.
- **The company philosophy** – a section that describes the principles and ethics that govern a company's business.
- **An extensive report** on each section of operations within the company, describing the company's services or the products.
- **Financial information** that includes the profit and loss (P&L) statements, cash flow statement and a balance sheet. Depending on its income and expenses, the company will either make profits or show losses for the year. The cash flow statement, as the name suggests, reflects where the money came from and how it was utilized. It is an important financial statement as it helps one understand if the company is generating enough money from its operations to fund the costs, or if the company is constantly reliant on external funding like debt or equity. The balance sheet describes assets and liabilities and compares them to the previous year. The footnotes will also give you reveal important information, as they discuss current or pending lawsuits or government regulations that may impact the company operations.
- **An auditor's** letter in the annual report confirms that the information provided in the report is accurate and has been certified by independent accountants.

- **The annual report** also includes a section called management's commentary. In this section, the management explains how the balance sheet and income statements have been prepared, where the funds have come from, and how they have been utilized. This is also an important section as it reflects the management's mindset and outlook

UNDERSTANDING THE BALANCE SHEET

The balance sheet is one of the most important financial statements of a company. The logic behind producing a balance sheet is to ensure that all of the company's funds are accounted for, and that financial accounts are always in balance. It is reported to investors at least once a year. You may also receive quarterly, semi-annually or monthly balance sheets. The contents of a balance sheet include what the company owns, what it owes, and the value of the business to its stockholders.

Let's look at these three components in detail:



What are Assets?

This is the component that details all that the company owns. Assets, then, are any items of economic value owned by a corporation that can be converted into cash. **There are two main kinds of assets** – current and long-term assets.



Current assets:

Are assets that can be easily converted to cash in the short term within one year. Bondholders and other creditors closely monitor a firm's current assets since interest payments are generally made from current assets. It is also important because assets can be easily liquidated into cash, which could help prevent loss of your investments in case of bankruptcy.

Also, current assets are important to most companies, as they are a source of funds for day-to-day operations. It is, thus, evident that the more current assets a company owns, the better it is performing.



- **Cash and cash equivalents** are also a kind of current assets. Cash equivalents are non-cash items, but which can be converted into cash quite easily. For this reason, they are considered equal to cash. Cash equivalents are generally highly liquid, can be sold easily, short-term and safe investments like bank deposits.



- **Accounts Receivable** is another kind of a current asset. It is the money customers – either individuals or corporations – owe the firm in exchange for goods or services that have been delivered or used. For example, suppose your shopkeeper is willing to supply goods on an account-basis, and you pay for all the goods at the end of the month, whatever money you owe him will be counted as accounts receivable until you actually pay for it.

Simply put, this is business being done on credit instead of cash. For this reason, it is a significant component of the balance sheet. Although accounts receivable is money owed to you, it is recorded as an asset on the balance sheet as it represents a legal obligation for the customer to pay the cash.



- **A firm's inventory** is the stock of goods produced that have not been sold yet. It sometimes also includes the materials already bought for manufacturing a particular good.

For this reason, a manufacturing company will often have three different types of inventory: raw materials, work-in-process, and finished goods. A retail firm's inventory, generally, will consist only of products purchased that are still to be sold. Since inventory is likely to earn the company money in the future, it is recorded as an asset on the balance sheet.

Long-term assets :

Are those assets that cannot be converted into cash in the current or upcoming fiscal year.

They are grouped into several categories like:



- **A long-term tangible asset** is one that is held for business use and is not expected to be converted to cash in the current or upcoming fiscal year. Examples include manufacturing equipment, real estate, and furniture. Fixed assets like equipment, buildings, production plants and property are a kind of long-term tangible asset. They are very important to a company because they represent long-term investments that will not be liquidated soon and can facilitate the company's earnings.

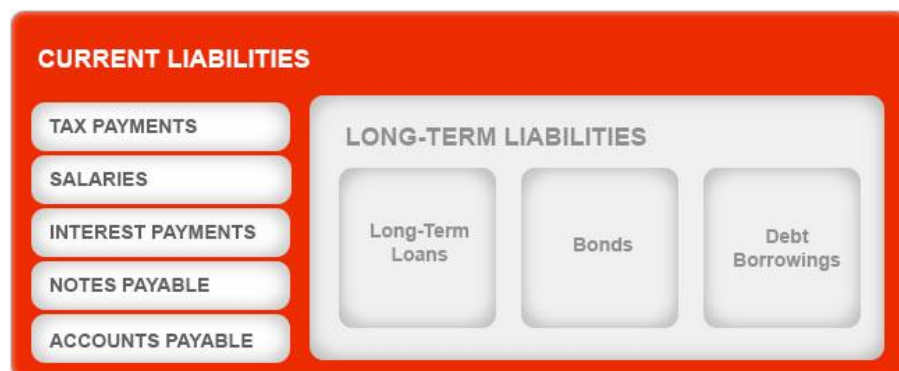
On the balance sheet, these are valued at their cost. As the value of the asset declines over the years, depreciation is subtracted from all such assets, except land. Depreciation gives you an estimate of the decrease in the value of an asset that is caused by 'wear and tear'. Sometimes, it also occurs because the asset has become obsolete. Depreciation appears in the balance sheet as a deduction from the original value of the fixed assets. This is because the value of the fixed asset decreases due to 'wear and tear'.



- **Intangible assets** are non-physical assets such as copyrights, franchises and patents. Since they are intangible and not concrete like tangible assets, it becomes difficult to estimate their value. Often there is no ready market for them. However, there are times when an intangible asset can be the most valuable asset that a company possesses.

What are Liabilities?

This is the component of the balance that deals with a company's debt to outside parties. They represent the rights of others to expect money or services of the company. A company that has too many liabilities may be in danger of going bankrupt. Examples of liabilities include bank loans, debts to suppliers and debts to its employees. On the balance sheet, liabilities are generally broken down into current liabilities and long-term liabilities.



Current liabilities :

Are debts that are due within one year. They include the money owed for taxes, salaries, interest, accounts payable and notes payable. A company is considered to have good financial strength when current assets exceed current liabilities.



- **Accounts payable** is the amount the company owes to suppliers that it has bought raw materials and other goods from. You will often see accounts payable on most balance sheets. Let us take the example used earlier for accounts receivable. When you purchase goods from the shopkeeper on a monthly-account basis, whatever money you owe him before the end of the month is counted as 'accounts payable' in your balance sheet. Since the money is paid over a short-term, accounts payable is counted as a current liability.

Long-Term liabilities :

Are long-term loans that are to be paid back over a period greater than one year. These debts are often paid in installments. If this is the case, the portion to be paid off in the current year is considered a current liability.

What is Shareholder's Equity?

This is the value of a business to its owners after all of its obligations have been met. Shareholder's equity is calculated as the value of a company's assets subtracted from the value of its total liabilities. Shareholders' equity is also calculated by the sum of the amount of capital the owners invested, and the portion of the profits that the company reinvests rather than distributing as dividend.



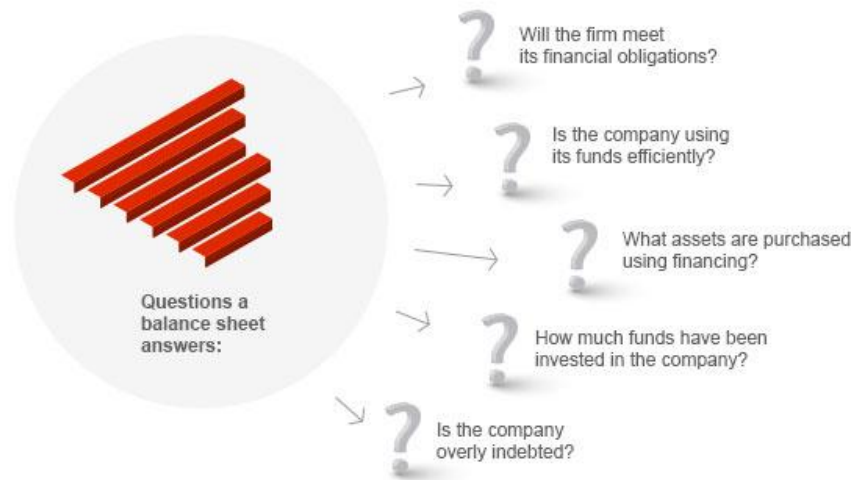
Recollect that companies distribute a portion of their income as dividends to shareholders. Whatever left is called retained earnings. This is reinvested in the company for its operations. Thus, shareholder's equity reflects how much the business is funded through the two key common sources – owners' capital invested initially and the money accumulated over time from profitable operations.

WHY SHOULD THE BALANCE SHEET BE IMPORTANT TO YOU?

As an investor, you need to ensure that the company you have invested in has good potential for future growth, and will yield good returns. **The balance sheet helps you get answers to questions like:**

- **Will the firm meet its financial obligations?**
- **How much funds have already been invested in this company?**
- **Is the company overly indebted?**
- **What are the different assets that the company has purchased with its financing?**
- **Is the company using its funds efficiently?**

These are just a few of the many relevant questions you can answer by studying the balance sheet. The balance sheet provides a diligent investor with many clues to a firm's future performance.



HOW DO I OBTAIN AN ANNUAL REPORT?

Annual reports are mailed automatically to all shareholders on record. If you wish to obtain the annual report about a company in which you do not own shares, you can call its public relations (or shareholder relations) department. You may also look at the company website, or search the internet; there are several sources on the internet providing such information on public companies.

All listed companies are required to submit the financial reports available in the public domain as per SEBI regulations. These may, hence, also be available with the two exchanges – Bombay Stock Exchange and National Stock Exchange.

HOW DO YOU USE EARNINGS INFORMATION TO MAKE AN INVESTMENT DECISION?

Your investment goals, determine how you use information about company earnings. If you are an income investor – one interested in earning immediate income from your investments – you probably want to invest in a company that is paying high dividends.

If you have a long-term investment strategy, dividends may not be as important to you. In this case, you may choose to compare company financial, which indicates whether a company is oriented for income, growth, or a bit of both. By comparing the financials for different companies in the same industry, you can find characteristics best suited to your investment goals.

A convenient way to compare companies is through Earnings per Share (EPS). It represents the net profit divided by the number of outstanding shares of stock.

When you compare the EPS of different companies, be sure to consider the following:

- Companies with higher earnings are financially stronger than companies with lower earnings.
- Companies that reinvest their earnings may pay low or no dividends, but may be poised for growth.
- Companies with lower earnings and higher research and development costs may be on the brink of either a breakthrough or a disaster, making them a risky proposition.
- Companies with higher earnings, lower costs and lower shareholder equity, might go in for a merger.

How to open a Demat Account

HOW DO YOU OPEN A DEMAT ACCOUNT?

- First select the Depository Participant you want to open your demat account with. Most brokerages and financial institutions offer the service.
- Then fill up an account opening form and submit along with copies of the required documents and a passport-sized photograph. You also need to have a PAN card. Also carry the original documents for verification.
- You will be provided with a copy of the rules and regulations, the terms of the agreement and the charges that you will incur.
- During the process, an In-Person Verification would be carried out. A member of the DP's staff would contact you to check the details provided in the account opening form.
- Once the application is processed, the DP will provide you with an account number or client ID. You can use the details to access your demat account online.
- As a demat account holder, you would need to pay some fees like the annual maintenance fee levied for maintenance of account and the transaction fee -- levied for debiting securities to and from the account on a monthly basis. These fees differ from every service provider (called a Depository Participant or DP). While some DPs charge a flat fee per transaction, others peg the fee to the transaction value, and are subject to a minimum amount. The fee also differs based on the kind of transaction (buying or selling). In addition to the other fees, the DP also charges a fee for converting the shares from the physical to the electronic form or vice-versa.
- Minimum shares: A demat account can be opened with no balance of shares. It also does not require that a minimum balance be maintained.



WHAT ARE THE DOCUMENTS REQUIRED FOR A DEMAT ACCOUNT?

You need to submit proofs of identity and address along with a passport size photograph and the account opening form. Only photocopies of the documents are required for submission, but originals are also required for verification.

Here is a broad list of documents that can be used as proofs:

Proof of identity

PAN card, voter's ID, passport, driver's license, bank attestation, IT returns, electricity bill, telephone bill, ID cards with applicant's photo issued by the central or state government and its departments, statutory or regulatory authorities, public sector undertakings (PSUs), scheduled commercial banks, public financial institutions, colleges affiliated to universities, or professional bodies such as ICAI, ICWAI, ICSI, bar council etc.



Proof of address

Ration card, passport, voter ID card, driving license, bank passbook or bank statement, verified copies of electricity bills, residence telephone bills, leave and license agreement or agreement for sale, self-declaration by High Court or Supreme Court judges, identity card or a document with address issued by the central or state government and its departments, statutory or regulatory authorities, public sector undertakings (PSUs), scheduled commercial banks, public financial institutions, colleges affiliated to universities and professional bodies such as ICAI, ICWAI, Bar Council etc

All about Demat and Trading Account: All you need to know

WHAT IS A TRADING ACCOUNT?

When a company lists on the stock market, its shares become available for trading on the stock exchange. Earlier, the exchange had an open-outcry system. In the mid-90s, the stock exchanges adopted the electronic system. This means, all trades were conducted electronically. Simply put, you didn't have to go to the counter and place an order physically. You could do it through a computer, which would verify the details, the market price, and process the trade.

For this reason, you need a special account through which you can conduct transactions. This is called the trading account. Without one, you cannot trade in the stock markets. You register for a trading account with a stock broker or a firm. Each account comes with a unique trading ID, which is used for conducting transactions.

WHAT IS THE DIFFERENCE BETWEEN DEMAT AND TRADING ACCOUNTS?

Yes. A trading account is used to place buy or sell orders in the stock market. The demat account is used as a bank where shares bought are deposited in, and where shares sold are taken from. You need both demat and trading accounts to trade in the market.

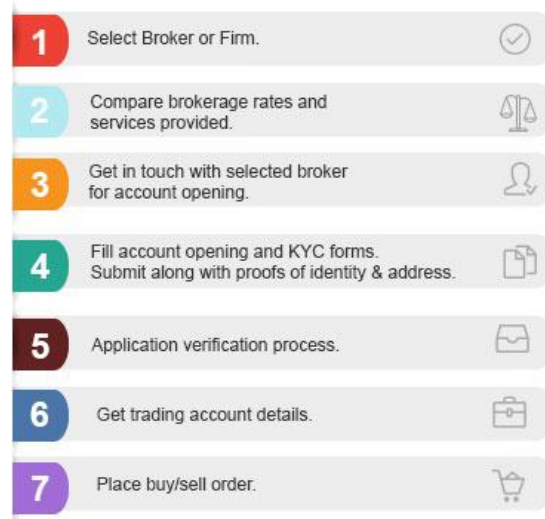
Let's use an example.

You have Rs.100 in your wallet. You go to a shop and tell the seller that you want a packet of chips, you check the price, and finalize the transaction. Then, you take the money out of your wallet and give it to the seller. In this case, the wallet acts as the demat account, while you act as the trading account.

HOW TO OPEN A TRADING ACCOUNT?

Just like the demat account, a trading account is a must for investing in the stock market. This is because to trade in the stock markets, you need to be registered with the stock exchange. Stock brokers are registered members of the exchanges. They traditionally conduct trades on your behalf.

Most often, stock broking firms have thousands of clients. It is not feasible to take physical orders from every client on time. So, to make this process seamless, it is advisable to open a trading account. Using this trading account, you can place buy or sell orders either online or phone, which will automatically be directed to the exchange through the stock broker.



Here's how you open a trading account:

- First, select the stock broker or firm. Ensure that the broker is good and will take your orders in a timely manner. Remember, time is of utmost importance in the stock market. Even a few minutes can change the market price of the stock. For this reason, ensure that you select a good broker.
- Compare brokerage rates. Every broker charges you a certain fee for processing your orders. Some may charge more, some less.
- Some give discounts on the basis of the amount of trades conducted. Take all this into account before opening an account. However, remember that it is not necessary to choose a broker who charges the lowest fees. Good quality brokerage services provided often may need higher-than-average charges.
- Next, get in touch with the brokerage firm or broker and enquire about the account opening procedure. Often, the firm would send a representative to your house with the account opening form and the Know Your Client (KYC) form
- Fill these two forms up. Submit along with two documents that serve as proof of your identity and address.
- Your application will be verified either through an in-person check or on the phone, where you will be asked to divulge your personal details.
- Once processed, you will be given your trading accounts details. Congrats, you will now be able to conduct trades in the stock market

BUY ORDER



SELL ORDER



HOW TO TRADE USING DEMAT ACCOUNT?

Step 1:

Link your trading and demat accounts. This way you won't have to keep supplying your demat account details for every transaction.

Step 3:

The exchange will process your order. It will verify the details of the transaction, the market price, the availability of the shares in the market, and so on. It will also check the details of your demat account that is linked to your trading account. This is especially so in case of a sell order.

Step 2:

Place an order through your trading account. This could be a market order, a limit or buy order, or an after-market order. If your brokerage allows you to place orders through the phone, then you will need to supply your trading account details.

Step 4:

Once the order is processed, the shares will be either deposited in or debited from your demat account.

CAN YOU TRANSFER SHARES USING DEMAT ACCOUNT?

- **Nomination:** Yes, nomination is possible. You can have a nominee of your choice by filling up the details in the account opening form. This enables the nominee to receive the securities after the death of the holder of the demat account.

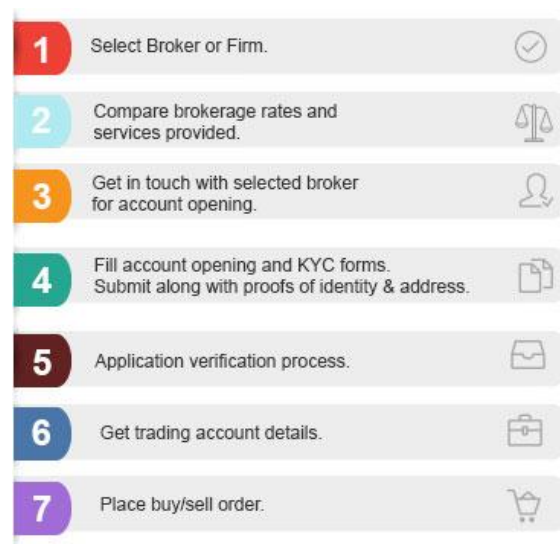
- **Between DPs:** Transfer of shares is possible between demat accounts held with different DPs. You need to fill the Delivery Instruction Slip Book (DIS) and submit the same to your DP for transferring your shares from another demat account. However, you need to check whether the central depositories are same or not (CDSL or NSDL). If both of them are different, then you need an INTER-Depository Instruction Slip (Inter DIS). If they are same, then you need an INTRA Depository Instruction Slip (Intra DIS).

Do try to submit that DIS when the market is on. Then, the date of submission of DIS and date of execution of DIS would be the same. Otherwise, there may be a delay. You may also need to pay the broker some charges for the transfer.

How to open a Trading Account

Since 2000, the stock markets have become electronic. This means, trading is conducted online. Today, you need a demat and a trading account to invest in the stock market. A trading account is opened with a stock broker.

Most often, stock broking firms have thousands of clients. It is not feasible to take physical orders from every client on time. So, to make this process seamless, you open a trading account. Using this account, you can place buy or sell orders either online or phone, which will automatically be directed to the exchange through the stock broker.



Here's how you open a trading account

- First, select the stock broker or firm. Ensure that the broker is good and will take your orders in a timely manner. Remember, time is of utmost importance in the stock market. Even a few minutes can change the market price of the stock. For this reason, ensure that you select a good broker.
- Compare brokerage rates. Every broker charges you a certain fee for processing your orders. Some may charge more, some less.
- Some give discounts on the basis of the amount of trades conducted. Take all this into account before opening an account. However, remember that it is not necessary to choose a broker who charges the lowest fees. Good quality brokerage services provided often may need higher-than-average charges.
- Next, get in touch with the brokerage firm or broker and enquire about the account opening procedure. Often, the firm would send a representative to your house with the account opening form and the Know Your Client (KYC) form
- Fill these two forms up. Submit along with two documents that serve as proof of your identity and address.

- Your application will be verified either through an in-person check or on the phone, where you will be asked to divulge your personal details.
- Once processed, you will be given your trading accounts details. Congrats, you will now be able to conduct trades in the stock market

WHAT ARE THE DOCUMENTS REQUIRED?

Just like the procedure for opening a demat account, you need to submit proofs of identity and address along with a passport size photograph and the account opening form for opening a trading account.

Here is a broad list of documents that can be used as proofs:

Proof of identity

PAN card, voter's ID, passport, driver's license, bank attestation, IT returns, electricity bill, telephone bill, ID cards with applicant's photo issued by the central or state government and its departments, statutory or regulatory authorities, public sector undertakings (PSUs), scheduled commercial banks, public financial institutions, colleges affiliated to universities, or professional bodies such as ICAI, ICWAI, ICSI, bar council etc.

Proof of address

Ration card, passport, voter ID card, driving license, bank passbook or bank statement, verified copies of electricity bills, residence telephone bills, leave and license agreement or agreement for sale, self-declaration by High Court or Supreme Court judges, identity card or a document with address issued by the central or state government and its departments, statutory or regulatory authorities, public sector undertakings (PSUs), scheduled commercial banks, public financial institutions, colleges affiliated to universities and professional bodies such as ICAI, ICWAI, Bar Council etc.

Stock Market FAQs?

Have some more questions about the stock market? Here are answers to some common questions:

WHY WOULD I CHOOSE STOCKS?

Stocks are one of the most effective tools for building wealth, as stocks are a share of ownership of a company. You thus have great potential to receive monetary benefits when you own stock shares. Owning stocks of fundamentally strong companies simply lets your money work harder for you since they appreciate in value over a period of time while also offering rich dividends on a periodic basis.

WHAT INSTRUMENTS ARE TRADED IN THE STOCK MARKETS?

There are various types of instruments traded in the stock market. They include shares, mutual funds, IPOs, futures and options.

WHERE DO I BUY STOCKS?

Stock trading happens on stock exchanges. However, you cannot buy directly at the exchange. To buy stocks, you need to find a suitable broker who will understand your needs and buy stocks on your behalf. You can think of them as agents who will conduct transactions for you without actually owning any of the securities themselves. In

exchange for facilitating or executing a trade, brokers will charge you a commission. You can easily buy stocks through Kotaksecurities.com, one of India's leading stock brokers, with a variety of services and products to cater to all your investment needs at very reasonable brokerage rates. Once you are registered with us, you can trade using the Kotak Securities website, our mobile trading app, our desktop trading application, or through the phone using our Call & Trade facility.



WHERE DO I FIND STOCK RELATED INFORMATION?

Some of the most accessible avenues to get stock information are the internet, business news channels and print media. You could alternatively access the Kotak Securities website and get all the information that you wanted within a matter of seconds.

WHAT ARE SOME OF THE ORDERS I CAN PLACE?

You can place different kinds of orders such as market orders, limit orders, stop loss orders, good-till-cancelled orders, after-market orders (AMOs), etc.



Market order

A market order is an order to buy or sell a stock at the current market price. It signals your broker to execute the order at the best price currently available. However, as market prices keep changing, a market order cannot guarantee a specific price.

Limit order

To avoid buying or selling a stock at a price higher or lower than you wanted, you need to place a limit order rather than a market order. A limit order is an order to buy or sell a security at a specific price. You could use a limit order when you want to set the price of the stock. In other words, you want to sell/buy particular scrip at a price other than the current market price. However, although a limit order guarantees a price, it cannot guarantee execution of the trade. This is because the stock might not reach the desired price on that particular trading day owing to market-related factors.

Stop loss order

A stop loss order is a normal order placed with a broker to sell a security when it reaches a certain predetermined price called the trigger price. Sometimes the market movements defy your expectations. Such market reversals often result in loss-bearing transactions. The stop loss trigger price is your defense mechanism – an amount at which you will be able to sustain yourself against such unanticipated market movements. For example, if you bought a stock at Rs. 10, you place a stop loss order with your broker to sell it, if it reaches Rs. 8. This helps you prevent further loss, in the eventuality that the price of the stock might dip even further. Thus, it helps limit your loss or protect unrealized profits, whichever the case.

Good-till-canceled

GTC or Day Orders are orders given to your broker that hold true only during the trading day when the order was placed. If the order has not been executed on that day, it will not be passed on to the next trading day. Thus, they are orders that are only 'good until it is canceled' or 'good for the day'. For example, suppose that you have placed a stop loss order with your broker to sell a stock once the price reaches level X. If it does not reach limit X, your broker will not sell the stock. However, the stop loss order given to your broker will not hold true for the next day. So, even if the stock reaches level X on Day 2, he will not execute the trade till you instruct him to do so again.

IOC

An Immediate or Cancel (IOC) order allows a Trading Member to buy or sell a security as soon as the order is released into the market, in case order failed to full fill the total quantity it will be removed from the market. Partial match is possible for the order, and the unmatched portion of the order is cancelled immediately.

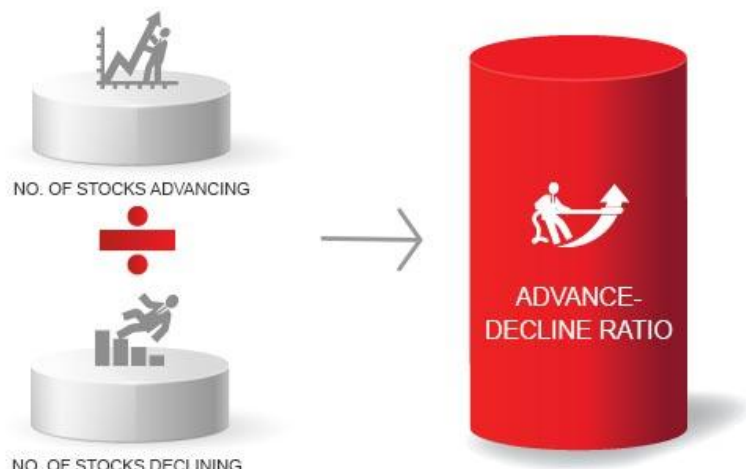
WHAT HAPPENS IN CASE MY SHARES ARE SHORT SOLD?

At any point of time when the shares are short sold and the same are not delivered to the exchange, the shares go in for auction. Here, the shares are purchased on behalf of the client in the auction market and delivered to the actual buyer. To carry on the auction procedure, 150% of the amount shall be blocked in your account. This amount will be reversed once the actual auction charges are debited from your account.

You also have the option to transfer shares from some other demat account to your demat account with Kotak Securities in order to adjust for the shares short-sold. However, the shares should be transferred one day prior to the pay-in date before 3.30 p.m.

WHAT ARE ADVANCES AND DECLINES?

- Advances and declines give you an indication of how the overall market has performed. You get a good overview of the general market direction. As the name suggest 'advances' inform you how the market has progressed. In contrast, 'declines' signal if the market has not performed as per expectations. The Advance-Decline ratio is a technical analysis tool that indicates market movement. The ratio is calculated using the formula:



- Generally, it is seen that in bullish markets, the number of stocks that advance is more than the ones that declined; the converse holds true in a bearish market. The indicator – market breadth – is used to gauge the number of stocks advancing and declining for the day.
- 'Remains unchanged' is a term used if the market scenario shows no advancement or decline compared to the earlier day.
- Advances and declines are calculated from the previous day's closing results. However, a market with an advance-decline ratio that is significantly down or up may have a hard time reversing out of that direction the next day.

CAN I TRADE WHEN MARKETS ARE SHUT?

No, you cannot trade when the markets are shut but you can place orders . Such orders are called After-Market Orders. AMO is for those customers who are busy during market hours but wish to participate. When you place an AMO, you have to keep in mind the closing price of the stock. You can choose a price which is 5% higher or lower than the closing price. That said, your order will be processed as soon as the market opens the next day at the opening price if it falls within this 5% band.

AMOs come handy when you need time to plan your orders after conducting research. During market hours, you need to actively track the price as it is constantly fluctuating. This is not the case for AMOs.

WHAT ARE STOCK RECOMMENDATIONS?

You cannot invest without conducting research. Often, many analysts and brokerage firms undertake their own stock market research keeping in mind the economy, industries, currency valuation, and so on. They often use public data from institutions like the Reserve Bank of India and speak to experts as part of their research. This is not easily possible for retail investors. As a result, findings of such research are extensively followed by investors, which also give a buy or sell recommendation for specific stocks.

CAN I OWN MORE THAN ONE DEMAT OR TRADING ACCOUNT?

Yes, you can own more than one demat and trading account. However, these may be with multiple brokers and firms. While you have the freedom to open many accounts, it is not a viable option. This is because you would have to pay maintenance charges for each of these accounts, which may turn out to be costly affair in the long run.

HOW CAN YOU QUALIFY THE MARKET AS BULL OR BEAR?

Bull and bear markets signify relatively long-term movements of significant proportion. Hence, these runs can be gauged only when the market has been moving in its current direction (by about 20% of its value) for a sustained period. One does not consider small, short-term movements that last for a few days, as they may only indicate corrections or short-lived movements.

WHAT IS BOTTOMING OUT?

Stock prices move in trends – an upward and a lower trend. During periods of bear markets, prices keep falling. However, there will come a time when the market starts to look cheap. This is when it starts to rise again as people start buying slowly. This phenomenon when the market free-fall ends and the rise begins is called bottoming out.

Similarly, on the higher end, there will come a point when too much buying has made the stock costly. Traders then start selling in droves to book profits. So, the price does not rise beyond this level. This is called 'peaking'.



WHAT ARE THE VARIOUS TYPES OF THE RISKS ONCE I START TRADING?



This is the risk of investing in the stock market in general. It refers to a chance that a security's value might decline. Although a particular company may be doing poorly, the value of its stock can go up because the stock market value is collectively going up. Conversely, your company may be doing very well, but the value of the stock might drop because of negative factors like inflation, rising interest rates, political instability etc that are effecting the whole market. All stocks are affected by market risk.

Industry Risk

This is a risk that affects all companies in a particular industry. This is because the companies in an industry may work in a similar fashion. This exposes them to certain kinds of risk unique to the industry.

Regulatory Risk

Virtually every company is subject to some sort of regulation. It refers to the risk that the government will pass new laws or implement new regulations that will dramatically affect a business.

Business Risk

These are the risks unique to an individual company. It refers to the uncertainty regarding the organization's ability to conduct its business. Products, strategies, management, labor force, market share, etc. are among the key factors investors consider in evaluating the value of a specific company.

WHAT IS BANKRUPTCY?

Bankruptcy is a legal mechanism that allows creditors to assume control of a firm when it can no longer meet its financial obligations. Both stocks and bondholders fear bankruptcy. This is because you are unlikely to get all your money back. Generally, the firm's assets are sold in order to pay off creditors to the largest extent possible. However, in case the liabilities exceed the value of the company's assets, even creditors may be at a loss.

Introduction to Derivatives Trading

What are derivatives:

Derivatives are financial contracts that derive their value from an underlying asset. These could be stocks, indices, commodities, currencies, exchange rates, or the rate of interest. These financial instruments help you make profits by betting on the future value of the underlying asset. So, their value is derived from that of the underlying asset. This is why they are called '**Derivatives**'.



The value of the underlying assets changes every now and then.

For example, a stock's value may rise or fall, the exchange rate of a pair of currencies may change, indices may fluctuate, commodity prices may increase or decrease. These changes can help an investor make profits. They can also cause losses. This is where derivatives come handy. It could help you make additional profits by correctly guessing the future price, or it could act as a safety net from losses in the spot market, where the underlying assets are traded.

What is the use of derivatives:

In the Indian markets, futures and options are standardized contracts, which can be freely traded on exchanges. These could be employed to meet a variety of needs.



Earn money on shares that are lying idle:

So you don't want to sell the shares that you bought for long term, but want to take advantage of price fluctuations in the short term. You can use derivative instruments to do so. Derivatives market allows you to conduct transactions without actually selling your shares – also called as physical settlement.

Benefit from arbitrage:

When you buy low in one market and sell high in the other market, it called arbitrage trading. Simply put, you are taking advantage of differences in prices in the two markets.

Protect your securities against

fluctuations in prices The derivative market offers products that allow you to hedge yourself against a fall in the price of shares that you possess. It also offers products that protect you from a rise in the price of shares that you plan to purchase. This is called hedging.

Transfer of risk:

By far, the most important use of these derivatives is the transfer of market risk from risk-averse investors to those with an appetite for risk. Risk-averse investors use derivatives to enhance safety, while risk-loving investors like speculators conduct risky, contrarian trades to improve profits. This way, the risk is transferred. There are a wide variety of products available and strategies that can be constructed, which allow you to pass on your risk.

Who are the participants in derivatives markets:

On the basis of their trading motives, participants in the derivatives markets can be segregated into four categories – hedgers, speculators, margin traders and arbitrageurs. Let's take a look at why these participants trade in derivatives and how their motives are driven by their risk profiles.

- **Hedgers:** Traders, who wish to protect themselves from the risk involved in price movements, participate in the derivatives market. They are called hedgers. This is because they try to hedge the price of their assets by undertaking an exact opposite trade in the derivatives market. Thus, they pass on this risk to those who are willing to bear it. They are so keen to rid themselves of the uncertainty associated with price movements that they may even be ready to do so at a predetermined cost.

For **example**, let's say that you possess 200 shares of a company – ABC Ltd., and the price of these shares is hovering at around Rs. 110 at present. Your goal is to sell these shares in six months. However, you worry that the price of these shares could fall considerably by then. At the same time, you do not want to liquidate your investment today, as the stock has a possibility of appreciation in the near-term.

You are very clear about the fact that you would like to receive a minimum of Rs. 100 per share and no less. At the same time, in case the price rises above Rs. 100, you would like to benefit by selling them at the higher price. By paying a small price, you can purchase a derivative contract called an 'option' that incorporates all your above requirements. This way, you reduce your losses, and benefit, whether or not the share price falls. You are, thus, hedging your risks, and transferring them to someone who is willing to take these risks.

Derivatives trading participants



- **Speculators:** As a hedger, you passed on your risk to someone who will willingly take on risks from you. But why someone do that? There are all kinds of participants in the market.

Some might be averse to risk, while some people embrace them. This is because, the basic market idea is that risk and return always go hand in hand. Higher the risk, greater is the chance of high returns. Then again, while you believe that the market will go up, there will be people who feel that it will fall. These differences in risk profile and market views distinguish hedgers from speculators. Speculators, unlike hedgers, look for opportunities to take on risk in the hope of making returns.

Let's go back to our example, wherein you were keen to sell the 200 shares of company ABC Ltd. after one month, but feared that the price would fall and eat your profits. In the derivative market, there will be a speculator who expects the market to rise. Accordingly, he will enter into an agreement with you stating that he will buy shares from you at Rs. 100 if the price falls below that amount. In return for giving you relief from this risk, he wants to be paid a small compensation. This way, he earns the compensation even if the price does not fall and you wish to continue holding your stock.

This is only one instance of how a speculator could gain from a derivative product. For every opportunity that the derivative market offers a risk-averse hedger, it offers a counter opportunity to a trader with a healthy appetite for risk.

In the Indian markets, there are two types of speculators – day traders and the position traders.

- A day trader tries to take advantage of intra-day fluctuations in prices. All their trades are settled by undertaking an opposite trade by the end of the day. They do not have any overnight exposure to the markets.
- On the other hand, position traders greatly rely on news, tips and technical analysis – the science of predicting trends and prices, and take a longer view, say a few weeks or a month in order to realize better profits. They take and carry position for overnight or a long term.
- **Margin traders:** Many speculators trade using of the payment mechanism unique to the derivative markets. This is called margin trading. When you trade in derivative products, you are not required to pay the total value of your position up front. . Instead, you are only required to deposit only a fraction of the total sum called margin. This is why margin trading results in a high leverage factor in derivative trades. With a small deposit, you are able to maintain a large outstanding position. The leverage factor is fixed; there is a limit to how much you can borrow. The speculator to buy three to five times the quantity that his capital investment would otherwise have allowed him to buy in the cash market. For this reason, the conclusion of a trade is called ‘settlement’ – you either pay this outstanding position or conduct an opposing trade that would nullify this amount.

For example, let's say a sum of Rs. 1.8 lakh fetches you 180 shares of ABC Ltd. in the cash market at the rate of Rs. 1,000 per share. Suppose margin trading in the derivatives market allows you to purchase shares with a margin amount of 30% of the value of your outstanding position. Then, you will be able to purchase 600 shares of the same company at the same price with your capital of Rs. 1.8 lakh, even though your total position is Rs. 6 lakh.

If the share price rises by Rs. 100, your 180 shares in the cash market will deliver a profit of Rs. 18,000, which would mean a return of 10% on your investment. However, your payoff in the derivatives market would be much higher. The same rise of Rs. 100 in the derivative market would fetch Rs. 60,000, which translates into a whopping return of over 33% on your investment of Rs. 1.8 lakh. This is how a margin trader, who is basically a speculator, benefits from trading in the derivative markets.

- **Arbitrageurs:** Derivative instruments are valued on the basis of the underlying asset's value in the spot market. However, there are times when the price of a stock in the cash market is lower or higher than it should be, in comparison to its price in the derivatives market.

Arbitrageurs exploit these imperfections and inefficiencies to their advantage. Arbitrage trade is a low-risk trade, where a simultaneous purchase of securities is done in one market and a corresponding sale is carried out in another market. These are done when the same securities are being quoted at different prices in two markets.

In the earlier example, suppose the cash market price is Rs. 1000 per share, but is quoting at Rs. 1010 in the futures market. An arbitrageur would purchase 100 shares at Rs. 1000 in the cash market and simultaneously, sell 100 shares at Rs. 1010 per share in the futures market, thereby making a profit of Rs. 10 per share.

Speculators, margin traders and arbitrageurs are the lifeline of the capital markets as they provide liquidity to the markets by taking long (purchase) and short (sell) positions. They contribute to the overall efficiency of the markets.

What are the different types of derivative contracts:

There are four types of derivative contracts – forwards, futures, options and swaps. However, for the time being, let us concentrate on the first three. Swaps are complex instruments that are not available for trade in the stock markets.

- **Futures and forwards:** Futures are contracts that represent an agreement to buy or sell a set of assets at a specified time in the future for a specified amount. Forwards are futures, which are not standardized. They are not traded on a stock exchange.

For example, in the derivatives market, you cannot buy a contract for a single share. It is always for a lot of specified shares and expiry date. This does not hold true for forward contracts. They can be tailored to suit your needs.

- **Options:** These contracts are quite similar to futures and forwards. However, there is one key difference. Once you buy an options contract, you are not obligated to hold the terms of the agreement.

This means, even if you hold a contract to buy 100 shares by the expiry date, you are not required to. Options contracts are traded on the stock exchange.



How are derivative contracts linked to stock prices:

Suppose you buy a Futures contract of Infosys shares at Rs 3,000 – the stock price of the IT company currently in the spot market.

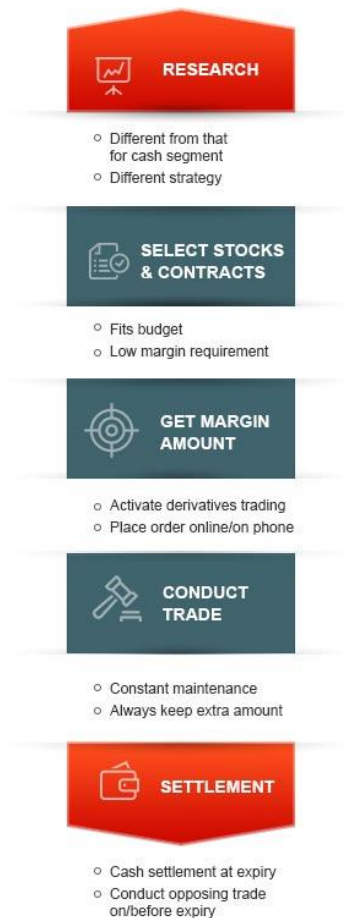
A month later, the contract is slated to expire. At this time, the stock is trading at Rs 3,500. This means, you make a profit of Rs. 500 per share, as you are getting the stocks at a cheaper rate.

Had the price remained unchanged, you would have received nothing. Similarly, if the stock price fell by Rs. 800, you would have lost Rs. 800. As we can see, the above contract depends upon the price of the underlying asset – Infosys shares. Similarly, derivatives trading can be conducted on the indices also. Nifty Futures is a very commonly traded derivatives contract in the stock markets. The underlying security in the case of a Nifty Futures contract would be the 50-share Nifty index.

How to trade in derivatives market:

Trading in the derivatives market is a lot similar to that in the cash segment of the stock market.

- First do your research. This is more important for the derivatives market. However, remember that the strategies need to differ from that of the stock market. For example, you may wish you buy stocks that are likely to rise in the future. In this case, you conduct a buy transaction. In the derivatives market, this would need you to enter into a sell transaction. So the strategy would differ.
- Arrange for the requisite margin amount. Stock market rules require you to constantly maintain your margin amount. This means, you cannot withdraw this amount from your trading account at any point in time until the trade is settled. Also remember that the margin amount changes as the price of the underlying stock rises or falls. So, always keep extra money in your account.
- Conduct the transaction through your trading account. You will have to first make sure that your account allows you to trade in derivatives. If not, consult your brokerage or stock broker and get the required services activated. Once you do this, you can place an order online or on phone with your broker.
- Select your stocks and their contracts on the basis of the amount you have in hand, the margin requirements, the price of the underlying shares, as well as the price of the contracts. Yes, you do have to pay a small amount to buy the contract. Ensure all this fits your budget.
- You can wait until the contract is scheduled to expiry to settle the trade. In such a case, you can pay the whole amount outstanding, or you can enter into an opposing trade. For example, you placed a 'buy trade' for Infosys futures at Rs 3,000 a week before expiry. To exit the trade before, you can place a 'sell trade' future contract. If this amount is higher than Rs 3,000, you book profits. If not, you will make losses.



Thus, buying stock futures and options contracts is similar to buying shares of the same underlying stock, but without taking delivery of the same. In the case of index futures, the change in the number of index points affects your contract, thus replicating the movement of a stock price. So, you can actually trade in index and stock contracts in just the same way as you would trade in shares.

What are the pre-requisites to invest

As said earlier, trading in the derivatives market is very similar to trading in the cash segment of the stock markets.

This has three key requisites:

- **Demat account:** This is the account which stores your securities in electronic format. It is unique to every investor and trader.
- **Trading account:** This is the account through which you conduct trades. The account number can be considered your identity in the markets. This makes the trade unique to you. It is linked to the demat account, and thus ensures that YOUR shares go to your demat account.
- **Margin maintenance:** This pre-requisite is unique to derivatives trading. While many in the cash segment too use margins to conduct trades, this is predominantly used in the derivatives segment.



Unlike purchasing stocks from the cash market, when you purchase futures contracts you are required to deposit only a percentage of the value of your outstanding position with the stock exchange, irrespective of whether you buy or sell futures. This mandatory deposit, which is called margin money, covers an initial margin and an exposure margin. These margins act as a risk containment measure for the exchanges and serve to preserve the integrity of the market.

- You are expected to deposit the initial margin upfront. How much you have to deposit is decided by the stock exchange.

It is prescribed as a percentage of the total value of your outstanding position. It varies for different positions as it takes into account the average volatility of a stock over a specified time period and the interest cost. This initial margin is adjusted daily depending upon the market value of your open positions.

- The exposure margin is used to control volatility and excessive speculation in the derivatives markets. This margin is also stipulated by the exchanged and levied on the value of the contract that you buy or sell.
- Besides the initial and exposure margins, you also have to maintain Mark-to-Market (MTM) margins. This covers the daily difference between the cost of the contract and its closing price on the day of purchase. Thereafter, the MTM margin covers the differences in closing price from day to day.

All you need to know about futures contracts

What are futures contracts:

A futures contract is an agreement between two parties – a buyer and a seller – wherein the former agrees to purchase from the latter, a fixed number of shares or an index at a specific time in the future for a pre-determined price. These details are agreed upon when the transaction takes place. As futures contracts are standardized in terms of expiry dates and contract sizes, they can be freely traded on exchanges. A buyer may not know the identity of the seller and vice versa. Further, every contract is guaranteed and honored by the stock exchange, or more precisely, the clearing house or the clearing corporation of the stock exchange, which is an agency designated to settle trades of investors on the stock exchanges.

Futures contracts are available on different kinds of assets – stocks, indices, commodities, currency pairs and so on. Here we will look at the two most common futures contracts – stock futures and index futures.



What are stock futures:

Stock futures are derivative contracts that give you the power to buy or sell a set of stocks at a fixed price by a certain date. Once you buy the contract, you are obligated to uphold the terms of the agreement. Here are some more characteristics of futures contracts:

- **Lot/Contract size:** In the derivatives market, contracts cannot be traded for a single share. Instead, every stock futures contract consists of a fixed lot of the underlying share. The size of this lot is determined by the exchange on which it is traded on. It differs from stock to stock. For instance, a Reliance Industries Ltd. (RIL) futures contract has a lot of 250 RIL shares, i.e., when you buy one futures contract of RIL, you are actually trading 250 shares of RIL. Similarly, the lot size for Infosys is 125 shares.*
- **Expiry:** All three maturities are traded simultaneously on the exchange and expire on the last Thursday of their respective contract months. If the last Thursday of the month is a holiday, they expire on the previous business day. In this system, as near-month contracts expire, the middle-month (2 month) contracts become near-month (1 month) contracts and the far-month (3 month) contracts become middle-month contracts.
- **Duration:** Contract is an agreement for a transaction in the future. How far in the future is decided by the contract duration. Futures contracts are available in durations of 1 month, 2 months and 3 months. These are called near month, middle month and far month, respectively. Once the contracts expire, another

contract is introduced for each of the three durations

The month in which it expires is called the contract month. New contracts are issued on the day after expiry.

- **Example:** If you want to purchase a single July futures contract of ABC Ltd., you would have to do so at the price at which the July futures contracts are currently available in the derivatives market. Let's say that ABC Ltd July futures are trading at Rs 1,000 per share. This means, you are agreeing to buy/sell at a fixed price of Rs 1,000 per share on the last Thursday in July. However, it is not necessary that the price of the stock in the cash market on Thursday has to be Rs 1,000. It could be Rs 992 or Rs 1,005 or anything else, depending on the prevailing market conditions. This difference in prices can be taken advantage of to make profits.



What are index futures:

A stock index is used to measure changes in the prices of a group stocks over a period of time. It is constructed by selecting stocks of similar companies in terms of an industry or size. Some indices represent a certain segment or the overall market, thus helping track price movements. For instance, the BSE Sensex is comprised of 30 liquid and fundamentally strong companies. Since these stocks are market leaders, any change in the fundamentals of the economy or industries will be reflected in this index through movements in the prices of these stocks on the BSE. Similarly, there are other popular indices like the CNX Nifty 50, S&P 500, etc, which represent price movements on different exchanges or in different segments.

Futures contracts are also available on these indices. This helps traders make money on the performance of the index.

Here are some features of index futures:

- **Contract size:** Just like stock futures, these contracts are also dealt in lots. But how is that possible when the index is simply a non-physical number. No, you do not purchase futures of the stocks belonging to the index. Instead, stock indices points – the value of the index – are converted into rupees.

For example, suppose the CNX Nifty value was 6500 points. The exchange stipulates that each point is equivalent to Rs 1, then you have to pay 100 times the index value – Rs 6,50,000 i.e. $1 \times 6500 \times 100$. This also means each contract has a lot size of 100.

- **Expiry:** Since indices are abstract market concepts, the transaction cannot be settled by actually buying or selling the underlying asset. Physical settlement is only possible in case of stock futures. Hence, an open position in index futures can be settled by conducting an opposing transaction on or before the day of expiry.

- **Duration:** As in the case of stock futures, index futures too have three contract series open for trading at any point in time – the near-month (1 month), middle-month (2 months) and far-month (3 months) index futures contracts.
- **Illustration of an index futures contract:** If the index stands at 3550 points in the cash market today and you decide to purchase one Nifty 50 July future, you would have to purchase it at the price prevailing in the futures market.

This price of one July futures contract could be anywhere above, below or at Rs 3.55 lakh (i.e., 3550×100), depending on the prevailing market conditions. Investors and traders try to profit from the opportunity arising from this difference in prices

What are the advantages and risks of futures contracts:

The existence and the utility of a futures market benefits a lot of market participants:

- It allows hedgers to shift risks to speculators.
- It gives traders an efficient idea of what the futures price of a stock or value of an index is likely to be.
- Based on the current future price, it helps in determining the future demand and supply of the shares.
- Since it is based on margin trading, it allows small speculators to participate and trade in the futures market by paying a small margin instead of the entire value of physical holdings.

However, you must be aware of the risks involved too. The main risk stems from the temptation to speculate excessively due to a high leverage factor, which could amplify losses in the same way as it multiplies profits. Further, as derivative products are slightly more complicated than stocks or tracking an index, lack of knowledge among market participants could lead to losses.



All you need to know about Futures contracts pricing

Futures are derivative products whose value depends largely on the price of the underlying stocks or indices. However, the pricing is not that direct. There remains a difference between the prices of the underlying asset in the cash segment and in the derivatives segment.

This difference can be understood through two simple pricing models for futures contracts. These will allow you to estimate how the price of a stock futures or index futures contract might behave. These are:

- **The Cost of Carry Model**
- **The Expectancy Model**

However, remember that these models merely give you platform on which to base your understanding of futures prices. That said, being aware of these theories gives you a feel of what you can expect from the futures price of a stock or an index.

What is the Cost of Carry model



The Cost of Carry Model assumes that markets tend to be perfectly efficient. This means there are no differences in the cash and futures price. This, thereby, eliminates any opportunity for arbitrage – the phenomenon where traders take advantage of price differences in two or more markets.

When there is no opportunity for arbitrage, investors are indifferent to the spot and futures market prices while they trade in the underlying asset. This is because their final earnings are eventually the same.

The model also assumes, for simplicity sake, that the contract is held till maturity, so that a fair price can be arrived at.

In short, the price of a futures contract (FP) will be equal to the spot price (SP) plus the net cost incurred in carrying the asset till the maturity date of the futures contract.

$$FP = SP + (\text{Carry Cost} - \text{Carry Return})$$

Here Carry Cost refers to the cost of holding the asset till the futures contract matures. This could include storage cost, interest paid to acquire and hold the asset, financing costs etc. Carry Return refers to any income derived from the asset while holding it like dividends, bonuses etc. While calculating the futures price of an index, the Carry Return refers to the average returns given by the index during the holding period in the cash market. A net of these two is called the net cost of carry.

The bottom line of this pricing model is that keeping a position open in the cash market can have benefits or costs. The price of a futures contract basically reflects these costs or benefits to charge or reward you accordingly.



What is the Expectancy model of Futures pricing

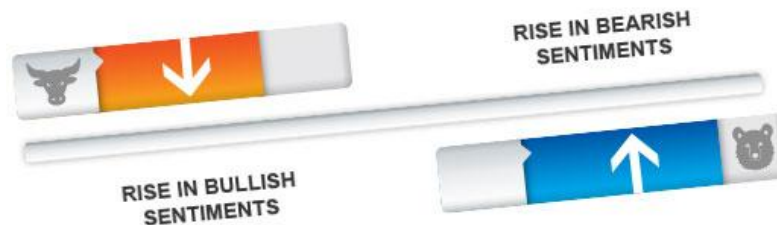
The Expectancy Model of futures pricing states that the futures price of an asset is basically what the spot price of the asset is expected to be in the future.

This means, if the overall market sentiment leans towards a higher price for an asset in the future, the futures price of the asset will be positive.

In the exact same way, a rise in bearish sentiments in the market would lead to a fall in the futures price of the asset.

Unlike the Cost of Carry model, this model believes that there is no relationship between the present spot price of the asset and its futures price. What matters is only what the future spot price of the asset is expected to be.

This is also why many stock market participants look to the trends in futures prices to anticipate the price fluctuation in the cash segment.



What is Basis?

At a practical level, you will observe that there is usually a difference between the futures price and the spot price. This difference is called the basis.



If the futures price of an asset is trading higher than its spot price, then the basis for the asset is negative. This means, the markets are expected to rise in the future.

On the other hand, if the spot price of the asset is higher than its futures price, the basis for the asset is positive. This is indicative of a bear run on the market in the future.

How to buy and sell futures contracts

Buying and selling futures contract is essentially the same as buying or selling a number of units of a stock from the cash market, but without taking immediate delivery.

In the case of index futures too, the index's level moves up or down, replicating the movement of a stock price. So, you can actually trade in index and stock contracts in just the same way as you would trade in shares.

In this section, we look at how to buy and sell futures contracts:

How to buy futures contracts

One of the prerequisites of stock market trading – be it in the derivative segment – is a trading account.

Money is the obvious other requirement. However, this requirement is slightly different for the derivatives market.

When you buy in the cash segment, you have to pay the entire value of the shares purchased – this is unless you are a day trader utilizing margin trading. You have to pay this amount upfront to the exchange or the clearing house.



This upfront payment is called 'Margin Money'. It helps reduce the risk that the exchange undertakes and helps in maintaining the integrity of the market.

Once you have these requisites, you can buy a futures contract. Simply place an order with your broker, specifying the details of the contract like the Scrip, expiry month, contract size, and so on. Once you do this, hand over the margin money to the broker, who will then get in touch with the exchange.

The exchange will find you a seller (if you are a buyer) or a buyer (if you are seller).

How to settle futures contracts

When you trade in futures contracts, you do not give or take immediate delivery of the assets concerned. This is called settling of the contract. This usually happens on the date of the contract's expiry. However, many traders also choose to settle before the expiry of the contract.

For stock futures, contracts can be settled in two ways:



On Expiry

In this case, the futures contract (purchase or sale) is settled at the closing price of the underlying asset as on the expiry date of the contract.

Example: You have purchased a single futures contract of ABC Ltd., consisting of 200 shares and expiring in the month of July. At that time, the ABC share's price was Rs 1,000. If on the last Thursday of July, ABC Ltd. closes at a price of Rs 1,050 in the cash market, your futures position will be settled at that price. You will receive a profit of Rs 50 per share (the settlement price of Rs 1,050 less your cost price of Rs 1,000), which adds up to a neat little sum of Rs 10,000 (Rs 50 x 200 shares). This amount is adjusted with the margins you have maintained in your account. If you receive profits, they will be added to the margins that you have deposited. If you made a loss, the amount will be deducted from the margins.

Before Expiry

It is not necessary to hold on to a futures contract till its expiry date. In practice, most traders exit their contracts before their expiry dates. Any gains or losses you've made are settled by adjusting them against the margins you

have deposited till the date you decide to exit your contract. You can do so by either selling your contract, or purchasing an opposing contract that nullifies the agreement. Here again, your profits will be returned to you or losses will be collected from you, after adjusting them for the margins that you have deposited once you square off your position.

Index futures contracts are settled in cash. This can again be done on expiry of the contract or before the expiry date.

- **On Expiry**

When closing a futures index contract on expiry, the closing value of the index on the expiry date is the price at which the contract is settled. If on the date of expiry, the index closes higher than when you bought your contracts, you make a profit and vice versa. The settlement is made by adjusting your gain or loss against the margin money you've already deposited.



Example: Suppose you purchase two contracts of Nifty future at 6560, say on July 7. This particular contract expires on July 27, being the last Thursday of the contract series. If you have left India for a holiday and are not in a position to sell the future till the day of expiry, the exchange will settle your contract at the closing price of the Nifty prevailing on the expiry day. So, if on July 27, the Nifty stands at 6550, you will have made a loss of Rs 1,000 (difference in index levels – 10 x 2 lots x lot size of 50 units). Your broker will deduct the amount from your margins deposited with him and forward it to the stock exchange. The exchange, in turn, will forward it to the seller, who has made that profit. However if Nifty closes at 6570, you would have made a profit of Rs 1,000. This will be added to your account.

- **Before Expiry**

You can choose to exit your index futures contract before the date of expiry if you believe that the market will rise before the expiry of your contract period and that you'll get a better price for it on an earlier date. Such an exit depends solely on your judgment of market movements as well as your investment horizons. This will also be settled by the exchange by comparing the index levels when you bought and when you exit the contract. Depending on the profit or loss, your margin account will be credited or debited.

What are the payoffs and charges on Futures contracts

A futures market helps individual investors and the investing community as a whole in numerous ways.

However, it does not come for free. The main payoff for traders and investors in derivatives trading is margin payments.

There are different kinds of margins. These are usually prescribed by the exchange as a percentage of the total value of the derivative contracts. Without margins, you cannot buy or sell in the futures market.

Here's a look at the four different margins in detail:



Initial Margin:

Initial margin is defined as a percentage of your open position and is set for different positions by the exchange or clearing house. The factors that decide the amount of initial margin are the average volatility of the stock in concern over a specified period of time and the interest cost. Initial margin amounts fluctuate daily depending on the market value of your open positions.

Exposure Margin:

The exposure margin is set by the exchange to control volatility and excessive speculation in the futures markets. It is levied on the value of the contract that you buy or sell.

Mark-to-Market Margin:

Mark-to-Market margin covers the difference between the cost of the contract and its closing price on the day the contract is purchased. Post purchase, MTM margin covers the daily differences in closing prices.

Premium Margin:

This is the amount you give to the seller for writing contracts. It is also usually mentioned in per-share basis. As a buyer, you pay a premium margin, while you receive one as a seller.

Margin payments help traders get an opportunity to participate in the futures market and make profits by paying a small sum of money, instead of the total value of their contracts.

However, there are also downsides to futures trading. Trading in futures is slightly more complex than trading in straightforward stocks or etfs. Not all futures traders are well-versed in the nitty-gritties of the derivatives business, leading to unforeseen losses. The low upfront payments and highly leveraged nature of futures trading can tempt traders to be reckless which could lead to losses.

All you need to know about Options contracts

What are Options?

An 'Option' is a type of security that can be bought or sold at a specified price within a specified period of time, in exchange for a non-refundable upfront deposit. An options contract offers the buyer the right to buy, not the obligation to buy at the specified price or date. Options are a type of derivative product.

The right to sell a security is called a 'Put Option', while the right to buy is called the 'Call Option'.

They can be used as:

- **Leverage:** Options help you profit from changes in share prices without putting down the full price of the share. You get control over the shares without buying them outright.
- **Hedging :** They can also be used to protect yourself from fluctuations in the price of a share and letting you buy or sell the shares at a pre-determined price for a specified period of time.

Though they have their advantages, trading in options is more complex than trading in regular shares. It calls for a good understanding of trading and investment practices as well as constant monitoring of market fluctuations to protect against losses.

About Options

Just as futures contracts minimize risks for buyers by setting a pre-determined future price for an underlying asset, options contracts do the same however, without the obligation to buy that exists in a futures contract.

The seller of an options contract is called the 'options writer'. Unlike the buyer in an options contract, the seller has no rights and must sell the assets at the agreed price if the buyer chooses to execute the options contract on or before the agreed date, in exchange for an upfront payment from the buyer.

There is no physical exchange of documents at the time of entering into an options contract. The transactions are merely recorded in the stock exchange through which they are routed.

About Options

When you are trading in the derivatives segment, you will come across many terms that may seem alien. Here are some Options-related jargons you should know about.



- **Premium:** The upfront payment made by the buyer to the seller to enjoy the privileges of an option contract.
- **Strike Price / Exercise Price:** The pre-decided price at which the asset can be bought or sold.
- **Strike Price Intervals:** These are the different strike prices at which an options contract can be traded. These are determined by the exchange on which the assets are traded.

There are typically at least 11 strike prices declared for every type of option in a given month - 5 prices above the spot price, 5 prices below the spot price and one price equivalent to the spot price.

Following strike parameter is currently applicable for options contracts on all individual securities in NSE Derivative segment:

The strike price interval would be:

Underlying Closing Price	Strike Price Interval	No. of Strikes Provided		No. of additional strikes which may be enabled intraday in either direction
		In the money- At the money- Out of the money		
Less than or equal to Rs.50	2.5		5-1-5	5
> Rs.50 to = Rs.100	5		5-1-5	5
> Rs.100 to = Rs.250	10		5-1-5	5
> Rs.250 to = Rs.500	20		5-1-5	5
> Rs.500 to = Rs.1000	20	10-1-10		10
> Rs.1000	50	10-1-10		10

Strike Price Intervals for Nifty Index

The number of contracts provided in options on index is based on the range in previous day's closing value of the underlying index and applicable as per the following table:

Index Level	Strike Interval	Scheme of Strike to be introduced
upto 2000	50	4-1-4
>2001 upto 4000	100	6-1-6
>4001 upto 6000	100	6-1-6
>6000	100	7-1-7

• Expiration Date:

A future date on or before which the options contract can be executed. Options contracts have three different durations you can pick from:

- Near month (1 month)
- Middle Month (2 months)
- Far Month (3 months)

*Please note that long terms options are available for Nifty index. Futures & Options contracts typically expire on the last Thursday of the respective months, post which they are considered void.

• American and European Options:

The terms 'American' and 'European' refer to the type of underlying asset in an options contract and when it can be executed. American options' are Options that can be executed at any time on or before their expiration date. 'European options' are Options that can only be executed on the expiration date.

Please note that in Indian market only European type of options are available for trading.

- **LOT SIZE:**

Lot size refers to a fixed number of units of the underlying asset that form part of a single F&O contract. The standard lot size is different for each stock and is decided by the exchange on which the stock is traded.

E.g. options contracts for Reliance Industries have a lot size of 250 shares per contract.

- **Open Interest:**

Open Interest refers to the total number of outstanding positions on a particular options contract across all participants in the market at any given point of time. Open Interest becomes nil past the expiration date for a particular contract.

Let us understand with an example:

If trader A buys 100 Nifty options from trader B where, both traders A and B are entering the market for the first time, the open interest would be 100 futures or two contract.

The next day, Trader A sells her contract to Trader C. This does not change the open interest, as a reduction in A's open position is offset by an increase in C's open position for this particular asset.

Now, if trader A buys 100 more Nifty Futures from another trader D, the open interest in the Nifty Futures contract would become 200 futures or 4contracts.

Types of Options

As described earlier, options are of two types, the 'Call Option' and the 'Put Option'.



- **Call Option**

The 'Call Option' gives the holder of the option the right to buy a particular asset at the strike price on or before the expiration date in return for a premium paid upfront to the seller. Call options usually become more valuable as the value of the underlying asset increases. Call options are abbreviated as 'C' in online quotes.

- **Put Option:**

The Put Option gives the holder the right to sell a particular asset at the strike price anytime on or before the expiration date in return for a premium paid up front. Since you can sell a stock at any given point of time, if the spot price of a stock falls during the contract period, the holder is protected from this fall in price by the strike price that is pre-set. This explains why put options become more valuable when the price of the underlying stock falls.

Similarly, if the price of the stock rises during the contract period, the seller only loses the premium amount and does not suffer a loss of the entire price of the asset. Put options are abbreviated as 'P' in online quotes.

Understanding Options contracts with examples:

Let's understand how options contracts work with two examples:



Rajesh purchases one lot of Infosys Technologies May 3000 Call and pays a premium of Rs 250. At this time, the share price was Rs 2900.

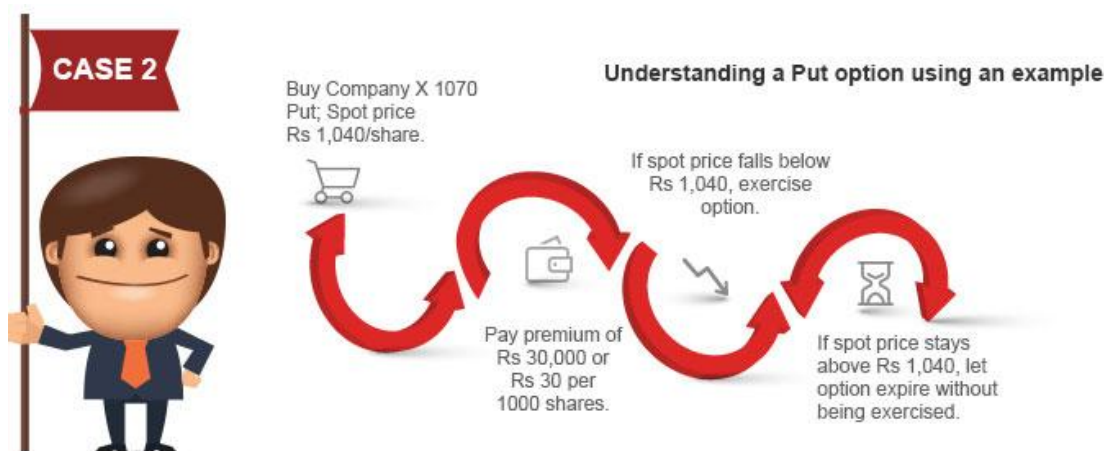
- 1** Purchase 1 lot of Infosys May 3000 Call option; Spot price Rs 2,900/share. 
- 2** Pay Premium of Rs 25,000 or Rs 250/share. 
- 3** If spot price exceeds Rs 3,250, exercise option. 
- 4** If spot price under Rs 3,250 on expiry, let option expire. 

Understanding a Call option using example

This means, under this contract, Rajesh has the rights to buy one lot of 100 Infosys shares at Rs 3000 per share any time between now and the month of May. He paid a premium of Rs 250 per share. He thus pays a total amount of Rs 25,000 to enjoy this right to sell.

Now, suppose the share price of Infosys rises over Rs 3,000 to Rs 3200, Rajesh can consider exercising the option and buying at Rs 3,000 per share. He would be saving Rs 200 per share; this can be considered a tentative profit. However, he still makes a notional net loss of

Rs 50 per share once you take the premium amount into consideration. For this reason, Rajesh may choose to actually exercise the option once the share price crosses Rs 3,250 levels. Otherwise, he can choose to let the option expire without being exercised.



Rajesh believes that the shares of Company X are currently overpriced and bets on them falling in the next few months. Since he wants to secure his position, he takes a put option on the shares of Company X.

Here are the quotes for Stock X:

Month	Price	Premium
February (Current month)	Rs 1040 Spot	NA
May	Rs 1050 Put	Rs 10
May	Rs 1070 Put	Rs 30

Rajesh buys 1000 shares of Company X Put at a strike price of 1070 and pays Rs 30 per share as premium. His total premium paid is Rs 30,000.

If the spot price for Company X falls below the Put option Rajesh bought, say to Rs 1020; Rajesh can safeguard his money by choosing to sell the put option. He will make Rs 50 per share (Rs 1070 minus Rs 1020) on the trade, making a net profit of Rs 20,000 (Rs 50 x 1000 shares – Rs 30,000 paid as premium).

Alternately, if the spot price for Company X rises higher than the Put option, say Rs 1080; he would be at a loss if he decided to exercise the put option at Rs 1070. So, he will choose, in this case, to not exercise the put option. In the process, he only loses Rs 30,000 – the premium amount; this is much lower than if he had exercised his option.

How are Options contracts priced?

We saw that options can be bought for an underlying asset at a fraction of the actual price of the asset in the spot market by paying an upfront premium. The amount paid as a premium to the seller is the price of entering an options contract.

To understand how this premium amount is arrived at, we first need to understand some basic terms like In-The-Money, Out-Of-The-Money and At-The-Money.

Let's take a look as you may be faced with any one of these scenarios while trading in options:

- **In-the-money:** You will profit by exercising the option.
- **Out-of-the-money:** You will make no money by exercising the option.
- **At-the-money:** A no-profit, no-loss scenario if you choose to exercise the option.

A Call Option is 'In-the-money' when the spot price of the asset is higher than the strike price. Conversely, a Put Option is 'In-the-money' when the spot price of the asset is lower than the strike price.

How is Premium Pricing arrived at :

The price of an Option Premium is controlled by two factors – intrinsic value and time value of the option.



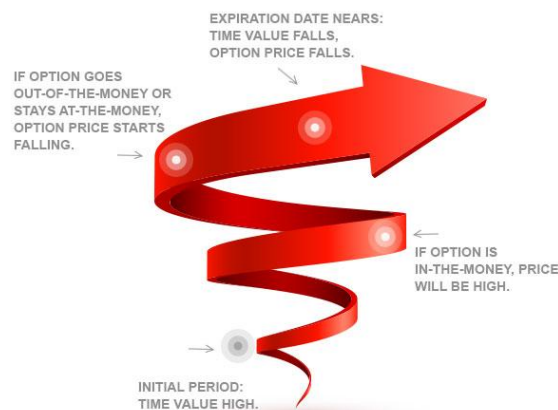
HOW PREMIUM OPTIONS PRICING IS ARRIVED AT

- **Intrinsic Value**
Intrinsic Value is the difference between the cash market spot price and the strike price of an option. It can either be positive (if you are in-the-money) or zero (if you are either at-the-money or out-of-the-money). An asset cannot have negative Intrinsic Value.
- **Time Value** basically puts a premium on the time left to exercise an options contract. This means if the time left between the current date and the expiration date of Contract A is longer than that of Contract B, Contract A has higher Time Value.

This is because contracts with longer expiration periods give the holder more flexibility on when to exercise their option. This longer time window lowers the risk for the contract holder and prevents them from landing in a tight spot.

At the beginning of a contract period, the time value of the contract is high. If the option remains in-the-money, the option price for it will be high. If the option goes out-of-the-money or stays at-the-money this affects its intrinsic value, which becomes zero. In such a case, only the time value of the contract is considered and the option price goes down.

As the expiration date of the contract approaches, the time value of the contract falls, negatively affecting the option price.



HOW OPTIONS PRICING CHANGES OVER TIME

All you need to know about Call Options

What are Options?

In the derivatives market, you may want to Buy shares or Sell them at a specific price in the future. On this basis, there are two types of options available in the derivatives markets – Call options and the Put options.

Call options are those contracts that give the buyer the right, but not the obligation to buy the underlying shares or index in the futures. They are exactly opposite of Put options, which give you the right to sell in the future. Let's take a look at these two options, one at a time. In this section, we will look at Call options.

What are Call Options:

When you purchase a 'Call option', you purchase the right to buy a certain amount of shares or an index, at a predetermined price, on or before a specific date in the future expiry date. The predetermined price is called the strike or exercise price, while the date until which you can exercise the Option is called the expiry date.

In exchange for availing this facility, you have to pay an option premium to the seller/writer of the option. This is because the writer of the call option assumes the risk of loss due to a rise in the market price beyond the strike price on or before the expiry date of your contract. The seller is obligated to sell you shares at the strike price even though it means making a loss. The premium payable is a small amount that is also market-driven.

Here are some key features of the call option:

- **Specifics:** To buy a 'call' option, you have to place a buy order with your broker specifying the strike price and the expiry date. You will also have to specify how much you are ready to pay for the call option.
- **Fixed Price:** The strike price for a call option is the fixed amount at which you agree to buy the underlying assets in the future. It is also known as the exercise price.
- **Option Premium:** When you buy the call option, you must pay the option writer a premium. This is first paid to the exchange, which then passes it on to the option seller.
- **Margins:** You sell call options by paying an initial margin, and not the entire sum. However, once you have paid the margin, you also have to maintain a minimum amount in your trading account or with your broker.



- Fix the strike price -- amount at which you will buy in future
- Chose the expiry date
- Select option price



- Pay option premium to broker

- Broker transfers to exchange
- Exchange sends the amount to option seller



- Initial margin
- Exposure margin
- Premium margin/assignment margin



- Stock call options
- Index call options



- Buyer of option pays you amount through brokers and the exchange
- Helps reduce you loss or increase profit.

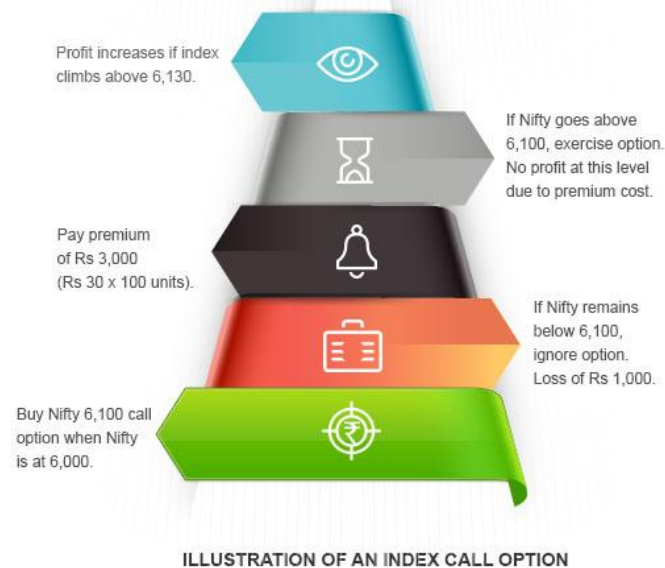
Features of Call Options

- **Premium:** Stock and Index Options: Depending on the underlying asset, there are two kinds of call options – Index options and Stock options. Option can only be exercised on the expiry date. While most of the traits are similar .
- **Seller's Premium:** You can also sell off the call option to another buyer before the expiry date. When you do this, you receive a premium . This often has a bearing on your net profits and losses.

What are Call Options:

As a trader, you would choose to purchase an index call option if you expect the price movement of the index to rise in the near future, rather than that of a particular share. Indices on which you can trade include the CNX Nifty 50, CNX IT and Bank Nifty on the NSE and the 30-share Sensex on the BSE.

Let us understand with an example:



Suppose the Nifty is quoting around 6,000 points today. If you are bullish about the market and foresee this index reaching the 6,100 mark within the next one month, you may buy a one month Nifty Call option at 6,100.

Let's say that this call is available at a premium of Rs 30 per share. Since the current contract or lot size of the Nifty is 50 units, you will have to pay a total premium of Rs 3,000 to purchase two lots of call option on the index.

If the index remains below 6,100 points for the whole of the next month until the contract expires, you would certainly not want to exercise your option and purchase at 6,100 levels. And you have no obligation to purchase it either. You could simply ignore the contract. All you have lost, then, is your premium of Rs 3,000.

If, on the other hand, the index does cross 6,100 points as you expected, you have the right to buy at 6,100 levels. Naturally, you would want to exercise your call option. That said, remember that you will start making profits only once the Nifty crosses 6,130 levels, since you must add the cost incurred due to payment of the premium to the cost of the index. This is called your breakeven point – a point where you make no profits and no losses.

When the index is anywhere between 6,100 and 6,130 points, you merely begin to recover your premium cost. So, it makes sense to exercise your option at these levels, only if you do not expect the index to rise further, or the contract reaches its expiry date at these levels.

Now, let's look at how the writer (Seller) of this call option is fairing.

As long as the index does not cross 6,100, he benefits from the option premium he received from you. index is between 6,100 and 6,130, he is losing some of the premium that you have paid him. Once the index is above 6,130, his losses are equal in proportion to your gains and both depend upon how much the index rises.

In a nutshell, the option writer has taken on the risk of a rise in the index for a sum of Rs 30 per share. Further, while your losses are limited to the premium that you pay and your profit potential is unlimited, the writer's profits are limited to the premium and his losses could be unlimited.

What is a Stock Call Option:

In the Indian market, options cannot be sold or purchased on any and every stock. SEBI has permitted options trading on only certain stocks that meet its stringent criteria. These stocks are chosen from amongst the top 500 stocks keeping in mind factors like the average daily market capitalization and average daily traded value in the previous six months.

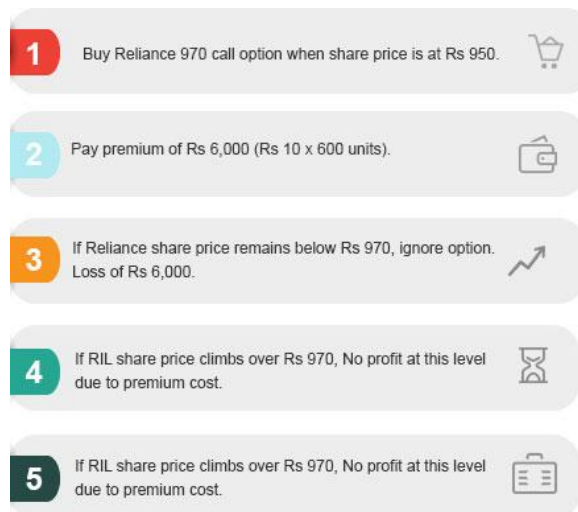
Let us understand a call option on a stock like Reliance Industries.

Suppose the annual general meeting (AGM) of RIL is due to be held shortly and you believe that an important announcement will be made at the AGM. While the share is currently quoting at Rs 950, you feel that this announcement will drive the price upwards, beyond Rs 950. However, you are reluctant to purchase Reliance in the cash market as it involves too large an investment, and you would rather not purchase it in the futures market as futures leave you open to an unlimited risk. Yet, you do not want to lose the opportunity to benefit from this rise in price due to the announcement and you are ready to stake a small sum of money to rid yourself of the uncertainty.

A call option is ideal for you. Depending on the availability in the options market, you may be able to buy a call option of Reliance at a strike price of 970 at a time when the spot price is Rs 950. And that call option was quoting Rs. 10, You end up paying a premium of Rs 10 per share or Rs 6,000 (Rs 10 x 600 units). You start making profits once the price of Reliance in the cash market crosses Rs 980 per share (i.e., your strike price of Rs 970 + premium paid of Rs 10).

Now let's take a look at how your investment performs under various scenarios.

Illustration of Stock call option



If the AGM does not result in any spectacular announcements and the share price remains static at Rs 950 or drifts lower to Rs 930 because market players are disappointed, you could allow the call option to lapse. In this case, your maximum loss would be the premium paid of Rs 10 per share, amounting to a total of Rs 6,000. However, things could have been worse if you had purchased the same shares in the cash market or in the futures segment.

On the other hand, if the company makes an important announcement, it would result in a good amount of buying and the share price may move to Rs 1,000. You would stand to gain Rs 20 per share, i.e., Rs 1,000 less Rs 980 (970 strike + 10 premium), which was your cost per share including the premium of Rs 10.

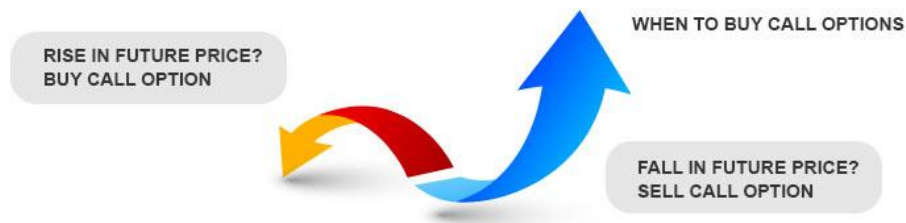
As in the case of the index call option, the writer of this option would stand to gain only when you lose and vice versa, and to the same extent as your gain/loss.

When do you buy a Call Option:

Timing is of great essence in the stock market. Same applies to the derivatives market too, especially since you have multiple options. So when do you buy a call option?

To maximize profits, you buy at lows and sell at highs. A call option helps you fix the buying price. This indicates you are expecting a possible rise in the price of the underlying assets. So, you would rather protect yourself by paying a small premium than make losses by shelling a greater amount in the future.

You thus anticipate a rise in the stock markets, i.e., when market conditions are bullish.



Timing is of great essence in the stock market. Same applies to the derivatives market too, especially since you have multiple options. So when do you buy a call option?

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You thus anticipate a rise in the stock markets, i.e., when market conditions are bullish.

What are the payments/margins involved in buying and selling call options:

As we read earlier, the buyer of an option has to pay the seller a small amount as premium. Seller of call option has to pay margin money to create position. In addition to this, you have to maintain a minimum amount in your account to meet exchange requirements. Margin requirements are often measured as a percentage of the total value of your open positions.

Let us look at the margin payments when you are buyer and a seller:

- **Buying options:**
When you buy an options contract, you pay only the premium for the option and not the full price of the contract. The exchange transfers this premium to the broker of the option seller, who in turn passes it on to his client.
- **Selling options:**

Remember, while the buyer of an option has a liability that is limited to the premium he must pay, the seller has a limited gain. However, his potential losses are unlimited.

Therefore, the seller of an option has to deposit a margin with the exchange as security in case of a huge loss due to an adverse movement in the option's price. The margins are levied on the contract value and the amount (in percentage terms) that the seller has to deposit is dictated by the exchange. It is largely dependent on the volatility in the price of the option. Higher the volatility, greater is the margin requirement.

As a result, this amount typically ranges from 15% to as high as 60% in times of extreme volatility. So, the seller of a call option of Reliance at a strike price of 970, who receives a premium of Rs 10 per share would have to deposit a margin of Rs 1,16,400. This is assuming a margin of 20% of the total value (Rs 970 x 600), even though the value of his outstanding position is Rs 5,82,000.

How to settle a Call Option:

When you sell or purchase an options, you can either exit your position before the expiry date, through an offsetting trade in the market, or hold your position open until the option expires. Subsequently, the clearing house settles the trade. Such options are called European style options.

Let us look at how to settle a call option depending on whether you are a buyer or a seller.

- **For a buyer of a call option:**

There are two ways to settle – squaring off and physical settlement. If you decide to square off your position before the expiry of the contract, you will have to sell the same number of call options that you have purchased, of the same underlying stock and maturity date and strike price.

For example, if you have purchased two XYZ stock's call options with a lot size 500 and a strike price of Rs 100, which expire at the end of March, you will have to sell the above two options of XYZ Ltd., in order to square off your position. When you square off your position by selling your options in the market, as the seller of an option, you will earn a premium. The difference between the premium at which you bought the options and the premium at which you sold them will be your profit or loss.

Some also choose to buy a put option of the same underlying asset and expiry date to nullify their call options. The downside to this option is that you have to pay a premium to the put option writer. Selling your call option is a better option as you will at least be paid a premium by the buyer.

- **For the seller of a call option:**

If you have sold call options and want to square off your position, you will have to buy back the same number of call options that you have written. These must be identical in terms of the underlying scrip and maturity date and strike price to the ones that you have sold.



All you need to know about Put options

What are Put Options:

In any market, there cannot be a buyer without there being a seller. Similarly, in the Options market, you cannot have call options without having put options. Puts are options contracts that give you the right to sell the underlying stock or index at a pre-determined price on or before a specified expiry date in the future.

In this way, a put option is exactly opposite of a call option. However, they still share some similar traits.

For example, just as in the case of a call option, the put option's strike price and expiry date are predetermined by the stock exchange.

Here are some key features of the put option:



- Fix the strike price -- amount at which you will buy in future
- Chose the expiry date
- Select option price



- Pay option premium to broker
- Broker transfers to exchange
- Exchange sends the amoun to option seller



- Initial margin
- Exposure margin
- Premium margin/assignment margin



- Stock call options
- Index call options



- Buyer of option pays you amount through brokers and the exchange
- Helps reduce you loss or increase profit.

Here are some key features of the call option:

- **Specifics:** To buy a 'call' option, you have to place a buy order with your broker specifying the strike price and the expiry date.
You will also have to specify how much you are ready to pay for the call option.
- **Fixed Price:** The strike price for a call option is the fixed amount at which you agree to buy the underlying assets in the future. It is also known as the exercise price.
- **Option Premium:** When you buy the call option, you must pay the option writer a premium. This is first paid to the exchange, which then passes it on to the option seller.
- **Margins:** You sell call options by paying an initial margin, and not the entire sum. However, once you have paid the margin, you also have to maintain a minimum amount in your trading account or with your broker.
- **Premium:** Stock and Index Options: Depending on the underlying asset, there are two kinds of call options – Index options and Stock options. Option can only be exercised on the expiry date. While most of the traits are similar .
- **Seller's Premium:** You can also sell off the call option to another buyer before the expiry date. When you do this, you receive a premium . This often has a bearing on your net profits and losses.

When do you buy a Put Option:

There is a major difference between a call and a put option – when you buy the two options. The simple rule to maximize profits is that you buy at lows and sell at highs. A put option helps you fix the selling price. This indicates you are expecting a possible decline in the price of the underlying assets. So, you would rather protect yourself by paying a small premium than make losses.

This is exactly the opposite for call options – which are bought in anticipation of a rise in stock markets. Thus, put options are used when market conditions are bearish. They thus protect you against the decline of the price of a stock below a specified price.



Kinds of put options:

There are two kinds of put options – American and European – on the basis of when an option can be exercised. American options are more flexible; they allow you to settle the trade before the expiry date of the contract. European options can only be exercised on the day of the expiry. Thus, index options are European options, while stock options are a kind of American options.



Illustration of a Put Index Option

Suppose the Nifty is currently trading at 6,000 levels. You feel bearish about the market and expect the Nifty to fall to around 5,900 levels within a month. To make the most of your view of the market, you could purchase a 1-month put option with a strike price of 5900. If the premium for this contract is Rs 10 per unit, you will have to pay up Rs 1,000 for the Nifty put option (100 units x Rs 10 per unit).

So, if the index remains above your strike price of 5,900, you would not really benefit from selling at a lower level. For this reason, you would choose to not exercise your option. You just lose your premium of Rs 1,000.

However, if the index falls below 5,900 levels as expected to say 5,850 levels, you are in a position to make profits from your options contract. You will thus choose to exercise your option and sell the index. That said, remember to take into consideration your premium costs. You will need to recover that cost too. For this reason, you will start making profits only once the index level falls below 5,890 levels.



Illustration of a Put Stock Option:

Put options on stocks also work the same way as call options on stocks. However, in this case, the option buyer is bearish about the price of a stock and hopes to profit from a fall in its price.

Suppose you hold ABC shares, and you expect that its quarterly results are likely to underperform analyst forecasts. This could lead to a fall in the share prices from the current Rs 950 per share.

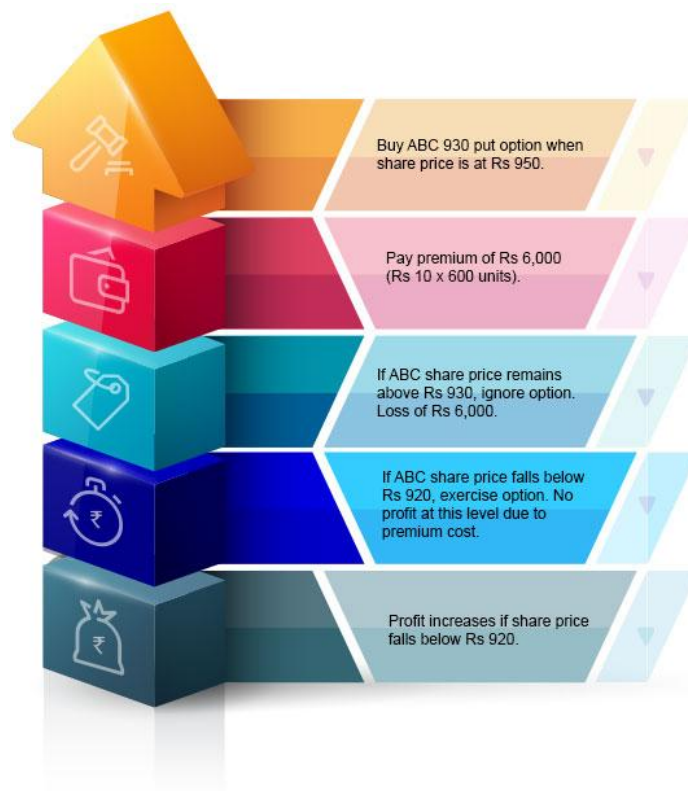
To make the most of a fall in the price, you could buy a put option on ABC at the strike price of Rs 930 at a market-determined premium of say Rs 10 per share. Suppose the contract lot is 600 shares. This means, you have to pay a premium of Rs 6,000 (600 shares x Rs 10 per share) to purchase one put option on ABC.

Remember, stock options can be exercised before the expiry date. So you need to monitor the stock movement carefully. It could happen that the stock does fall, but gains back right before expiry. This would mean you lost the opportunity to make profits.

Suppose the stock falls to Rs 930, you could think of exercising the put option. However, this does not cover your premium of Rs 10/share. For this reason, you could wait until the share price falls to at least Rs 920. If there is an indication that the share could fall further to Rs 910 or 900 levels, wait until it does so. If not, jump at the opportunity and exercise the option right away. You would thus earn a profit of Rs 10 per share once you have deducted the premium costs.

However, if the stock price actually rises and not falls as you had expected, you can ignore the option. Your loss would be limited to Rs 10 per share or Rs 6,000.

Illustration of Put stock option



Thus, the maximum loss an investor faces is the premium amount. The maximum profit is the share price minus the premium. This is because, shares, like indexes, cannot have negative values. They can be value at 0 at worst.

What are the payments and margins involved in buying and selling Put Options:

Whether you are a buyer or a seller, you have to pay an initial margin as well as an exposure margin. In addition to these two, additional margins are collected. These differ for buyers and sellers, who are at the opposite ends of the spectrum.

Here's a look:

- **Buying put options:**

Whether you are a buyer or a seller, you have to pay an initial margin as well as an exposure margin. In addition to these two, additional margins are collected. These differ for buyers and sellers, who are at the opposite ends of the spectrum.

- **Selling put options:**

As a seller or writer of a put option, your potential loss is unlimited. This is because prices can rise to any heights theoretically, and as a put option writer, you have to buy at whatever price has been specified.

For this reason, the buyer of a put option has limited liability – the premium amount, while the seller has a limited gain. Therefore, the seller of a put option has to deposit a higher margin with the exchange as security in case of an adverse movement in the price of the options sold. This is called assignment margin.

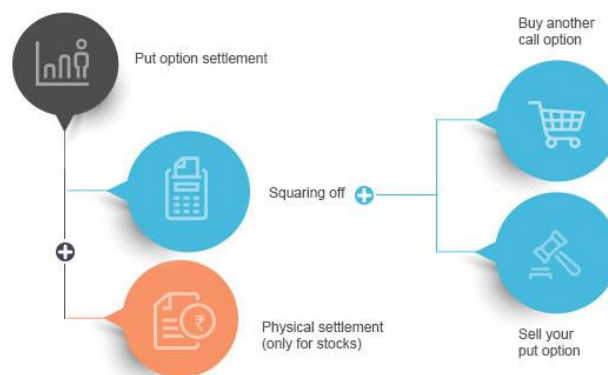
Just like the call option, the margins are levied on the put contract value in percentage terms. This amount the seller has to deposit is dictated by the exchange. Margin requirements typically rise during period of higher volatility.

So, the seller of a put option of ABC at a strike price of 970 with margin requirement of 20%, who receives a premium of Rs 10 per share, would have to deposit a margin of Rs 1,16,400 (20% of 970×600) as against the total value of his outstanding position of Rs 5,82,000.

How to settle a Put Option:

There are three common ways to settle put options contracts.

Types of margin payments



- **Squaring off:**

In the case of Stock options, you can buy an opposing contract. This means, if you hold a contract to sell stocks, you purchase a contract to buy the very same stocks. This is called squaring off. You make a profit from the difference in prices and premiums.

- **Selling:**

If none of the above options seem profitable, you can simply sell the 'put' option you hold. This is also a kind of squaring off method.

- **Physical settlement:**

You can also exercise your option anytime on or before the expiry date of the contract. This means, you will actually sell the underlying stocks as specified in the options contract agreement.

For put index options, you cannot physically settle, as the index is not tangible. So, to settle index options, you can either exit your position through an offsetting trade in the market. You can also hold your position open until the option expires. Subsequently, the clearing house settles the trade.

Now let's see how this differs if you are a buyer or writer put options:

- **For a buyer of a Put Option: :**

If you decide to square off your position before the expiry of the contract, you will have to buy the same number of call options of the same underlying stock and maturity date. If you have purchased two XYZ put options with a lot size 500, a strike price of Rs 100, and expiry month of August, you will have to buy two XYZ call options contracts with an expiry month of August. Thus, these two cancel each other. Whatever is the difference in strike prices could be your profit or loss.

You can also settle by selling the two put options contracts you hold in order to square off your position. This way, you will earn a premium on the contracts as the seller. The difference between the premium at which you bought the put option and the premium at which you sold them will be your profit or loss.

Or, you can exercise your options on or before the expiration date. The stock exchange will calculate the profit/loss on your positions by measuring the difference between the closing market price of the share or index and the strike price. Your account will be then credited or debited for the amount. However, your maximum loss will be restricted to the premium paid.

- **For the seller of a Put Option:**

If you have sold put options and want to square off your position, you will have to buy back the same number of put options that you have written. These must be identical in terms of the underlying asset (stock or index) and maturity date to the ones that you have sold.

In case the options contract gets exercised on or before the expiration date, the stock exchange will calculate the profit/loss on your position. This will be based on the difference between the strike price and the closing market price of the stock or index on the day of exercise.

Your losses will be adjusted against the margin that you have provided to the exchange and the balance margin will be credited to your account with the broker.

Understanding covered, naked options

What are covered and naked options?

Simply put, covered options are contracts sold by traders who actually own the underlying shares. In contrast, naked options are those where the writer does not own the underlying assets. Writers of naked options are thus unprotected or 'naked' from an unlimited loss.

Covered Options v/s Naked Options



Why chose covered options?

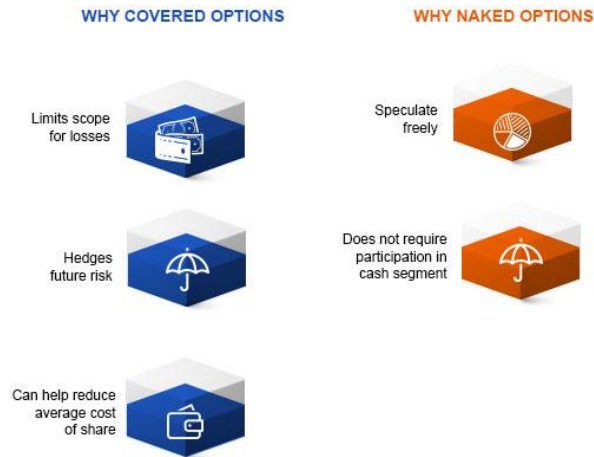
In the earlier sections, we understood the profit-loss potential of options for buyers and sellers. The buyers are not actually obligated to exercise the agreement. So, they have limited scope for losses, as they are only subject to lose the amount they paid as premium. Sellers, on the other hand, are obligated to uphold the contract if and when the buyer chooses. This increases his potential liability. Also, the seller's profit is largely limited to the premium he/she receives.

So, does this mean that an option seller must necessarily be a risk-taking speculator? Not really.

You could sell call options in order to reduce the cost of your investments or hedge your investments. The only requirement is that you must actually hold the underlying shares of the calls that you sell.

For example, IT companies benefit from an undervalued rupee as they earn money in dollars. On the other hand, importers benefit from a strong rupee as they spend in dollars. Thus, what is suitable to one investor may not be so for another.

Thus, covered options are largely opted by hedgers and risk-evaders. They are traders who are looking to safeguard their assets – predominantly currencies – from future fluctuations. They, thus, aim to transfer their risk.



Covered Options v/s Naked Options

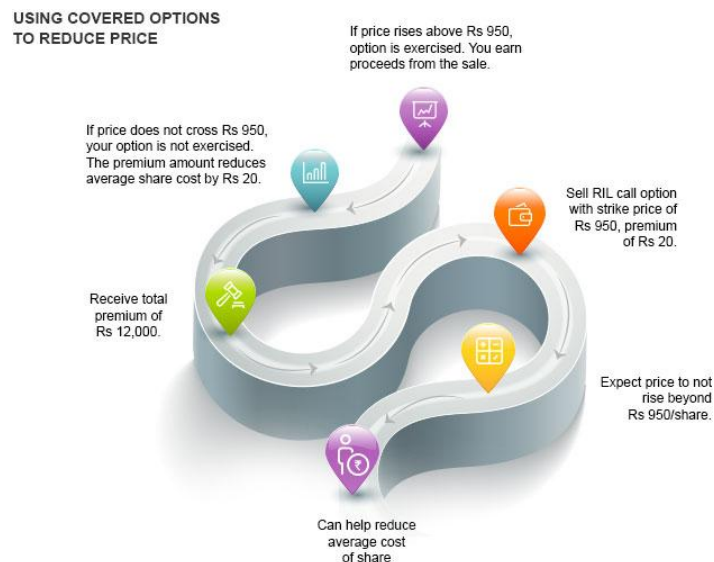
Why chose naked options?

When you sell a naked call or put option, you have no underlying assets or open position in the futures market to protect you from an unlimited loss, if the market goes against you. However, this does not necessarily mean that a naked option does not have its perks. It allows traders to participate in the derivatives market even if they have relatively small holdings in the cash segment.

Naked options are usually sold by speculators, who feel very strongly about the direction of an index or the price of a stock. And, if the market does go against them, they may try to salvage the situation by offsetting their options by purchasing identical but opposing options. They could also consider taking up a position in the futures market that will nullify the losses made through selling a naked call or put.

How to trade with covered options

As we read earlier, covered options are often used by hedgers or those looking to reduce prices of existing shares, while naked options are predominantly used by speculators. However, this is not necessary. Speculators can also opt for covered options. Here's a look at how covered options are traded:



- **Reducing the price of existing shares:**

Suppose you actually hold 600 shares of Reliance in your demat account. If you do not expect any major movements in the price of Reliance in the cash market and wish to reduce the cost of these shares, you could sell a call option to the extent of the shares that you hold. This becomes a covered call.

Here's how it works.

If you do not expect the price of Reliance to go beyond Rs 950 per share, you may sell a Reliance call option at a strike price of Rs 950 for a premium of Rs 20. You will receive a total premium of Rs 12,000 (Rs 20 x 600 shares).

If all goes well and the price does not increase above Rs 950, your shares are safe with you and the premium that you receive goes towards reducing the cost of the shares that you hold by Rs 20 each. However, if the price does go above Rs 950, you always have your shares to fall back on. You could sell off your shares to settle off the buyer of the call. It is assumed that you will have chosen a strike price that is above the cost at which you purchased the shares.

This helps when the option is exercised, as you do not make an actual loss. However, you do make a notional loss. This is because you are not able to benefit from selling your shares at a price higher than the strike price, although the market has crossed that level.

You could also use the covered call strategy to limit the risk of an open position that you have in the futures market, by likening your long futures position to the long cash market position explained in the covered call illustration above.

- **Speculation:**

A covered call could also benefit a speculator who does not want to take undue risks, but merely make the most of a bearish expectation from the price of an underlying share or index.

Let's say that you expect the price of Reliance to fall.

You could purchase a put option to benefit from this situation, but that would mean that you have to pay a premium. So, instead, you may decide to sell a Reliance call option and receive a premium. Remember, when you sell a call option, you are actually agreeing to sell to the call option buyer.

This is the same as buying put option. If the price of Reliance moves in your favour

– i.e. it actually falls, the call will not be exercised. However, if it rises beyond the strike price, you could use the shares that you hold to settle off the buyer of the call option.

How to settle covered and naked options?

Covered options are commonly settled by upholding the agreements and physically selling or buying the underlying assets. Naked options, on the other hand, could be settled predominantly by squaring off the position.



- **Squaring off:**

Since you do not really own the underlying assets – shares, in this case – you would need to buy options which can nullify the trade. However, since you are actually buying the two options at two different times, the prices will differ.

This is the opportunity to make a profit. However, it could also be a loss-making transaction.

You can also square off your open position by selling the contracts that you previously brought. This way, you are selling your liability.

- **Ignore:**

Options, unlike futures contracts, is flexible. The buyer is not under any obligation to actually uphold the terms of the agreement and sell/buy the underlying asset. For this reason, you can simply let the option mature without exercising it.

However, if you are the seller, and the option buyer has opted to exercise the option, you cannot ignore it.

- In which case, you may have to borrow the underlying assets or actually buy it from the cash segment and sell to the option buyer.

Difference between futures and options

Derivatives are instruments that derive their value from an underlying security like a share, debt instrument, currency or commodity. Futures and options are the two type of derivatives commonly traded.

Futures

A futures contract is an agreement between two parties to buy or sell an asset at a certain time in the future at a certain price.

Such an agreement works for those who do not have the money to buy the contract now but can bring it in at a certain date. These contracts are mostly used for arbitrage by traders. It means traders buy a stock at a low price in the cash market and sell it at a higher price in the futures market or vice versa. The idea is to play on the price difference between two markets for the same stock.

In case of futures contracts, the obligation is on both the buyer and the seller to execute the contract at a certain date. Futures contracts are special types of forward contracts. They are standardized exchange-traded contracts like futures of the Nifty index.



Options

An Option gives the buyer the right but not the obligation. As a buyer, you may choose to let the option to buy call or put option lapse. The seller has an obligation to comply with the contract. In the case of a futures contract, there is an obligation on the part of both the buyer and the seller.

Options are of two types - Calls and Puts options:

'Calls' give the buyer the right, but not the obligation to buy a given quantity of the underlying asset, at a given price on or before a given future date.

'Puts' give the buyer the right, but not the obligation to sell a given quantity of underlying asset at a given price on or before a given future date.

If the buyer of options chooses to exercise the option to buy, the counter-party (seller) must comply. A futures contract, on the other hand, is binding on both counter-parties as both parties have to settle on or before the expiry date.

Please note that all option contract available on NSE can be exercised on expiry date only

How Futures and Options contracts differ

If you are a buyer in the futures market, there is no limit on the profit that you make. At the same time, there is no limit on the loss that you make. A futures contract carries unlimited profit and loss potential whereas the buyer of a Call or Put Option's loss is limited, but the profit potential is unlimited.



Purchasing a futures contract requires an up front margin and normally involves a larger outflow of cash than in the case of Options, which require only the payment of premium.

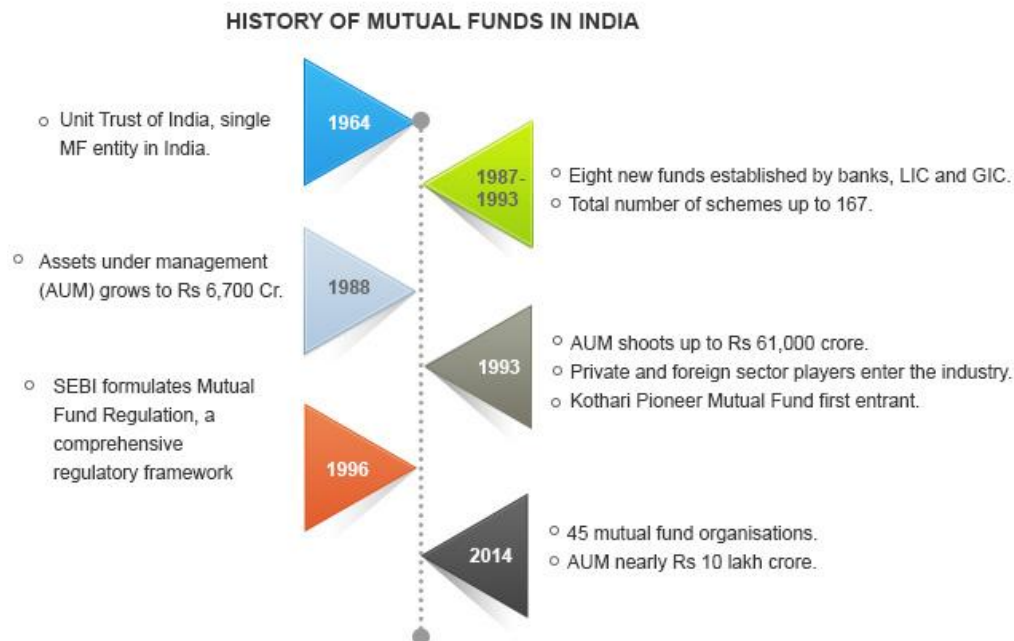
Futures are a favourite with speculators and arbitrageurs whereas Options are widely used by hedgers.

While a buyer of an option pays the premium and buys the right to exercise his option, the writer of an option is the one who receives the option premium and therefore is obliged to sell/buy the asset if the buyer exercises it on him. Presently, at NSE, futures and options are traded on the Index and single stocks.

Introduction to Mutual Funds

- **As an investor, you put your money in financial assets like stocks and bonds. You can do so by either buying them directly or using investment vehicles like mutual funds.**
- **In this segment, we will understand mutual funds and how to trade in them.**
- **History of mutual funds in India**

Mutual funds in India have come a long way since 1964 when the Unit Trust of India was the only player.



By the end of 1988, UTI had total assets worth Rs 6,700 crore. Soon after, eight funds were established by banks, LIC and GIC between 1987 and 1993. The total number of schemes went up to 167 and total money invested – measured by Assets under Management (AUM) – shot up to over Rs 61,000 crore.

In 1993, private and foreign players entered the industry, marking the third phase. The first entrant was Kothari Pioneer Mutual fund, which launched in association with a foreign fund.

The Securities and Exchange Board of India (SEBI) formulated the Mutual Fund Regulation in 1996, which, for the first time, established a comprehensive regulatory framework for the mutual fund industry. Since then, several mutual funds have been set up by the private and joint sectors.

Currently there are around 45 mutual fund organizations in India together handling assets worth nearly Rs 10 lakh crore.

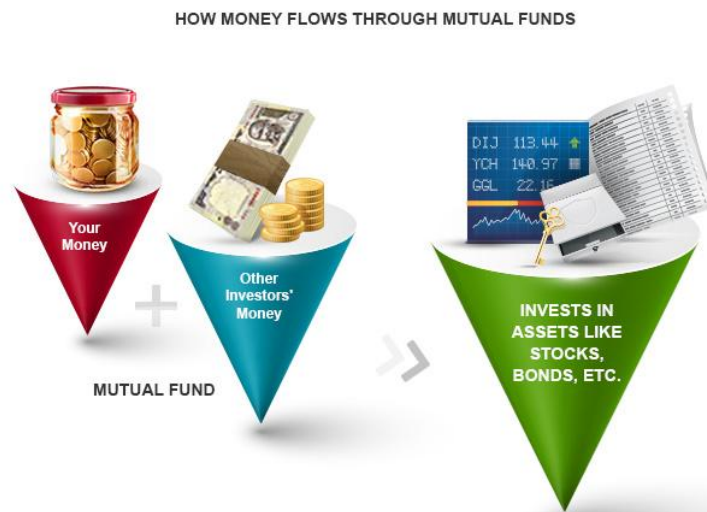
Today, the Indian mutual fund industry has opened up many exciting investment opportunities for investors. As a result, we have started witnessing the phenomenon of savings now being entrusted to the funds rather than in banks alone. Mutual Funds are now perhaps one of the most sought-after investment options for most investors.

As financial markets become more sophisticated and complex, investors need a financial intermediary who can provide the required knowledge and professional expertise on taking informed decisions. Mutual funds act as this intermediary.

What are mutual funds:

A mutual fund is an investment vehicle, which pools money from investors with common investment objectives. It then invests their money in multiple assets, in accordance with the stated objective of the scheme. The investments are made by an 'asset management company' or AMC.

For example, an equity fund would invest in stocks and equity-related instruments, while a debt fund would invest in bonds, debentures, etc.



Why invest in mutual funds

Investing in mutual funds offers a multitude of benefits. Let's have a look:

- **Professional Investment Management:**

When you invest in a mutual fund, your money is managed by professional experts. This is one of the primary benefits of investing in mutual funds. Being full-time, high-level investment professionals, a good investment manager is more resourceful and capable of monitoring the companies the mutual fund has invested in, rather than individual investors.

The managers have real-time access to crucial market information and are able to execute trades on the largest and most cost-effective scale. Simply put, they have the know-how to trade in the markets that retail investors may not possess.

- **Low investment threshold**

A mutual fund enables you to participate in a diversified portfolio for as little as Rs 5000, and sometimes even lesser. And with a no-load fund, you pay little or no sales charges to own them.

For example, some bonds and fixed deposits have a minimum investment amount of Rs 25,000. Instead, you can give your money to a mutual fund, which will in turn invest in the bonds and fixed deposits. This could be done for as little as Rs 1000.

- **Professional Investment Management:**

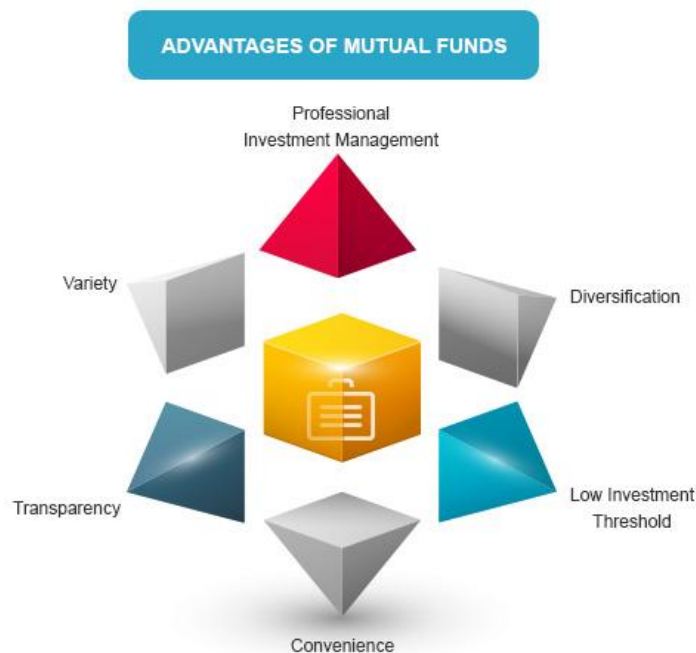
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The managers have real-time access to crucial market information and are able to execute trades on the largest and most cost-effective scale. Simply put, they have the know-how to trade in the markets that retail investors may not possess.

- **Convenience**

Investing in mutual funds has its own convenience. You save up on additional paper-work that comes with every transaction, the amount of energy you invest in researching for the stocks, as well as actual market-monitoring and conduction of transactions. With a mutual fund, you don't have to do any of that.

Simply go online or place an order with your broker to buy a mutual fund. Another big advantage is that you can move your funds easily from one fund to another, within a mutual fund family. This allows you to easily rebalance your portfolio to respond to significant fund management or economic changes.



- **Liquidity:**

In open-ended schemes, you can get your money back at any point in time at the prevailing NAV (Net Asset Value) from the Mutual Fund itself.

This makes mutual fund investments highly liquid. Compare that with a fixed deposit or a bond which may have a fixed investment duration.

- **Variety**

While investing in mutual funds, you are spoilt for choice. You have a number of mutual fund schemes to choose from, which may invest in a whole range of industries and sectors, different kinds of assets, and so on. You can find a mutual fund that matches just about any investment strategy you select.

There are funds that focus on blue-chip stocks, technology stocks, bonds, or a mix of stocks and bonds. In fact, the greatest challenge can be sorting through the variety and picking the best for you.

- **Transparency**

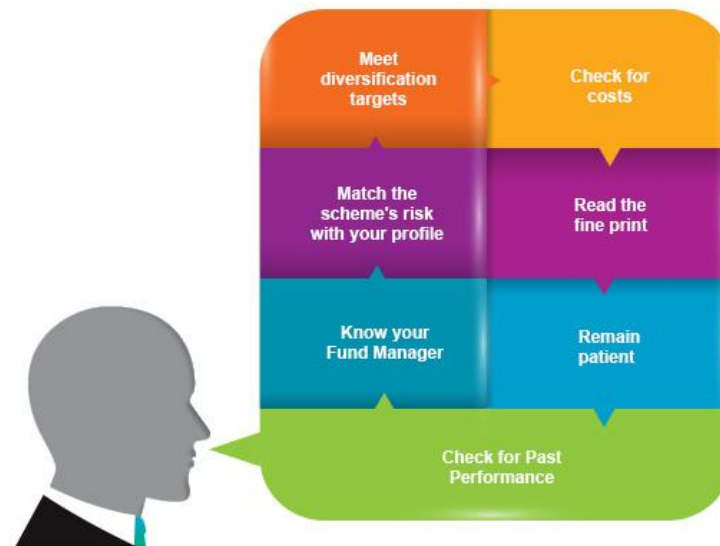
SEBI regulations for mutual funds have made the industry very transparent. You can track the investments that have been made on your behalf to know the sectors and stocks being invested in.

In addition to this, you get regular information on the value of your investment. Mutual funds are mandated to publish the details of their portfolio regularly.

How to choose a fund

Money is precious. It is hard-earned. You can't just put your money in an investment vehicle or mutual fund without some research.

Here are some things to keep in mind while choosing a fund:



- **Past performance:**

History is important. Before investing, check the historic performance of the mutual fund scheme, the asset manager's investment decisions, fund returns and so on. While the past performance is not an indicator of the future, it could help you figure out what to expect in the future. You can understand the investment philosophies of the fund and the kind of returns it is offering to investors over a period of time. It would also make sense to check out the two-year and one-year returns for consistency.

Statistics such as how the fund had performed in the bull and bear markets of the immediate past would help you understand the strength of a fund. Tracking the fund's performance in the bear market is particularly important because the true test of a portfolio is often revealed in how little it falls during a bearish phase.

- **Match the scheme's risk with your profile:**

Even though a mutual fund diversifies its portfolio to reduce risk, they may eventually invest in a single type of asset. The risk of the fund varies with the kind of assets it is invested in. For this reason, check if the mutual fund fits your risk profile and investment horizon. For example, certain sector-specific schemes come with a high-risk, high-return tag. Such plans are suspect to crashes in case the industry or sector loses the market's fancy. If the investor is risk-averse, he could instead opt for a debt scheme with little risk.

However, if you are a long-term investor, who doesn't mind risk, you could go ahead with the sector-specific mutual fund scheme. For this reason, most investors prefer balanced schemes, which invest in a combination of equities and debts. They are less risky than pure equity or growth funds, which are likely to give greater returns, but more risky than pure debt plans.

- **Diversification**

While choosing a mutual fund, one should always consider factors like the extent of diversification that a mutual fund offers to your portfolio. A mutual fund can offer diversification either by investing in multiple assets, or by balancing your overall portfolio.

For example, suppose your portfolio contains 70% exposure to stocks from different industries, then it makes sense to invest the 30% in a debt fund to balance the portfolio. Similarly, if your portfolio has a lot of exposure to a particular sector like IT, then avoid investing in a mutual fund that also invests in IT. This way, you can balance your exposure to a similar kind of risk.

- **Know your fund manager:**

The success of a fund, to a great extent, depends on the fund manager. Some of the most successful funds are run by the same managers. It would be sensible to always ask about the fund manager before investing as well as knowing about changes in the fund manager's strategy or any other significant developments that an AMC may have undergone.

For instance, if the portfolio manager, who generated the fund's successful performance, is no longer managing that particular fund, you may do well to wait and analyze the pros and cons of investing in that fund.

- **Read the fine print:**

The prospectus says a lot about the fund. Reading the fund's prospectus is a must to learn about its investment strategy and the risk that it is prone to. Funds with higher rates of return may carry a higher element of risk. Hence, it is of utmost importance that an investor always chooses a particular scheme after considering his financial goals and weighs them against the mutual fund's risk.

That said, remember that all funds carry some level of risk. Just because a fund invests in government or corporate bonds does not mean that it does not have any risk.

- **Costs:**

A fund with high costs must perform better than a low-cost fund to generate returns for you. Even small differences in fees can translate into large differences in returns over a period of time.

So, ensure the costs and returns tally. There is no point in spending extra if it is delivering the same kind of returns like a low-cost fund.

- **Patience:**

Finally, an investor must not enter and exit mutual funds as and when the market turns. Market cycles are natural. Be patient. Like stocks, mutual funds too pay off only if you have the patience to wait. This applies for both buying and selling. Don't pick a fund simply because it has shown a spurt in value in the current rally.

Ensure its returns are consistent. Similarly, don't sell off a mutual fund just because it is not performing well due to poor market conditions. However, it makes little sense to hold on to a fund that lags behind the market year after year.

How to Invest in Mutual Funds

The lure of the stock market has always been the large returns on investment that it promises in good times. However, there's always a flipside of huge losses during bear runs that make the stock market slightly shaky territory for small investors. This is where mutual funds step into the picture.

Mutual funds pool the resources of a number of small investors and invest these combined resources in the stock market under the guidance of a team of qualified stock brokers and research analysts.

How to Invest In a Mutual Fund :

Now that we know what mutual funds are and how they are structured, we are in a better position to understand how to invest our money in those funds that will give us the best bang for our buck.

- **Decide Your Investment Objectives**

Before you set out to invest money in various investment vehicles, it is important to take a step back and understand exactly why you are saving up. Is it for a short term need? Do you have a long term investment horizon in mind? Would you prefer investments that give you returns on a recurring basis?

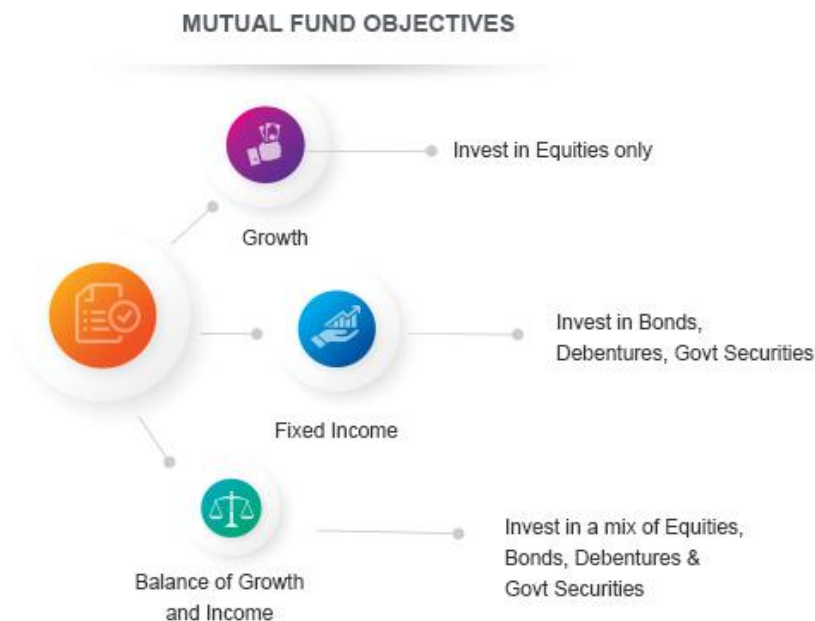
Your age and stage of life will also play an important role in deciding your investment objectives. Decide what you want your money to do for you and then proceed.

- **Shortlist Funds That Match Your Objectives**

The team that manages a mutual fund picks the stocks which investors' money will be put into based on clearly defined investment objectives. There are many kinds of mutual funds based on these investment objectives – rapid growth, retirement benefits, regular returns and so on.

The four fundamental objectives that guide most funds are:

- Growth
- Fixed Income
- Balance of growth and income
- Quick Turnover of Funds



We will go through the various types of mutual funds in detail in the coming chapters. To know more, [click here](#).

The investment vehicles into which funds are channeled are decided on the basis of these investment objectives. Typically, equities are favored by growth-oriented funds and stability or income-oriented funds go for debt instruments, government securities and the like. These play an important role while taking your mutual fund decision.

Once you know what you need from a mutual fund – growth, fixed returns, quick turnaround or a balanced approach – you can zero in on that category of funds that meets these objectives. From the category of mutual funds that matches your needs, shortlist funds based on not just their current performance, but also their performance over longer periods like 6 months, 1 year, 3 year and 5 year returns.

- **Analyze & Compare Shortlisted Funds**

Look for the prospectus or quarterly reports of the shortlisted funds and analyze their performance. The prospectus also gives detailed insights on what does the fund hope to achieve, what sectors it invests in, what type of returns it has been giving investors over the years, comparisons of its returns against index performance and so on.

Study this data and check for consistency in the funds' performance over your investment horizon. Also compare their performance against that of other funds with similar objectives and benchmark indices. Another important factor to look for is the asset base of each fund under consideration. Go for established funds with a proven track record

- **Shortlist Funds That Match Your Objectives**

Investing in a mutual fund is not like putting money in a bank account. There are certain fees that are attached to the investment you make that will be deducted by the AMC. These fees can sometimes add up to be quite significant and eat away into whatever returns you might make on your investments.

These fees include entry load, exit load, annual expenses, management fees and so on. While annual expenses and management fees should ideally be in the region of 0.6% and 1% respectively, entry and exit loads can vary between individual funds. Study the costs involved with each fund and arrive at your final picks.



- **Don't Pick Just One**

Once you are done with your analysis, don't jump onto the best fund as per your reckoning and park all your money with just one fund. In spite of every possible analysis and calculation, the stock market has a way of throwing predictions out of the window.

Spread your risks by splitting your investment and putting in smaller sums in two or three different funds that figured on the top of your list after all the filtering and analysis.

- **Change Tracks Whenever Necessary**

Unlike fixed income instruments like bank FDs, mutual fund investments are subjected to the same market forces that affect equities, derivatives, and other forms of securities. However, the level of scrutiny need not be as close as you would have for individual stock purchases for the simple reason that a mutual fund is a professionally managed investment. Qualified stock market analysts and fund managers who track every small move in the markets manage your funds as a full-time job.

Having said that, you can't simply wash your hands off your mutual fund investments once you buy them either. With fund performances moving in tandem with the stock market's movements, it becomes imperative that you keep an eye on what is happening to your investment on at least a quarterly basis.

Mutual Funds: How to Buy and Sell

Mutual funds have been around in India for nearly three decades now, but the number of people who actively buy and sell mutual funds in the country remains abysmally low as a percentage of the population.

The fundamental reason for poor participation in the mutual fund market is the lack of awareness; not just about the benefits of mutual funds, but also the knowledge of how to buy and sell them.

You have tackled the question of how mutual funds help you achieve your investment goals in earlier chapters. Now, let's go through the process of buying and selling mutual funds.

How to Buy Mutual Funds :

Mutual funds are versatile instruments that can be bought and sold in a variety of ways. Once you get all your paperwork in order, here are some of the various ways you can acquire mutual funds in India through Kotak Securities:

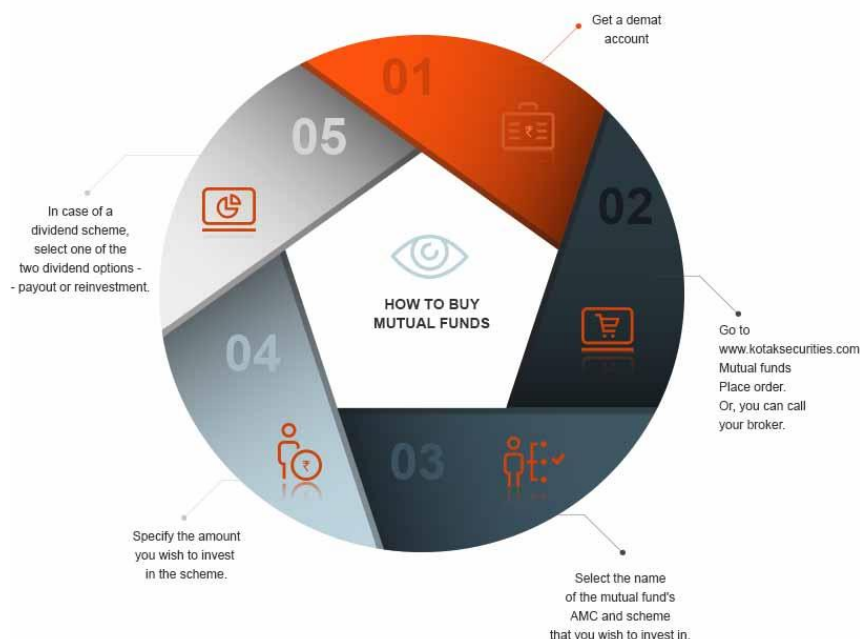


- Buying mutual funds through Kotak Securities is a great option for investors with limited knowledge about investing and even lesser time to do the paperwork by themselves.
- You can either trade mutual funds online through your trading account or call us and place an order.
- The brokerage house can also double up as a financial advisor, helping you out with options that you may not be aware of, offering tips and tricks to help you make the most of your investments.
- In addition to these, you can either buy directly from the asset management company or through a bank that sells mutual funds.

Once you have decided which way you want go and which mutual fund scheme(s) you want to invest in, you will have to place the order. Here's the step-by-step procedure of buying a mutual fund:

- Get a demat account
- Go to the Mutual Funds section of Kotak Securities webpage. Login and then click on 'Place order'. Or, you can call your broker.
- Select the name of the mutual fund or the AMC's name that you wish to invest in.

- Then select the correct scheme as many fund houses offer multiple schemes.
- Specify the amount you wish to invest in the scheme.
- In case of a dividend scheme, select one of the two dividend options -- payout or reinvestment. If you select the payout option, the mutual fund's dividends will be credited to your bank account. The reinvestment option allows the amount to be used to buy additional units of the scheme. You thus won't get the dividends credited to your bank account. Select the former if you want a secondary source of income. The reinvestment option, however, helps you increase the size of your holdings and increase returns.



How to Sell Mutual Funds :

If you thought the amount of research done for buying a mutual fund was hard work, you're about to repeat a lot of such work while selling your mutual funds. You need to do your homework and sell your mutual funds only if the timing is right to ensure that you always make a profit on your sale.

Some instances for when mutual funds ought to be redeemed:

- Most people sell their mutual funds to finance some immediate or upcoming financial requirement, like buying a house or car, paying for children's education, a health crisis or even an upcoming foreign holiday.
- Another good time to sell off your mutual funds is when your investment requirements undergo a change – this could be due to inherent growth or changes in your existing portfolio or due to a life event that reorganizes your priorities.
- If the performance of a mutual fund dips consistently below expectations and other comparable funds for a sustained period of time. Here, 'sustained' refers to a time period of 1 to 5 years at least.
- Changes on the part of the mutual fund – a reset of its investment objectives or strategy, a rejig of its favored stock picks or sectors in which it invests or even the departure of a trusted fund manager often leads to the sale of such mutual funds by investors.

Do you see yourself in any of the scenarios? Then it's probably a good idea to sell your funds and cut your losses early on.

There are two ways to sell your mutual funds – to another investor or back to the mutual fund. The latter is called redemption of mutual fund.

Mutual funds are best redeemed the same route through which they are purchased. This means you could choose to redeem them online or offline, through an agent or broker or directly by yourself.

However, remember to check for any exit load or charges for sale of your MF units. This will be deducted from your total proceeds from the sale.

Common Mistakes to Avoid When Buying and Selling Mutual Funds

Mutual funds are managed portfolios of stocks, bonds and securities that offer investors the perks of participating in the stock market, but with a limited exposure to the risks involved.

Since this is the case, the need for 24 x 7 monitoring of your investments is probably unnecessary. However, this does not mean that you go into this process of investing in mutual funds completely blind and then live to regret your rash decisions.

COMMON MISTAKES TO AVOID



- **Don't be in a hurry to sell off low performers**

Some funds are slow starters that even out their losses given enough time and attention. Patience truly is a virtue when dealing with mutual funds. Exercise it and hold on to your low performers for at least a year before you decide to get rid of them.

A lot can change with the stock market or even your low performing fund in the span of a year. Experience shows that funds that are left to accumulate returns on for the longest periods of time are often the ones that offer the highest returns on investment for the investor.

- **In a downturn, don't sell everything off**

Mutual funds, as mentioned earlier, are managed by professional stock market analysts and fund managers with years of experience in investing under their belts. In tough economic times, they take proactive measures to minimize the impact of the downturn on their portfolios, like switching sectors or specific stocks to minimize losses.

Don't use your 'gut feel' over the training of these professionals as a justification for selling off your funds as the economy starts cooling off.

- **Avoid putting your money into stock market bubbles**

Every few years, we see at least one sector that shows extraordinary promise and has investors making a beeline for such stocks. This tendency to favor sectors that are the 'flavor of the season' spills over into mutual fund trading too.

Be very careful of such deep, sector-specific investments. They could well be the next dotcom bubble in the making. Check your call with a financial advisor, read up investing literature online or otherwise, speak to other experienced investors and then proceed with your sector specific picks

- **Don't pick funds based on their short term performance**

Mutual funds must be evaluated based on not just their current returns but also on their long term – 1 to 5 year – returns. This is necessary to know if there has been a consistent pattern in the fund's performance over the years and also to ensure that short term market corrections don't negatively impact your choice of funds.

- **Don't go too narrow with your mutual fund choice**

You may have done the most extensive research to arrive at the number one mutual fund option according to you. However, there are no guarantees in the world of stock and securities trading. There's always a small risk of failure even with the best managed funds.

Don't put all your investments in one basket. Pick your top three or four choices and spread your risks among them. Make sure they are different types of mutual funds to actually benefit from this move.

- **Don't sell before your lock-in periods are over**

Selling a fund before the lock-in period runs out is a wasted opportunity to make some returns on your investment. There are exit loads attached to such premature exits and they often nullify the profits that you might have made had you stuck till the end of the lock in period.

Another problem is short term capital gains tax that would become applicable on your investment, thus decreasing even further the ROI from the original investment.

Different types of Mutual Funds

A mutual fund is an investment vehicle which pools money from investors and invests on their behalf in multiple assets like stocks and bonds. The profits made from the assets are then distributed to the investors.

There are a variety of mutual funds. They can also be classified into different categories on varying factors. Here's a look at some of the types of mutual funds:

Mutual funds based on fund scheme:

There are two key kinds of mutual funds on the basis of the constitution of the fund. This basically affects when investors can buy fund units and sell them.

- **Close-ended schemes:**

These schemes have fixed maturity periods. Investors can buy into these funds during the period when these funds are open in the initial issue. Once that window closes, such schemes cannot issue new units except in case of bonus or rights issues.

After that period, you can only buy or sell already-issued units of the scheme on the stock exchanges where they are listed. The market price of the units could vary from the NAV of the scheme due to demand and supply factors, investors' expectations and other market factors.

- **Open-ended schemes:**

These funds, unlike close-ended schemes, do not have a fixed maturity period. Investors can buy or sell units at NAV-related prices from and to the mutual fund, on any business day. This means, the fund can issue units whenever it wants. These schemes have unlimited capitalization, do not have a fixed maturity date, there is no cap on the amount you can buy from the fund and the total capital can keep growing.

These funds are not generally listed on any exchange.

Open-ended schemes are preferred for their liquidity. Such funds can issue and redeem units any time during the life of a scheme. Hence, unit capital of open-ended funds can fluctuate on a daily basis.

The advantages of open-ended funds over close-ended are as follows:

- Investors can exit any time they want. The issuing company directly takes the responsibility of providing an entry and an exit. This provides ready liquidity to the investors and avoids reliance on transfer deeds, signature verifications and bad deliveries.
- Investors can enter any time they want. Thus, an open-ended fund allows one to enter the fund at any time and even to invest at regular intervals.

Mutual funds based on assets invested in:

There three kinds of mutual funds based on the assets invested in. These are as follows:

- **Equity funds:**

These are funds that invest only in stocks. As a result, they are usually considered high risk, high return funds. Most growth funds – the ones that promise high returns over a long-term – are equity funds.

These funds have less tax liability in the long-run as compared to debt funds. Equity funds can be further classified into types based on the investment objective into index funds, sector funds, tax-saving schemes and so on. We shall go through these in detail later.

- **Hybrid funds:**

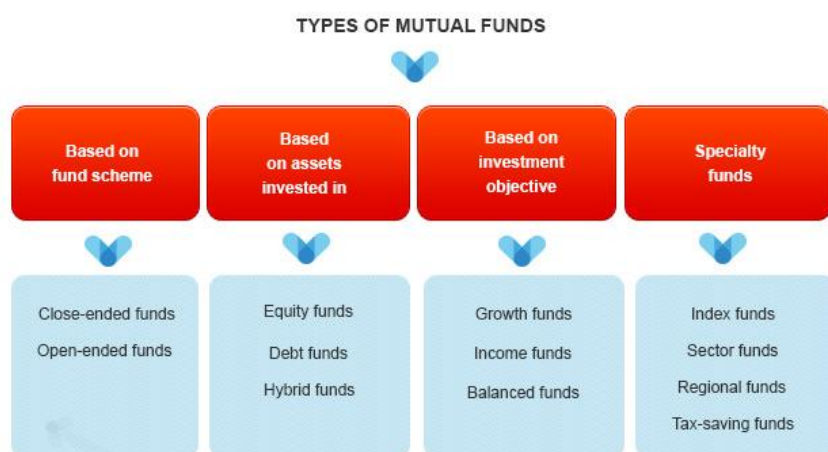
These are funds which invest in both equities as well as debt instruments. For this reason, they are less risky than equity funds, but more than debt funds. Similarly, they are likely to give you higher returns than debt funds, but lower than equity funds. As a result, they are often called ‘balanced funds’.

- **Debt funds:**

These funds invest in debt-market instruments like bonds, government securities, debentures and so on. These are called debt instruments because they are a kind of borrowing mechanism for companies, banks as well as the government.

Simply put, you give them money, which the company returns with interest over a period of time. After which, it matures. Since the interest payments are fixed as well as the return of the principle amount, debt instruments are considered low-risk, low-return financial assets. For the same reason, debt funds are relatively safer.

They are usually preferred for the regular interest payments. Debt funds are further classified on the basis of the maturity period of the underlying assets – long-term and short-term. Some debt funds also invest in just a single type of debt instrument. Gilt funds are an example of such a fund.



Mutual funds based on investment objective:

Every investor has a different reason for investing in financial instruments. Some do so for making profits and increasing wealth, while some others do so for a regular secondary source of income. Some others invest in mutual funds for a bit of both. Keeping these requirements in mind, there are three key kinds of mutual funds based on the investment objective.

- **Growth funds:**

These are schemes that promise capital returns in the long-term. They usually invest in equities. As a result, growth funds are usually high risk schemes. This is because the values of assets are subject to lot of fluctuations.

Also, unlike fixed-income schemes, growth funds usually pay lower dividends. They may also prefer to reinvest the dividend money into increasing the assets under management.

- **Balanced funds:**

As the name suggests, these schemes try to strike a balance between risk and return. They do so by investing in both equities and debt instruments. As a result, they are a kind of hybrid fund. Their risk is lower than equity or growth funds, but higher than debt or fixed-income funds.

- **Fixed-income funds:**

These are schemes that promise regular income for a period of time. For this reason, fixed-income funds are usually a kind of debt fund. This makes fixed-income funds low-risk schemes, which are unlikely to give you a large amount of profit in the long-run.

They pay higher dividends than growth funds. As with debt funds, they may be further classified on the basis of the specific assets invested in or on the basis of maturity.

Some special funds:

These are funds which invest in a specific kind of assets. They may be a kind of equity or debt fund.

- **Index schemes:**

Indices serve as a benchmark to measure the performance of the market as a whole. Indices are also formed to monitor performance of companies in a specific sector. Every index is formed of stock participants. The value of the index has a direct relation to the value of the stocks. However, you cannot invest in an index directly. It is merely an arbitrary number. So, to earn as much returns as the index, investors prefer to invest in an Index fund. The fund invests in the index stock participants in the same proportion as the index.

For example, if a stock had a weightage of 10% in an index, the scheme will also invest 10% of its funds in the stock. Thus, it recreates the index to help the investors earn money. Such schemes are generally passive funds as the managers need not research much for asset allocation. As a result, the fees are lower. They are also a kind of equity fund.

- **Real estate funds:**

These are not a sector-specific fund which invests in realty company shares. Instead, these funds invest directly in real estate. This may be by buying property or funding real estate developers.

That said, they can also buy shares of housing finance companies or their securitized assets. Risk depends on where the fund is investing the money.

- **Gilt funds:**

These schemes primarily invest in government securities. Government debt is usually credit-risk free. Hence, the investor usually does not have to worry about credit risk.

- **Interval schemes:**

These schemes combine the features of open-ended and closed-ended schemes. They may be traded on the stock exchange or may be open for sale or redemption during pre-determined intervals at NAV based prices.

- **Sector funds:**

These are a kind of equity scheme restrict their investing to one or more pre-defined sectors, e.g. technology sector.

Since they depend upon the performance of select sectors only, these schemes are inherently more risky than general schemes. They are best suited for informed investors, who wish to bet on a single sector.

- **Tax-saving schemes:**

Investors are now encouraged to invest in the equity markets through the Equity Linked Savings Scheme (ELSS) by offering them a tax rebate. When you invest in such schemes, your total taxable income falls. However, there is a limit of Rs 1 lakh for tax purposes. The crutch is that the units purchased cannot be redeemed, sold or transferred for a period of three years.

However, in comparison with other tax-saving financial instruments like Public Provident Funds (PPF) and Employee Provident Funds (EPF), ELSS funds have the lowest lock-in period. An example of ELSS scheme is the Kotak ELSS scheme.

- **Money market schemes:**

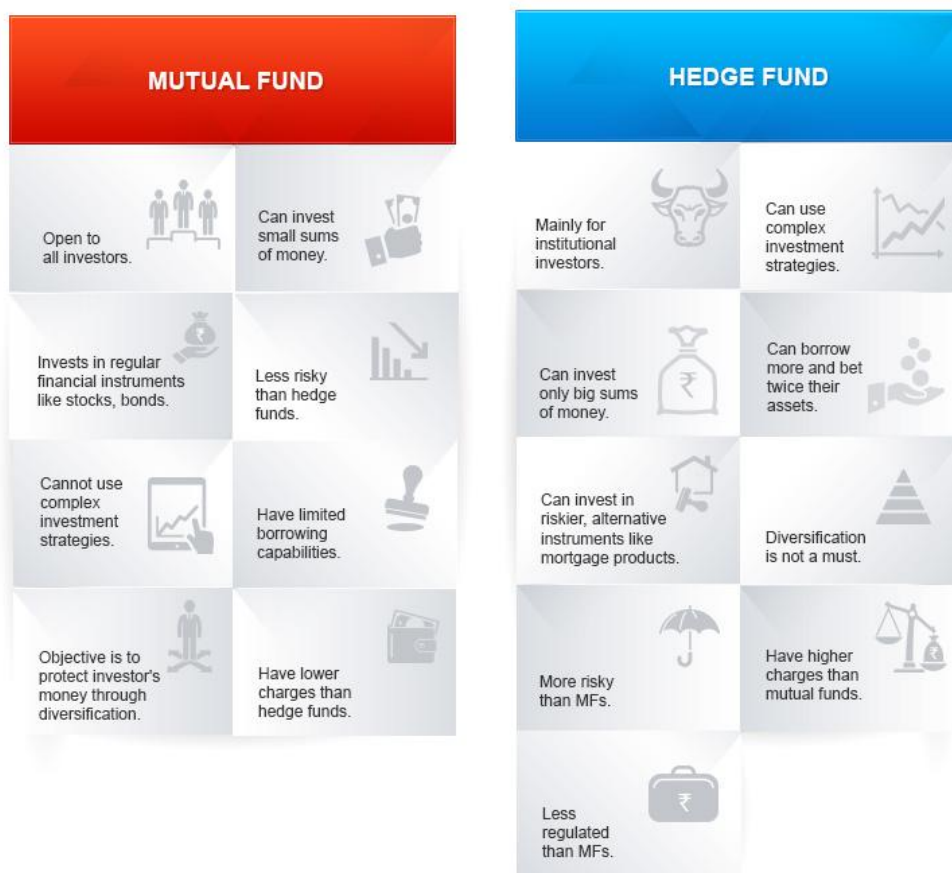
These schemes – a kind of debt fund – invest in short-term instruments such as commercial paper (CP), certificates of deposit (CD), treasury bills (T-Bill) and overnight money (Call).

The schemes are the least volatile of all the types of schemes because of the short-term maturities of the money-market instruments. These schemes have become popular with institutional investors and high-net worth individuals having short-term surplus funds.

What are Hedge Funds:

While reading up about mutual funds, you may hear about hedge funds. They are quite similar to mutual funds as they are an investment vehicle too. They too pool money from investors, and then invest on their behalf in different securities. That's where their similarities end.

Here are some differences between mutual funds and hedge funds.



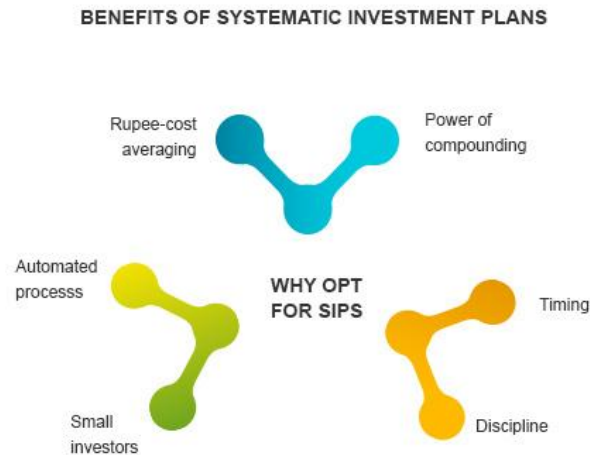
- Mutual funds are open to all investors, while hedge funds are not. They are only available for high-net worth investors.
- Mutual funds invest in regular financial instruments like stocks, bonds. Hedge funds, on the contrary, invest in complex and riskier financial instruments like mortgage products.
- Hedge funds can borrow additional amounts. They can also bet on twice the total worth of their assets. This is not applicable for mutual funds, which have limited borrowing capabilities.
- Mutual funds have lower charges than hedge funds. This is because hedge funds have a high amount of reliance on the asset manager's expertise.
- Even a small-investor can opt for a mutual fund, as it allows investment of small sums of money. This is not possible for hedge funds, which have a high investment threshold.
- As a result, mutual funds are less risky than hedge funds. They also cannot use complex investment strategies like hedge funds.
- Mutual and hedge funds differ in the very objective of the fund. For a mutual fund, the objective is to protect investor's money through diversification. For hedge funds, however, diversification is not a must. They can extremely concentrated investment decisions.
- Since mutual funds are open to retail investors, they are more regulated than hedge funds.

What is a Systematic Investment Plan:

Sometimes, we may wish to invest a big some of amount, but won't have the entire sum at once. A systematic investment plan (SIP) comes handy in such a situation. It helps you spread your investment over time through fixed payments either on a monthly or quarterly basis.

This also helps inject discipline into your investment habit, as many who wish to invest regularly forget to do so. Thus, you may end up spending more than you should, and not investing enough. SIPs help you avoid this.

Under SIP, you automate your monthly mutual fund investment activities. You, thus, invest small sums at regular intervals to buy mutual fund units. Many prefer an SIP over investing in lump sum in mutual funds. This is because SIP offers some benefits that a lump sum investment doesn't. **Here's a look:**



- **Cost averaging:**

SIP helps you lower your average cost of investment. This principle is called rupee-cost averaging. Every month, the value of the MF scheme changes. Units are thus available at a different price every month. So, when you invest a fixed amount every month, during different market cycles, you buy varying amounts of MF units. So, on the whole, the average cost falls.

- **Power of compounding:**

As you keep investing, you also earn returns on the interest or profits you make. Moreover, you can also earn more by reinvesting your profits.

Thus, the longer you invest, the higher your total return.

For this reason, it is advisable to start investing as early as possible, and thus earn more profits through continuous reinvestment. This is called the power of compounding. SIP helps you tap into the power of compounding.

- **Timing:**

Getting your timing right is of great essence. That said, it is not easy to do so. With an SIP, you invest across time, irrespective of the market timing. This increases your overall probability of getting your timing right.

- **Tax-saving schemes:**

In an SIP, your investment process is automated. So, you never miss a single investment. This instills discipline in your investments and helps you to meet your financial goals.

- **Discipline:**

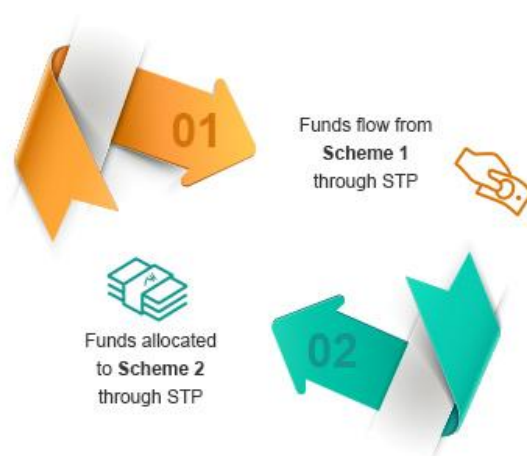
These schemes – a kind of debt fund – invest in short-term instruments such as commercial paper (CP), certificates of deposit (CD), treasury bills (T-Bill) and overnight money (Call).

- **Small investors:**

SIPs can be started even with the small amount of Rs 500 or Rs 1,000 whereas some mutual funds may have a higher investment threshold.

What is Systematic Transfer Plan:

An SIP helps you enter a mutual fund investment. But, what if you want to switch to another scheme within a fund family after you have invested in it? The STP or Systematic Transfer Plan may come handy here.



TRANSFER OF FUNDS THROUGH STP

When you opt for STP, also called the Systematic Switch Plan, you allow the mutual fund to transfer a certain amount of money or units to another scheme periodically. Thus, your mutual fund portfolio will regularly be rebalanced.

For example, suppose you have invested Rs 50,000 in an equity fund. You expect that a few months later you would start needing a secondary source of income. However, you also want to earn high returns due to the rise in equity markets. So, you can opt for an STP plan through which Rs 5,000 is shift to a debt scheme on a monthly basis. So, this way, you earn some returns through your equity fund and also start building your debt fund portfolio for your future income needs.

What is Systematic Withdrawal Plan:

A Systematic Withdrawal Plan or SWP is for withdrawal what an SIP is for investment. It allows an investor to withdraw a fixed amount of money or units from your fund portfolio at regular intervals. This would come handy for those wishing for a regular source of income.

The key requirement is that you have a sizeable portfolio of funds. Without that, you would not be able to withdraw any funds.



An SWP helps you meet your liquidity needs. It is, therefore, usually used by retired investors.

An SWP comes handy when you are unsure about the correct time to exit investments. You thus get your money irrespective of market conditions. So, when the market is up, you sell less number of units for the fixed amount, and when the market is down, you sell more units.

Another key advantage of an SWP is it spreads your tax liabilities across time too. You will have to pay capital gains tax over a period of years, instead of paying it in lump sum in one year. In the meanwhile, you may also enjoy further appreciation in the value of your mutual funds.

Some important information before you invest

Before you start investing in mutual funds, there are some more important points you need to keep in mind.

Pre-requisites for MF investment

There are two key kinds of mutual funds on the basis of the constitution of the fund. This basically affects when investors can buy fund units and sell them.

There are three key requirements for buying a mutual fund. Here's a look:

- **Application forms:**

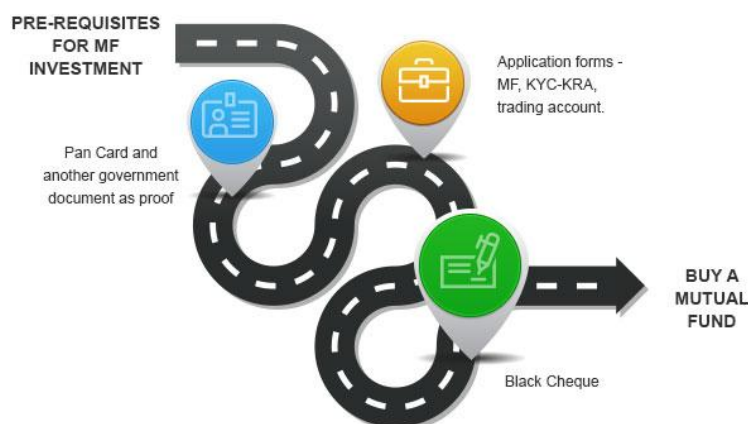
These are the forms you fill with Kotak Securities. If you are a new investor, you will also have to fill up a Know Your Customer (KYC) and trading account application forms. It is fairly simple. Most of the application forms require details like your name, address, workplace address, joint account holder details, account nomination and so on. These help identify you. The KYC-KRA form is a must-have as all investors have to be compliant with SEBI norms before they can start trading in any assets. Once you register, an in-person verification will be conducted to re-check your identity details. This is mandatory as per SEBI rules. Once you are verified, the fund will upload your details on the KYC Registration Agency's (KRA) system, which will in turn notify you of the receipt of your documents. This is just a one-time process. Without this, you will not be able to trade in the securities market.

- **Pan card and other documents:**

While filing up the application forms, you will need to submit two documents – one to prove your identity and another as a proof of your address. The list of approved documents is the same as that for a trading or demat account. It is listed below.

- **Blank cheque:**

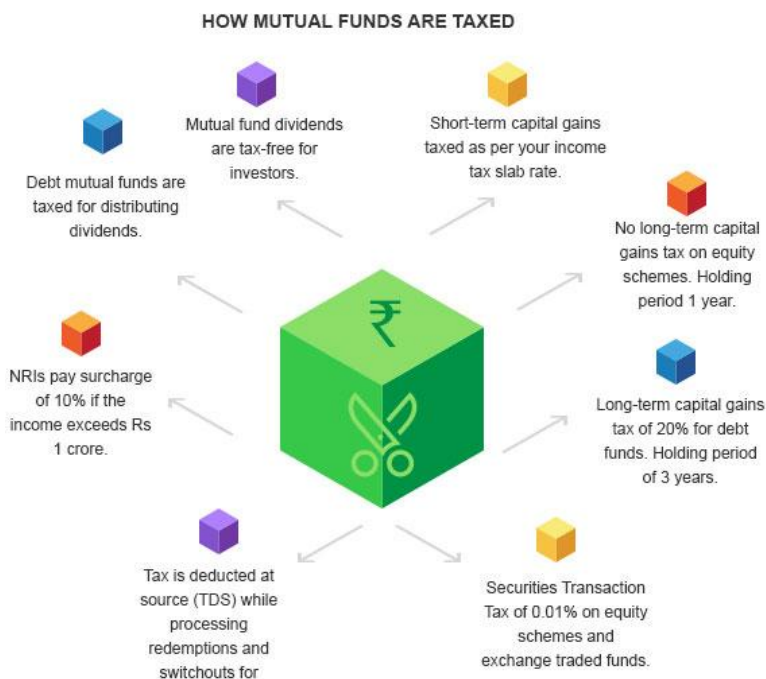
When you open an account with either the fund house or a brokerage, you will have to link your bank account. For this reason, you will have to provide a blank cheque which states your IFSC code. This helps identify the branch your bank account belongs to.



Tax aspects of MFs

Wherever life may take you, you will always have to pay taxes – even on your investments.

Let's look at the taxation aspects of a mutual fund:



- **Tax-savings:**

The government has been trying to encourage retail investment in equities. For this reason, the government came up with the ELSS or Equity-Linked Savings Schemes. The amount you invest in ELSS schemes reduces your total income as per Section 80C of the Income Tax Act. For example, if you earn Rs 4 lakh per annum, of which you invest Rs 50,000 in ELSS schemes, your total taxable income comes down to Rs 3.5 lakh. However, the government has limited the total amount of investment eligible for tax-saving through ELSS to Rs 1.5 lakh. You also don't pay any tax while redeeming ELSS funds.

- **Dividend income:**

Mutual fund dividends are tax-free for investors. However, mutual funds are taxed for distributing dividends. This is mainly applicable to debt mutual funds, not equity funds.

- **Securities Transaction Tax:**

This is the tax you pay for selling assets in the securities market. A STT of 0.001% is eligible when you sell your equity schemes and exchange traded funds.

- **Capital gains:**

The profit you make when you sell a financial asset at a higher rate is called capital gains. When you sell an asset within a short period, the capital gained is called short-term capital gains. If you hold your asset for a longer time, the profit you make on selling it is called long-term capital gains.

- **Equity funds:**

The holding period for equity funds is 1 year or 12 months. If you sell your fund before this period, you will be taxed 15%. If you hold it for a year or more, you will not have to pay any tax.

- **Debt funds:**

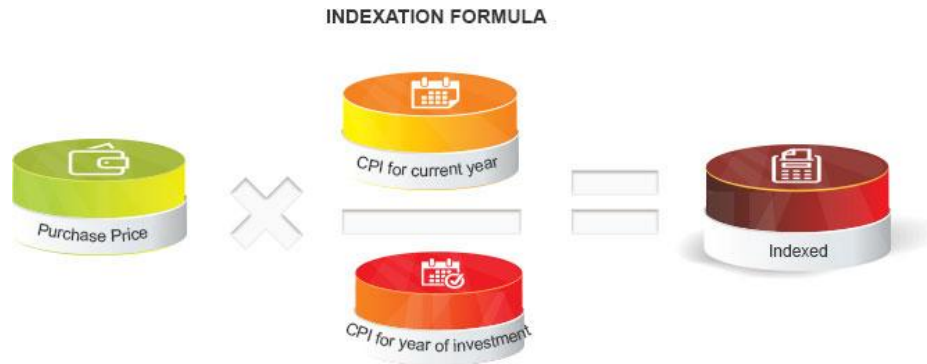
The holding period for debt funds has been increased to 36 months or 3 years in the Union Budget for FY2014-15. This means, if you sell your debt fund within 36 months, you will have to pay the short-term capital gains tax – the same as your income tax slab rate. If you hold your fund for at least 3 years, you have to pay a long-term capital gains tax of 20% for debt funds. This, however, comes with indexation benefits.

- **Indexation:**

This is the process of adjusting your income by taking into account inflation. This is done using an inflation index. This helps reduce your taxable income.

You first adjust your proceeds from sale using indexation. Then, you calculate your capital gains by a simple subtraction.

This is the formula to adjust your income through indexation:



For example, you invested Rs 10,000 in a debt mutual fund in 2010-11, when the inflation index was 711. You sold the fund for Rs 15,000 in 2014-15. At this time, the index figure was 1025. So you adjust your purchase price of Rs 10,000 through indexation to Rs 14,416.315. So, your after-indexation capital gain is Rs 583.68. You will then have to pay 20% of this amount as tax. This comes to Rs 116.73. Had you not adjusted using indexation, your net capital gains would have been Rs 5,000. 20% of this would have amounted to Rs 1,000. Needless to say, you have saved much on tax.

BASIC DEFINITION

Averaging Down: This is when an investor buys more of a stock as the price goes down. This makes it so your average purchase price decreases.

Bear Market: This is trading talk for the stock market being in a down trend, or a period of falling stock prices. This is the opposite of a bull market.

Beta: A measurement of the relationship between the price of a stock and the movement of the whole market. If stock XYZ has a beta of 1.5, that means that for every 1 point move in the market, stock XYZ moves 1.5 points and vice versa.

Bull Market: This is when the stock market as a whole is in a prolonged period of increasing stock prices. Opposite of a bear market.

Broker: A person who buys or sells an investment for you in exchange for a fee (a commission). Here is Tim's favorite broker. ([LINK](#))

Day Trading: The practice of buying and selling within the same trading day, before the close of the markets on that day. This is what Tim typically does, although he does have a long-term portfolio as well. Traders that participate in day trading are often called "active traders" or "day traders."

Dividend: this is a portion of a company's earnings that is paid to shareholders, or people that own that company's stock, on a quarterly or annual basis. Not all company's do this.

Exchange: An exchange is a place in which different investments are traded. The most well-known in the United States are the New York Stock Exchange and the Nasdaq.

Execution: When an order to buy or sell has been completed. If you put in an order to sell 100 shares, this means that all 100 shares have been sold.

Hedge: This is used to limit your losses. You can do this by taking an offsetting position. For example, if you hold 100 shares of XYZ, you could short the stock or futures positions on the stock.

Index: An index is a benchmark which is used as a reference marker for traders and portfolio managers. A 10% may sound good, but if the market index returned 12%, then you didn't do very well since you could have just invested in an index fund and saved time by not trading frequently. Examples are the Dow Jones Industrial Average and Standard & Poor's 500.

Margin: A margin account lets a person borrow money (take out a loan essentially) from a broker to purchase an investment. The difference between the amount of the loan, and the price of the securities, is called the margin.

Moving Average: A stock's average price-per-share during a specific period of time. Some time frames are 50 and 200 day moving averages.

Order: An investor's bid to buy or sell a certain amount of stock or option contracts. You have to put an order in to buy or sell 100 shares of stock.

Portfolio: A collection of investments owned by an investor. You can have as little as one stock in a portfolio to an infinite amount of stocks.

Quote: Information on a stock's latest trading price. This is sometimes delayed by 20 minutes unless you are using an actual broker trading platform.

Spread: This is the difference between the bid and the ask prices of a stock, or the amount someone is willing to buy it and someone is willing to sell it.

Stock Symbol: A one-character to three-character, alphabetic root symbol, which represents a publically traded company on a stock exchange. Apple's stock symbol is AAPL.

Volatility: This refers to the price movements of a stock or the stock market as a whole. Highly volatile stocks are ones with extreme daily up and down movements and wide intraday trading ranges. This is often common with stocks that are thinly traded, or have low trading volumes. This is also common with the stocks that Tim trades.

Volume: The number of shares of stock traded during a particular time period, normally measured in average daily trading volume.

Share

Share is nothing but the Ownership of the company divided into small parts and each part is called as Share or Stock. Share is also called by different names like equity, financial security and so on. A person carrying a share of a company holds that part of ownership in that company. A person holding maximum shares carry maximum ownership and designated like director, chairman etc.

Share Market

A Share market is the place where buying and selling of shares takes place. Now days due to internet and advanced technology there is no need to present physically in exchanges like NSE and BSE but in fact the buying and selling

of shares can be done from anywhere, where there is a computer with internet connection. One should have a demat and trading account, computer and internet connection and he/she can start the share trading or investing from anywhere.

Index in share market

Index consists of group of shares. Index denotes the direction of the entire market. Like when people say market is going up or down then that means Index is going up or down. Index consists of high market capitalization and high liquidity shares. High Market capitalization shares - Companies having highest number of shares and highest price of each share. Market capitalization is calculated by multiplying current share price and number of shares in the market. High Liquidity shares - Shares in the market with high volumes.

Two types of Indices

Nifty and Sensex

Nifty - Nifty consist of a group of 50 shares.

Sensex - Sensex consist of a group of 30 shares. What is Share Market

First let us understand the Working of a share market

To learn about how you can earn on the stock market, one has to understand how it works. When a person want to buy/sell shares in the share market then he has to first place the order with a broker or can do themselves using online trading systems (this will be discussed later). When you place the buy order, the message is transferred to the exchange [either NSE {National Stock Exchange} or BSE {Bombay Stock Exchange}] and the order stays in the queue of exchange's other orders and gets executed if the price of that share comes to that value. Once you get the confirmation of this transaction, the shares purchased, will be sent to your demat account. The shares will be stored in demat account in electronic format. Index in share market Index consists of group of shares. Index denotes the direction of the entire market. Like when people say market is going up or down then that means Index is going up or down. Index consists of high market capitalization and high liquidity shares. High Market capitalization shares - Companies having highest number of shares and highest price of each share. Market capitalization is calculated by multiplying current share price and number of shares in the market. High Liquidity shares - Shares in the market with high volumes.

NSE and BSE are countries economic barometer.

Stock exchanges like NSE and BSE are the places where the trading of shares takes place. Demat account is must YES. Demat account is must. The market regulator, the Securities and Exchange Board of India (SEBI), has made it compulsory to open the demat account if you want to buy and sell shares in Indian share market. So a demat account is a must for trading and investing in share market.

How to open a Demat account?

You have to approach a Depository Participant (DP) to open a Demat account. Most banks are DP participants so you can approach them or else you can contact us. To have latest list of registered DP please visit websites www.nsdl.co.in and www.cdslindia.com A broker and a DP are two different people. A broker is a member of the stock exchange, who buys and sells shares on his behalf and also on behalf of his customers. A broker can also be a DP.

Following are the documents required to open Demat account

When you approach any DP, you will be guided through the formalities for opening a demat account. The DP will ask to provide some documents as proof of your identity and address. Below is a list of documents out of which you have to submit one or two. PAN card, Voter's ID, Passport, Ration card, Driver's license, Photo credit card Employee ID card, IT returns, Electricity/ Landline phone bill etc.

Do you need any shares to open a Demat account?

NO. You need not have to have any shares to open a demat account. A demat account can be opened with no balance of shares. And also there is no restriction to maintain any minimum shares. You can have a zero balance (shares) in your account.

How much it cost to open a Demat account?

The charges for demat account opening varies from broker to broker or from DP to DP. Generally some broker charge one time account opening fees but currently due to high competition they are offering free account. To have latest charges please visit websites of www.nsdl.co.in and www.cdslindia.com or else you need to contact the specific broker. Finally After successfully opening the demat account you are ready to do buying and selling of shares in share market exchanges like BSE and NSE.

Important points to remember while opening online demat account

- 1) Do multiple enquiries with various brokers or DP's and try getting low brokerage charges. 2) Also discuss about the margin they provide for day trading. 3) Discuss about fund transfer facility. The fund transfer should be reliable and easy. Fund transfer from your bank account to trading account and fund payout from your trading account back to your bank savings account. Some online share trading account has integrated savings account which makes easy for you to transfer funds from your saving account to trading account. 4) Very important is about service they provide, the research calls, intraday or daily trading tips. 5) Also enquire about their services charges and any other hidden fees if any. 6) Check how reliable and easy is to contact them in case of any emergency, like buying and selling of shares on immediate basis or in case of any technical or other problems at your side while trading yourself. 7) You can also request to broker for demonstration of the trading terminal software and check how comfortable it is for you. There are various brokers and DP, please contact us for more information of brokers.

Stock exchanges

Mainly there are two exchanges in India.

NSE (National stock exchange) - Nifty is listed with NSE. BSE (Bombay stock exchange) - Sens*x is listed with BSE. NSE and BSE are countries economic barometer. Stock exchanges like NSE and BSE are the places where the trading of shares takes place.

